

REFORM OF THE RESOURCE MANAGEMENT SYSTEM

A Pathway to Reform

Working Paper 1:
Criteria for reform

Greg Severinsen

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EXECUTIVE SUMMARY

In its *Reform of the Resource Management System* project, the Environmental Defence Society is looking, from first principles, at how we could manage our resources better. We are asking *why* we do certain things, *whether* we should be doing them, and *how* we should be doing things in the future. It is about protecting the environment, providing for New Zealanders' social, cultural and economic wellbeing, and thinking about what legacy of natural and physical resources we leave to future generations.

The project has two phases. Phase 1 (entitled *the Next Generation*) has been completed, and culminated in a final synthesis report released in February 2019. This provided extensive analysis, outlined options for various reform measures, and outlined three possible broad models for what a reformed system could look like. The report is summarised briefly in this paper (see Chapters 3 and 4). It was about guiding a conversation between people having different perspectives, and we hope it will continue to do so.

The project's second and final phase – of which this paper is a part – is called *A Pathway to Reform*. Phase 2 is about moving beyond options, and progressing a particular model. It builds on the foundations laid by Phase 1 to do three things:

1. Generate a set of criteria which we can use to choose between different reform options;
2. Apply that set of criteria to develop a preferred model;
3. Map out a pathway to the preferred model from what we have now.

This working paper is concerned primarily with criteria for reform. Subsequent work will address detailed system design and the pathway to reform. A final report will be produced by the end of 2019.

This paper has been split into six substantive chapters. Chapter 2 describes in more depth the overall structure of the project and how Phases 1 and 2 fit together. Chapters 3 and 4 summarise the key messages from the Phase 1 report, as well as the many options and three overall models presented in it. Chapter 5 introduces the concept of criteria for reform, why they are important and how they can be categorised. Chapter 6 sets out some possible criteria we could use, and Chapter 7 considers some of the key relationships between them. It concludes by offering three alternative sets of criteria that could be adopted to guide system reform choices.

We will not re-summarise the key messages, options and models from the Phase 1 report in this executive summary, if for no other reason than to compress it further would reduce its usefulness. We encourage readers to engage with the full Phase 1 report, as Phase 2 will draw heavily on it.

What we *will* emphasise here is that the three models presented in Phase 1 are by no means the starting point for Phase 2. A preferred model is to be actively constructed from the ground up by applying criteria to

more granular choices, not by testing a limited range of pre-existing models against criteria.

The focus of this paper is on criteria for reform, and the remainder of this short summary is devoted to that topic.

The nature of criteria

Criteria are a coherent set of qualitative metrics for measuring how desirable different reform options are. Some may wish to think of criteria as the *objectives* of reform – what we are aiming to get out of the exercise. In Chapter 5 we consider the nature of criteria.

A reform exercise like this requires system-wide criteria to determine which features are best. Choices should not be combined in an ad hoc way according to personal preference, gut reaction or who shouts the loudest. Looking at common criteria focuses everyone's initial energy on the primary question of *why* we are making reforms, not *what* they should be. They are also important to prevent the reform process becoming one of constant negotiation between interests, which risks incoherence and instability in the final product.

We need to ensure that all relevant criteria are included, and undesirable ones are excluded. However, perhaps more important are the relationships *between* the criteria we select. If we are to have more than one criterion, they need to form a compatible set. This does not mean they need to be one eyed, or ignore tensions. Rather, it means that many relationships will need to be defined in terms of hierarchy or weight: which is really more important? And where can we achieve mutual reinforcement? Of course, the best set of criteria in the world will never spit out a "blueprint" that is easy to apply to every choice, and we should not expect it to. It serves as a guide, outlines common ground, and forms an anchor for debate.

Rather than relying on a single theoretical or ideological framework (eg ecocentrism, utilitarianism), we are likely to need a plurality of criteria. There is unlikely to be a single "criterion" against which choices can be measured.

The Phase 1 report presented a number of possible ethics and principles (eg efficiency, subsidiarity, intergenerational equity), and these can themselves act as forms of "criteria" – in the sense that, once they are adopted, lower level choices (eg which tools we use, how we provide for public participation) need to be measured against them. However, we require two additional things. First, we need a higher level set of *substantive criteria* to get that cascade started (eg help us decide *which* mix of ethics and principles we wish to see in a future system). Secondly, we need pragmatic criteria that reflect more practical considerations about the process of reform (eg political will, a desire not to upset existing case law).

Substantive criteria are most usefully described in terms of the *outcomes* we want the system to deliver. Debates here are more likely to be relative (which outcomes are

more desirable than others, and to what extent) rather than absolute (whether or not an outcome is desirable per se). To some, outcomes may need to be fairly general (eg to safeguard the ability of the environment to support life). Others may see specific system features (eg localism, ecocentrism) as desirable outcomes (and therefore important criteria) in their own right.

We also require a second kind of criteria: those that cover more pragmatic ground. Pragmatic criteria could include things like (among others) political will, social acceptability, resourcing, and the degree of disruption and uncertainty reform could cause. We therefore need to be aware of potential tensions not just between different substantive criteria (desirable outcomes that can pull in different directions), but also between substantive and pragmatic criteria. In other words, the ambition reflected in the outcomes we would *like* to see may not marry up with our practical ability to deliver change, and we need to be honest about how far we are trying to go. However, at the same time, we need to remember that a programme of change can become more palatable if it happens over time.

Possible criteria for reform

In Chapter 6, we identify and describe some potential criteria we could adopt (or reject). Some are substantive, some are pragmatic; some may be compatible or mutually reinforcing, while others may be mutually exclusive alternatives. While it is an artificial distinction to make (and of no particular significance other than for ease of presentation), we categorise substantive criteria into five sub-categories based on the “types” of outcomes sought. These sub-categories, and some criteria within them, are presented below. The differences between some of these are based on subtle changes in wording rather than completely different criteria, and alternative wordings will be possible.

Outcomes relating to the protection of resources/the environment

- The choice safeguards the quality and availability over time of natural resources/aspects of the natural environment on which humans (present and future) rely on for survival
- The choice safeguards the quality and availability over time of natural resources/aspects of the natural environment on which humans (present and future) rely on for collective wellbeing
- The choice enhances the quality and availability over time of natural resources on which humans (present and future) rely on for collective wellbeing
- The choice protects and respects the intrinsic value of living aspects of the environment
- The choice protects and respects the intrinsic value of non-living aspects of the natural environment
- The choice preserves human heritage

- The choice represents a fair allocation of rights between people and the natural world
- The choice achieves biophysical resilience to disruptive change

Outcomes related to the utilisation of resources

- The choice promotes efficiency and cost-effectiveness in resource use
- The choice promotes the economic wellbeing of New Zealanders
- The choice promotes the social wellbeing of New Zealanders
- The choice enables people to provide for their own social and economic well-being
- The choice achieves social and economic resilience to disruptive change
- The choice represents a fair allocation of rights and responsibilities between people

Outcomes relating to process

- The choice makes the system accessible to users
- The choice achieves economies of scale
- The choice provides certainty to users
- The choice provides flexibility and adaptability
- The choice allows people to have a say in decision-making
- The choice allows people to be informed
- The choice ensures an efficient process
- The choice maximises knowledge and facilitates its transmission

Cross-cutting outcomes

- The choice would solve or address current problems
- The choice would allow us to address future challenges in a timely way
- The choice would reflect New Zealanders’ values
- The choice reflects or implements the principles of the Treaty of Waitangi
- The choice reflects or implements tikanga
- The choice maximises overall “wellbeing”
- The choice allows New Zealand to meet its international obligations
- The choice safeguards personal freedoms or property rights
- The choice integrates well with other choices
- The choice is future-focused and sensitive to risk and uncertainty

Pragmatic criteria

- The choice is politically palatable or would have broad/cross party support
- The choice is durable and future-proofed
- The choice is workable in practice (including resourcing and funding needs)
- The choice does not upset important case law or render it redundant
- The choice does not upset existing institutional arrangements
- The choice minimises social and economic disruption
- The choice provides legal stability

Three possible sets of criteria: Considering relationships

In Chapter 7, we look at some of the key relationships between the criteria identified in Chapter 6. Some require us to make choices (or at least explore nuances) between alternative criteria (eg whether a system promotes economic wellbeing or simply enables people to provide for their own). Other criteria may be compatible, but only if relationships are defined (eg outcomes exist in a hierarchy). When describing relationships between criteria, we need to recognise that simply identifying the need for “balance” or pursuing multiple outcomes “at the same time” will not be enough.

In particular, there are important relationships between substantive and pragmatic criteria. Any reform process will need to be especially sensitive to political context, and what is achievable will ebb and flow based on that. Similarly, we need to be acutely aware of what is workable on the ground (including resourcing and funding). However, we consider that we should push our ambition as far as it can go within practical parameters, and not let those be an excuse for complacency. The need for some change is urgent. The temporal aspect of reform is also crucial when thinking about pragmatic criteria. Concerns around resourcing, disruption and social acceptability may be less significant if viewed over reasonable periods of time.

We conclude Chapter 7 by considering how criteria could be combined to form different, coherent sets (with differences between them based largely on how relationships between criteria are described). Of course, many other sets would be possible. However, three broad sets strike us as viable and useful: a “progressive” one, a “transformational” one, and a “market-led” one. The idea is that one of these – albeit with possible modifications – will be selected to guide the detailed design of a preferred model in the next stage of the work.

Criteria set 1: Progressive

Criteria set 1 is ambitious for change but conscious of the need for restraint and caution in some areas. Human survival and the basic conditions for quality of life are recognised as paramount when managing natural

resources, while recognising that indigenous species have an intrinsic value and right to exist and thrive (not be threatened with extinction). Those rights are subject only to the need for human survival. Broader human wellbeing is also recognised as rooted in our use and protection of natural resources, which (subject to the basic survival and quality of life of all people – including future generations) should not only be safeguarded but also *improved* to maximise human wellbeing. All these need to be done in a precautionary manner. In making all choices, the Crown’s obligations under the Treaty of Waitangi are to be discharged, and this envisages a progressive approach to Treaty obligations based on a greater (although not absolute) recognition of Māori rights to exercise tikanga.

Fairness is important in set 1; subject to the matters described above, rights and responsibilities need to be allocated in a way that is equitable across generations and across different groups in the present day. Efficiency in resource use is important, but comes second to fairness. Similarly, an efficient process is important, but subservient to the need to achieve other substantive outcomes (including for people to actively participate where directly affected). Set 1 also recognises that our choices should promote people’s social, cultural and economic wellbeing more broadly (ie not just intergenerational wellbeing that comes from protecting or restricting the use of *natural* resources). However, this also respects people’s freedoms, as actively *promoting* rather than *enabling* wellbeing is limited to where a public interest can be identified (including where social and economic resilience needs to be enhanced). Set 1 reflects the need for agility and adaptability (in order to safeguard human survival and wellbeing, and intrinsic values) but also the need for certainty and predictability, and recognition of existing property and statutory rights. Accessibility is seen as important, but not at the expense of certainty.

Criteria set 1 accepts that reform cannot happen without political will, and that all measures must be politically possible. However, it does not see the retention of case law or disruption to the status quo as influencing a choice unless all other things are equal.

Criteria set 2: Transformational

Criteria set 2 is a more fundamental recasting of the system to one where human interests are not paramount, and for that reason looks quite different to sets 1 and 3. Even human survival and basic quality of life are seen to be subservient to the intrinsic values and rights of aspects of the natural environment – such as indigenous species, ecosystems, wilderness areas and significant natural landscapes and features. This is coupled with a recognition that political palatability is not the “be all and end all” – sometimes criteria need to drive changes in social and political will and produce a paradigm shift, rather than recognise existing appetite for change. That said, there would be a need to define exactly what intrinsic values encompassed, so set 2 retains significant scope and could be fairly radical or fairly conservative.¹ At some point, for some resources, or in some locations basic

human needs would need to override the interests of the natural world.²

All choices in set 2 would need to implement the Crown's obligations under the Treaty of Waitangi,³ with the significant exception of where human survival and basic quality of life, and intrinsic values of the natural world, were at stake. Furthermore, fairness between people is important in allocating rights and responsibilities, but only within a wider envelope of intrinsic values, human survival, and collective wellbeing. Here, fairness also takes on an additional dimension: fairness between humans and the natural world. In contrast to set 1, there is a wider opportunity for the system to actively promote people's social, economic and cultural wellbeing – not just where the public interest is at stake. It potentially opens the door to more positive (although not unlimited) planning for social and economic outcomes, not just protecting the environment and enabling people to provide for their own wellbeing. Efficiency in resource use and process is important, but – again – subject to the wider outcomes like intrinsic value that are pursued. As in set 1, the desire for accessibility in the system bows to the need for certainty and predictability. Practical considerations like the retention of case law or minimising social and economic disruption are accorded less relative influence.

Criteria set 3: Market-led

As a generalisation, set 3 is a more market-oriented set of criteria. It drives for clarity, efficiency and freedom alongside the need to restrict the use of natural resources for the common good. It also recognises the risks of, and practical roadblocks to, fundamental reform.

Set 3 recognises the need to set environmental limits for human survival and wellbeing, but stops short of expecting the system to promote the *enhancement* of resources. It stops people doing things (and allows for natural regeneration), but does not *make* people do things. It is also different to sets 1 and 2 in that it does not emphasise the equality of current and future generations, or different groups within society. Essentially, distributional effects (measures that affect different people or groups

differently) are seen as something to be addressed outside the resource management system. Efficiency is seen as extremely important, and dominant to (although not entirely replacing) fairness. The Crown's Treaty of Waitangi obligations are an exception to that.

Significantly, intrinsic values are seen as a concept that is not particularly useful. Instead, set 3 embraces the idea of overall human wellbeing, where people are free to value non-consumptive resource uses (eg walking in a national park, valuing the existence of indigenous fauna etc), but where different expressions of wellbeing (social, cultural, economic, environmental) are interchangeable if valued properly.⁴ People are enabled to provide for their own wellbeing, rather than the system actively intervening to promote it (except in cases of clear market failure). Proportionality in risk management is emphasised rather than a precautionary approach per se. The importance of certainty for rights holders is recognised, and an efficient process bows to public participation to the extent people are directly affected.

Criteria set 3 is cautious about large scale reform. Pragmatic criteria strongly influence substantive criteria, in that choices are only acceptable to the extent they are politically realistic, have a broad base of social acceptance, and a clear pathway for funding/resourcing. Significant weight is given to legal, social and economic continuity.

Overall, there are significant differences between criteria sets 1, 2 and 3, although their short labels (progressive, transformational, and market-led) by no means encapsulate all their characteristics. Key differences concern the relationships between substantive criteria (which outcomes are more important), as well as the connections between pragmatic and substantive criteria (how much we should curb our enthusiasm for reform).

Feedback

As this is a working paper, we invite and encourage feedback. The material in this paper on criteria can be, and is likely to be, revisited and reworked over the course of 2019. Please send any comments to RMProject@eds.org.nz.



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1. INTRODUCTION: ONE PROJECT, TWO PHASES

There is an urgent and compelling need for New Zealand to rethink how it manages resources. Our resource management system – our collection of laws, regulations, institutions and incentives – is extremely important to the country's environmental, social, economic and cultural well-being. This system, and its significance, goes well beyond just environmental protection. It is about stewardship, wellbeing, and using our country's resources wisely.

But we face enormous problems and challenges. Reforms to the Resource Management Act 1991 (RMA) – New Zealand's main environmental statute – have occurred in a piecemeal fashion since it was passed, producing an overarching framework and patchwork of provisions that in 2019 have lost much of their original simplicity and coherence. An overall review of the Act as a whole is now due. The system through which we manage our natural and built environments is much wider than the RMA, however. For example, it is about infrastructure planning and funding, conservation management, climate change mitigation, the role of iwi, institutional structures, capacity and capability, and a raft of other "topics".

It is in this context of complexity and fragmentation that significant environmental challenges have emerged or worsened in recent times.⁵ Many indicators of environmental health are now rapidly declining. For some – such as freshwater and coastal environments – tipping points appear not far away. Cumulative effects are not being addressed well, and the result has been an inexorable creep towards environmental degradation.

Climate change is a pressing issue that needs addressing. Environmental laws like the RMA – now over 25 years old – have not fully realised their aspirations of sustainable resource management and ecosystem integrity.

As well as environmental problems, the system is failing to deliver on social, economic and cultural outcomes. This is particularly evident in large urban areas (especially Auckland), where dramatic increases in population and development pressures have caused many to question whether the system remains fit for purpose in the context of cities. Prominent issues have recently coalesced around the general topics of infrastructure, urban growth, housing unaffordability, water quality, process complexity, and many others. They stem from many different parts of the system. We are under pressure no matter the direction in which we turn.

Much ink has been spilled describing particular problems, proposing solutions, and attributing blame. But at some point the accumulation of problems becomes so great, and so suggestive of deeper systemic problems, that it merits sitting back and considering how the system works as a whole, and the foundations on which it is based. This is so we can reflect on its overall health, and not just treat symptoms as they emerge. There is a growing feeling among many people and public and private sector organisations in New Zealand that we have reached these kinds of systemic reflection points.

There is now also substantial political appetite for system-wide reform. In particular, the Minister for the Environment



has signalled that a first principles appraisal of the resource management system will be commencing later in 2019.⁶ A consortium of varied interests that makes up the Resource Reform New Zealand group is pushing for a rethink.⁷ A broad appetite for fundamental and integrated reform has become more noticeable over the past two years, with several high profile conferences and reports having themes or dedicated sessions on system design or a return to first principles.⁸

The Environmental Defence Society (EDS) is driving this conversation forward. In our *Reform of the Resource Management System* project, we are looking, from first principles, at how we could do better. By “first-principles” we generally mean that we are asking fundamental, future-focused questions about how our overall package of relevant laws and institutions should and can work. We are not just reacting to particular problems or looking at better ways to do the same things. We are asking *why* we do certain things, *whether* we should be doing them, and *how* we should be doing things in the future.

The project has two phases. Phase 1 (entitled *the Next Generation*) has been completed, and culminated in a final synthesis report released in February 2019. This provided extensive analysis and outlined three possible broad models for what a reformed system could look like. The report, which provides the foundations for Phase 2 of the project, is summarised briefly in this paper (see Chapters 3 and 4). However, we encourage readers to engage with the full report.⁹

It is crucial to keep the momentum going. The project’s second and final phase – of which this paper is a part – is called *A Pathway to Reform*. Over 2019 it will involve the production of two working papers, a final report, and an extensive programme of engagement. Phase 2 of the work seeks to complete the project in three key ways:

1. By generating a set of criteria for selecting a preferred model for reform (the focus of this working paper);
2. By applying that set of criteria to select a model, and develop the selected model (the focus of the second working paper);
3. By mapping out a pathway to the preferred model from what we have now.

This is not an academic exercise. We need to transition from a framework for thinking about issues, and a series of options for reform, to a specific model that could be implemented. So, in a nutshell, the intention of Phase 2 is to provide a tangible roadmap for change that will serve as a reference for a government embarking on its own reform journey, and a platform for others wishing to be part of that process.

More specifically, the objectives of Phase 2 can be framed as research questions:

- What would a set of criteria look like, against which options for reform can be assessed?
- What option is best when assessed against those criteria?

- What would the key statutes and statutory instruments of a reformed system look like?
- In what way would we draft key statutory sections, such as purposes, principles and links between statutes?
- What are the key features of a reformed system’s institutional arrangements?
- How would a reformed system apply to a series of topical real world scenarios, including particular issues, domains, sectors and spaces?
- What issues are likely to arise when we seek to transition from the present system to a reformed system, and how do we best address those?
- What does the pathway look like to enable this transition?
- How should it reflect contemporary and anticipated changes such as moving towards a low carbon economy?
- Which parts of a reformed system could be subject to staged implementation?

By constructing a tangible, holistic architecture for the system as a whole, we are providing a reformed-minded government with a blueprint for change. We are also charting a pathway to realising that option, recognising that the process of change is not easy. It must be carefully managed, and does not have to happen all at once or by the same means. However, that should not be used as an excuse to be less ambitious, or compromise, about much needed reform. A model that some may disagree with may seem less objectionable when reasonable timeframes and safeguards are put around the process of getting there. Meaningful and durable reform is about the journey as much as the product. Even if some people disagree with the specifics of the proposals that the work put forward in Phase 2, there is significant value in looking at the ways in which reform could proceed and where stumbling blocks are likely to be found along the way.

As our country faces an unprecedented amount of change over the coming decades, we need to have a system of managing resources that not only protects what we need to safeguard, but strives to encourage the use of resources in ways that will be in New Zealand’s long term interests and will align with the values of its people. This system needs to be adaptable, flexible and a good fit for the New Zealand of the future.

The project presents a rare opportunity to influence a once in a generation political and social appetite for change. Having laid a robust foundation for reform in Phase 1, Phase 2 is all about translating that into a practical toolbox for policy makers by constructing a specific and concrete model and outlining steps to implement it over time. We are looking forward to some much needed – albeit hard – conversations over the course of 2019.

2. STRUCTURE OF THE PROJECT

In this chapter we outline the structure of the project, as well as the structure of this paper. At the outset, it is worth taking a bird's-eye view of the whole project, to understand where the analysis in Phase 2 fits in relation to Phase 1.

Phase 1

In Phase 1, we defined and analysed the resource management system. The definition we adopted was broad – and encompasses much more than just the RMA, although that statute is at the heart of it. It is reproduced in the Appendix to this paper.

As shown in Figure 1 below, our analysis of the system in the Phase 1 report was structured primarily around four categories of “themes”, which were addressed in logical order. First were norms (what we are aiming for); second were functions (what roles the formal system plays in achieving our aims); third were structures (the architecture provided by legislative, institutional and participatory arrangements); and fourth were tools (concrete interventions we can use to drive behaviour). For each theme (and sub-theme within it), we provided analysis and presented options for reform (different system features that could be adopted). We also considered how the more general analysis could be applied to specific topics,



sectors, domains and spaces, by shining a series of “spotlights” on them throughout the report.

The purpose of Phase 1 was not to rush to specific solutions or recommendations, but rather to stimulate and guide a conversation about whole of system reform in a coherent, holistic, inclusive, and principled manner. That is a conversation to be had both within, and outside of, government. The key substantive messages of the Phase 1 report are summarised later in this paper, and in more depth in a summary for policy makers.¹⁰

The Phase 1 report concluded by offering three overall models for what a future system *could* look like. All of these models were considered to be broadly viable, but they were not intended to be exhaustive. We invited readers to play around with them – to clip components in or out – much as one might play with Lego blocks. We also recognised that people may wish to invent their own models based on the choices presented in the report (or other options not canvassed).

Chapter 1: Introduction
Chapter 2: Conceptualising the resource management system
Chapter 3: Context – the past, the present and the future
Part 1: Norms What is the system aiming for?
Chapter 4: Worldviews and ethics
Chapter 5: Legal and ethical principles
Part 2: Functions What does the system need to do?
Chapter 6: The rationale for public intervention
Chapter 7: Roles the system needs to perform
Part 3: Structures The architecture to enable our aims to be achieved
Chapter 8: Legislative design
Chapter 9: Institutional design
Chapter 10: Public participation
Part 4: Tools The interventions that influence behaviour
Chapter 11: Strategic tools
Chapter 12: Regulatory tools
Chapter 13: Non-regulatory tools
Part 5: Drawing the threads together
Chapter 14: Harmonising our tools
Chapter 15: Three models for a future system

Figure 1: Structure of the Phase 1 synthesis report

Phase 2

Phase 2 of the project has a different purpose: to select and flesh out one *preferred* model for reform. Although many people's perspectives will feed into that process, it is inevitable that no one model will satisfy everyone. Indeed, as we have pointed out in previous papers, in most cases we are faced with choices, not answers.

We therefore emphasise that the Phase 1 report is very much designed to stand alone. The hope is that it continues to facilitate open debate through the options it presents. In some places it highlights general features that a future system will, in our view, need to have in some form (eg some mechanism for allocating non-private resources, some form of spatial planning, etc). But it does not steer readers towards a particular model of reform. That is an important distinction to make: we do not claim to have the monopoly on thinking about the "right" model. In any case, we recognise that government (of whatever makeup) will want to put its own stamp on any first principles reform.

That is not to say Phase 2 is less important. On its own, Phase 1 will not be enough. Different options may well be legitimate, but better outcomes will not be forthcoming if we continue to debate such questions endlessly without actually making the hard choices. In Phase 2 we offer our own views on those. Progressing a recommended model will also be valuable to provide a blueprint, and road-map, for change. It will show not only that reform is necessary, but also that ambitious reforms can be translated into action.

Phase 2 will involve the production of two working papers (of which this paper is the first) and a final report. While

the working papers will not simply be stitched together uncritically to form the final report, it is envisaged that Phase 2 will proceed in three logical stages (see Figure 2 and subsequent discussion below). These follow on naturally from the Phase 1 report. The content of the papers will generally reflect these stages.

Stage	Content	Relevant paper	Engagement
Stage 1	Develop and choose criteria for selecting a preferred model	Working paper 1 published April 2019; integrated into final report	Workshop 1, interviews
Stage 2	Apply selected criteria to develop a preferred model in detail (including drafting key provisions)	Working paper 2 published September 2019; integrated into final report	Workshop 2, interviews
Stage 3	Chart a pathway to reform (what could happen when)	Final report published December 2019	Workshop 3, interviews

Figure 2: Broad structure of Phase 2 of the project



Phase 2, stage 1

The first stage (the main focus of this working paper) is about determining the criteria we should use to select a preferred model. Although many different choices about system design may be equally valid, this does not mean they should be made in a vacuum, or arbitrarily. They need to be measured and justified when compared with alternatives, even if that must sometimes involve a judgment about priorities or values rather than a wholly empirical answer. The criteria we adopt or the weight we give them may sound like a vague and waffly question, but has extremely important ramifications for what reforms look like in practice.

We also emphasise that this approach is unlikely to see the wholesale adoption of one of the three potential models presented at the end of the Phase 1 report. Those are primarily intended to showcase how the report's analysis can lead to different kinds of overall, tangible system change, not to provide a "take it or leave it" approach. As such, we are not taking the approach of simply testing those three models against different criteria and then deciding which one is best. Instead, the point is to develop a way to test and measure the more granular choices we face (eg whether we should split up the RMA, whether we should entrust more to an expanded Environmental Protection Authority (EPA), or whether we should use more economic instruments) and build a preferred model from the ground up.

Phase 2, stage 2

The second stage of Phase 2 (to be the main focus of Working Paper 2) is about applying a preferred set of criteria to construct a preferred model for a future system in detail. This will include drafting key legislative provisions.¹¹

There are many possible ways to "present" a reformed resource management system in a discursive report. As described above, in Phase 1 we broke the system down and presented it by theme. That is appropriate for a first principles analytical exercise, because it encourages people to think about the system as an inter-connected and amorphous whole, not just as a collection of existing statutes (eg the RMA, Local Government Act and Land Transport Management Act) or discrete topics (eg freshwater management, housing, and urban planning). Our starting point needs to be more fundamental than those things.

However, when describing the detail of an actual functioning system, that approach may prove confusing. For example, to start with an assertion that a (hypothetical) model is "founded upon an ecocentric ethic" is simply to beg much more concrete questions (what does that mean for our laws? Our institutional practices? What can I do and not do with my property?). After all, the system we are talking about here is not an ethical system; it is a formal system of legal frameworks within which ethics and principles are embedded.

It is much easier to grasp the nature of a reformed system by first describing its tangible structures. Above all, people are interested in what statutes there are and how they

have been split up, as well as what topics they cover, what purposes and process they have, and who operates under them. In fact, the first question on people's lips following Phase 1 has been "what happens to the RMA?" followed closely by "what happens to local government?".

Perhaps it is useful to describe this approach in more metaphorical terms: we have found it useful in Phase 1 to break down or atomise the existing system into a kind of primeval ooze (general themes that apply across the board) before we seek to reconstruct it in the shape we desire (specific statutes, institutions and processes). This approach was also taken in the three tangible models outlined in the final chapter of the Phase 1 report, insofar as they were described firstly in terms of legislative design (what statutes defined each model) rather than the general ethics and principles that underpinned them.¹²

This is, essentially, a reshuffling of the *order* of themes rather than abandoning the thematic structure altogether. We will not present a model according to sector (how it applies to agriculture, then energy, then fishing etc), domain (freshwater, air, soil etc) or space (urban, rural marine etc). Instead, those will be lenses that we explore through dedicated spotlights.¹³

Phase 2, stage 3

The third stage of Phase 2 is about charting a pathway to reform, which introduces a significant temporal element. Considerable change may be desirable, but it does not all have to happen at once. In fact, there are many reasons why a staggered approach looks best.¹⁴ Government may not be resourced to undertake it all in one go, and prioritisation is likely to be needed no matter what the scale of reform. Some measures may already be underway or imminent, and (to the extent they are desirable) need



to be factored in to the short term. Other elements may be on the cusp of political acceptability, and essentially require a period of probation; it is amazing how people’s outlooks can evolve in a matter of years.¹⁵

Abrupt change across the whole system could also upset business confidence, create uncertainty and place an undue burden on the courts. Some elements of reform may need to occur urgently – we need to focus on what really matters¹⁶ – and should not be brought crashing down because of more contentious, but ultimately less pressing, changes. This is not about targeting the low-hanging fruit or pushing through the “easy stuff” first. Some of the most difficult issues may prove to be the ones that need to be dealt with now – as experience with freshwater management is showing. Many factors are important when prioritising our attentions over time.

All of this suggests that ambition for reform is important, but that we need a coherent plan, with constant milestones, to achieve it over reasonable periods of time. It also suggests that cross-party consensus and depoliticisation of key issues is extremely valuable, to ensure that the key features of a reform pathway are durable across (potentially) several parliamentary terms. No more should our ambition for New Zealand be limited to RMA amendment bills rushed through within a three year period. These temporal, practical considerations cannot be an afterthought. They need to be embedded in the criteria from the outset so we can temper what we want the ideal system to look like against what will be possible over time.¹⁷

Working paper 1

As mentioned above, the main focus of this paper is the criteria by which we can select a preferred model. The structure of the paper is described below.

Chapter 1	Introduction
Chapter 2	How the project is structured
Chapter 3	Key messages from the Phase 1 report
Chapter 4	Options and models presented in the Phase 1 report
Chapter 5	The nature of criteria
Chapter 6	Possible criteria for reform
Chapter 7	Three possible sets of criteria
Chapter 8	Concluding comments

The paper explores and test ideas, and is designed to stimulate discussion. To this end, general questions are posed for the reader to consider. While it ultimately presents a particular viewpoint (our own), as a working paper it also represents a work in progress. The content of the working papers will evolve over the course of the project and be synthesised into a final report. As such, this working paper is intended to elicit feedback, which will be fed into the project. We are open to alternative ways of thinking. Responses can be directed to RMProject@eds.org.nz. A draft version of this paper was the topic of discussion at workshops held in April 2019, and we are grateful for the valuable and insightful responses we received as well as the robust conversations that were held.



Queenstown

3. KEY MESSAGES FROM THE PHASE 1 REPORT

While it is not the place of this paper to repeat the Phase 1 report, and we encourage people to engage deeply with its content, it is worth summarising the report's key messages in highly summarised form. Throughout Phase 2 (particularly the detailed design stage), the more in depth analysis and options presented in the Phase 1 report will be referred to extensively.

What is the resource management system?

The resource management system is the set of public interventions designed to influence how, when, where, why and by whom natural and physical resources are (or are not) used (see the Appendix to this paper for a more fulsome definition).

The system must provide a way to define our collective aims, methods to achieve them, and ways to determine if we are achieving them or not.

The report breaks down the system into analytical units based on "themes" (eg principles, legislative design, public participation) rather than domains (eg freshwater) sectors (eg transport) or spaces (eg urban).

The context of reform

The system we have now is a product of an important historical and cultural context, and the past will influence the future.

We are currently facing a number of significant resource management challenges and problems that need to be addressed. Key ones are canvassed in the full report.

The future will be significantly different from the present, and the system must be capable of meeting the challenges of tomorrow, not just today.

Ethics and principles

Ethical theories in the resource management and environmental context are primarily about how we define ourselves in relation to our surroundings and the natural world.

A useful way to approach the Western tradition of environmental ethics is by drawing a (fluid) distinction between human (including economics)-focused and nature-focused or ecocentric approaches.

Te Ao Māori is another important, and culturally-specific, way of approaching ethical questions in resource management.

A number of legal and ethical principles (such as sustainability and intergenerational equity) could underpin a future system. Many of them can be found in the current system, but can take various forms.

The proper roles of a future system

It is often unclear at which point the system (some form of public intervention) is appropriate, and when private freedom of action should prevail.

Different rationales for intervention include internalising externalities, correcting market failure, securing the public interest, and protecting/promoting Māori interests. A test based on the public interest and protection/promotion of Māori interests has merit.

A future resource management system should perform seven core roles, each of which has quite a distinct character: impose environmental bottom lines; manage trade-offs above bottom lines; fund and ensure the delivery of public goods (including infrastructure); pursue "good" outcomes (not just prevent or manage "bad" outcomes); protect and promote Māori interests; resolve disputes; and allocate rights to use non-private resources.

Legislative design

Legislation should be coherent, certain, accessible, durable, integrated, tailored to New Zealand circumstances, and efficient.

We can divide statutes in many different ways, but a consistent rationale for doing so needs to be maintained across the whole system.

It is desirable for one or more broad, outcomes-based statutes like the RMA to form the core of a future system, even if that does not mean retaining the RMA itself.

It may be possible to integrate the subject matter of existing statutes in some ways (eg land use and infrastructure planning) and/or to fragment them in others (eg the built and natural environments). These options all have pros and cons and need to be considered very carefully as part of wider system reform.

One option is to enact a higher piece of strategic legislation that harmonises other statutes.

Institutional design

Taking a holistic view of all our institutions, their characteristics, and how they work together is crucial for system-wide reform.

Key characteristics to consider include an institution's degree of independence, centralisation, breadth of subject focus, breadth of geographical focus, range of tasks, formality of creation, mandate, and degree of power.

Desirable combinations of characteristics can be reflected through either the internal design of an institution or through the separation of institutions that then interact with each other in a defined way.

Institutions' characteristics have important implications for their suitability in performing the core roles of a future system (eg setting bottom lines, allocating resources etc).

Public participation

Public participation refers to the involvement in a decision-making process, of a public nature, by those who are affected by a decision but do not make it.

Providing for public participation has significant benefits but can also have significant costs.

The system's approach to participation is often not a "problem" per se – it is a tension between legitimate concerns and values.

The extent of participatory rights will differ depending on the type of decision being made and the scale of potential impacts.

Participatory rights for Māori are important, although by some they are seen as inadequate, ineffective, or no substitute for institutional measures (eg power sharing).

A number of participatory reforms would be possible, but they require careful thought, have pros and cons, and have implications for other aspects of the system (eg institutional arrangements).

Strategic tools

A strategic tool is an overarching instrument that guides the actions of public authorities over time without being legally binding on private persons.

A future system could embrace strategic tools more, including through the development of an overarching New Zealand resource management strategy.

Strategic spatial planning would be an important complement to this wider strategy.

An integrated and strategic approach under the RMA could be achieved through the creation of a single government policy statement rather than ad hoc national policy statements and national environmental standards.

Other measures that could be taken include greater use of statutory targets, budgets (eg in the sense of carbon budgets), and public investment strategies.

Regulatory tools

Regulatory tools can result in sanctions on people if they do not comply.

Environmental human rights and rights for nature are regulatory tools that could be used in a future system, although they pose challenges.

Rights to use resources will continue to be important for investment certainty, but they need to bow to the public interest in environmental bottom lines.

Regulatory tools could be used to allocate rights to use non-private resources in a more proactive way (eg freshwater), but they face significant challenges relating to fairness and Māori interests, including where there are issues of reallocation or "de-allocation".

Environmental bottom lines require expression through clear regulatory restrictions in order to be effective as a safety net.

Regulatory tools can be used to prevent harm or require remediation, but have limitations when it comes to enhancing the environment (making people take action).

Different options are available for reforming regulatory plan making processes (eg under the RMA).

Compliance, monitoring and enforcement are essential for effective regulation, and a number of reform options are possible.

Non-regulatory tools

Non-regulatory tools do not force people to take action, they only incentivise and enable it. They include the use of economic instruments, behavioural nudging and funding mechanisms.

Non-regulatory tools will be important in encouraging people to take positive action, in a way that regulatory tools cannot. A future system could potentially make more use of economic instruments to incentivise positive behaviour and catalyse private investment in desirable activities.

Economic instruments can also be used as mechanisms to allocate and reallocate non-private resources (eg freshwater) in an economically efficient way. However, they have potential risks and downsides, and raise cultural and ethical issues. Similarly, charging for non-private resources has benefits but also faces practical challenges.

It is essential that the activities of public authorities (including local government) are properly funded, and that funding mechanisms provide appropriate incentives for decision-making.

Harmonising our tools

A future system needs to harmonise its strategic, regulatory and non-regulatory tools.

The relationship between the system's aims (normative alignment) needs to be clear and consistent.

Economic tools (including the tax system) could be used to align the basic incentives on private persons with the broader public goals the system is trying to achieve.

Regulatory and non-regulatory tools (eg in the context of climate change mitigation) can co-exist and be used to reinforce each other.

Greater procedural harmony in the planning of land use and infrastructure in the context of urban growth could be achieved in a variety of ways.

A future system could have clearer and firmer triggers requiring some form of policy or regulatory action to be taken in response to the measurement of unacceptable indicators.

We emphasise again that the theme-based points above are a dramatic over-simplification of the discussion in the Phase 1 report, and are outlined mainly as an indication of the ground that it covers. Within each theme, a number of options were sketched out: different system features that could be adopted. Because those options (and potentially others) will form the basic building blocks of a future system (with choices to be guided by criteria), it is worth distilling them. We did that in an appendix to the Phase 1 report, and reproduce that material in the following chapter.



4. OPTIONS AND MODELS FROM THE PHASE 1 REPORT

The Phase 1 report concluded by offering three tangible, overall models for reform. They represented combinations of features that we considered viable in a future system, which would showcase options canvased in the preceding analysis, and that would work well together. We also hoped that translating the analysis and options into overall models would encourage a system-wide view among readers, and channel theoretical discussion towards tangible or concrete suggestions for reform.

The three models are sketched out in brief below (with a focus on legislative arrangements), and we refer readers to Chapter 15 of the synthesis report for a more detailed account – as well as several wiring diagrams showing how in general terms they would operate.

Model 1

The most striking feature of Model 1 is the retention of the RMA as an integrated statute at the core of the system for managing natural and physical resources, and for many other structural features of the system to remain the same. Alongside the RMA there would still be the Local Government Act and the Land Transport Management

Act, separate legislation for hazardous substances and new organisms, and existing domain and location-specific legislation like the Conservation Act and Climate Change Response Act.

However, Model 1 would see the introduction of an additional layer of strategic legislation, in the form of a Spatial Planning Act. This would mandate the creation of spatial plans, with the intention of them guiding integrated decision-making under the RMA, Local Government Act, Land Transport Management Act, and the spatial components of other statutes. The Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act (EEZ Act) would also be melded into the RMA to form a single statute for the sustainable management of land and sea. Model 1 would also see the expansion of some tools, and the transfer of some institutional responsibilities. The system would remain readily recognisable as the one we have now, but with improvements.

What would happen to existing legislation in Model 1 is shown in Figure 3 below. This focus on legislative design by no means captures the full model (institutions, tools, processes, norms etc), but indicates some structural features people may be particularly interested in.



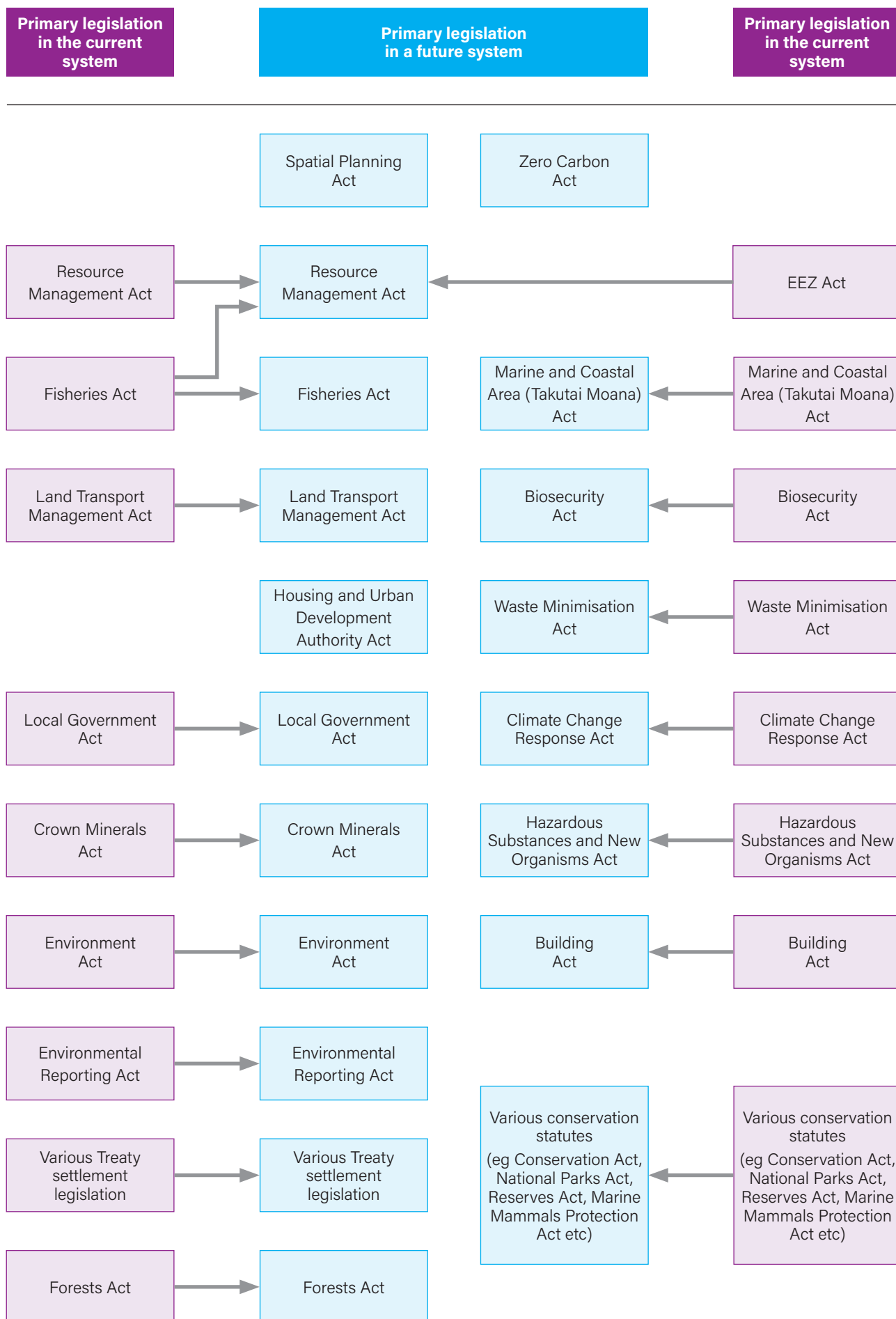


Figure 3: What would happen to existing legislation in model 1

Model 2

Model 2 involves a greater degree of structural change than Model 1. The RMA would be split into a Planning Act and an Environment Act, and the infrastructure planning and funding components of the Local Government Act and Land Transport Management Act would be incorporated in the Planning Act. So too would proposed Housing and Urban Development Authority legislation. There would be a separate Allocation Act, which would deal with the current resource allocation functions of the RMA, Crown Minerals Act, and Fisheries Act. Included in the Environment Act would be the protective elements of the Fisheries Act, Forests Act, heritage legislation, and the Environmental Reporting Act. There would be no separate strategic spatial planning statute, as this would occur under the Planning Act.

The EEZ Act would remain separate, as would climate legislation relating to the emissions trading scheme, but conservation and species protection legislation would be integrated into a single Protected Areas and Species Act. Local government arrangements would be overhauled, with the creation of regional-level unitary councils, the decentralisation of land transport planning, and the compulsory creation of regional level council-controlled organisations for the provision of water and waste-water services. Unitary councils would do planning, and a beefed-up EPA would deal with environmental regulation.

What would happen to existing legislation in Model 2 is shown in Figure 4 below.



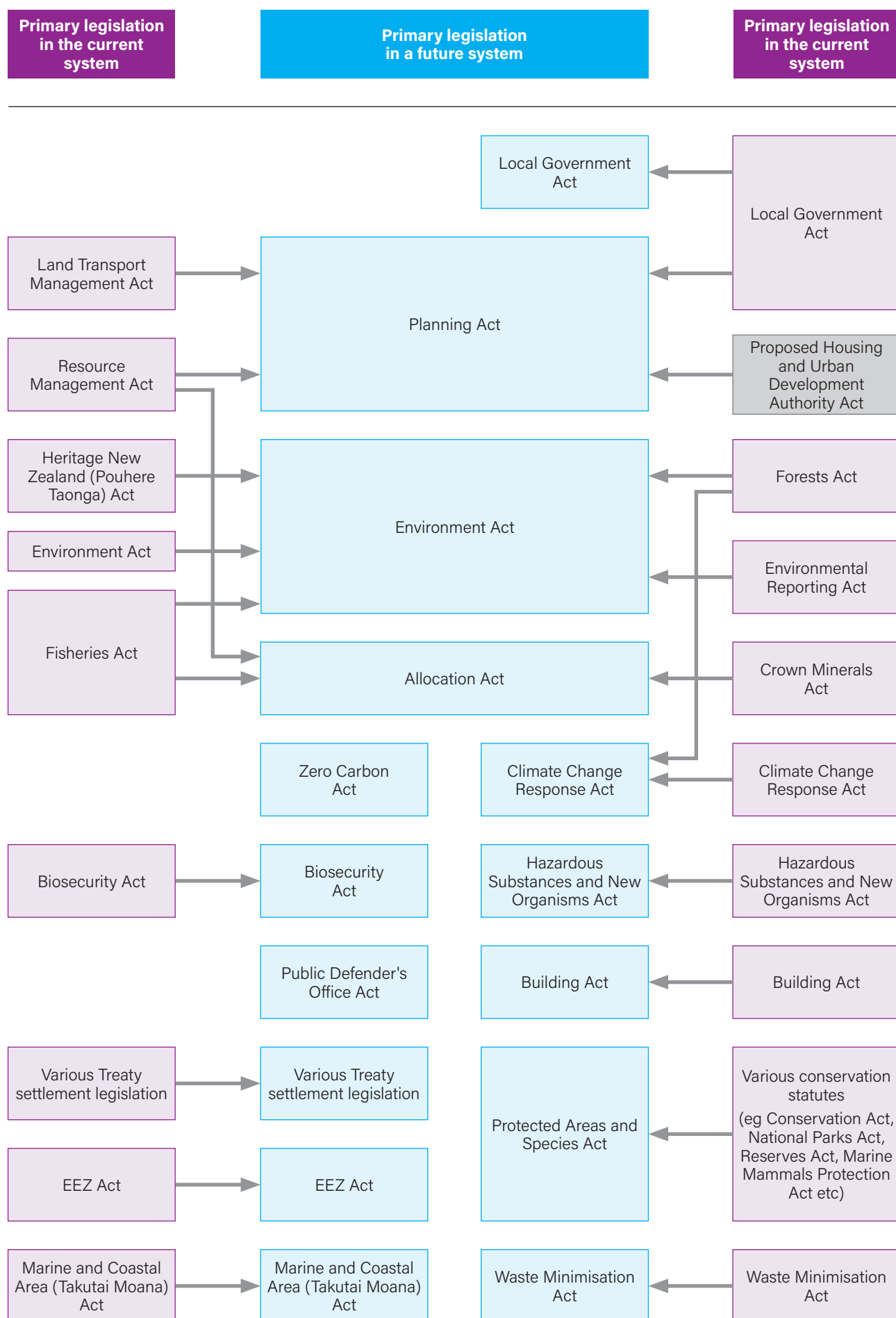


Figure 4: What would happen to existing legislation in model 2

Model 3

Model 3 also represents fairly fundamental change to the existing system, but in different ways to Model 2. The RMA would be split into an Environmental Protection Act and a Resource Stewardship Act. This split would not be about built vs natural, or land vs common pool resources (like air and water). Instead, the Environmental Protection Act would be concerned with imposing strict bottom lines under a protective purpose, and the Resource Stewardship Act would be about facilitating trade-offs and pursuing synergies in resource use *above* bottom lines. The Local Government Act and Land Transport Management Act would remain and perform the same functions as they do now. But there would also be an additional overarching act above these four core statutes: the Environmental Strategy Act. That would provide common principles that would have to be given effect to in all other resource management legislation. It would also require the production of spatial plans to align more targeted decisions on land use planning and infrastructure funding made under the four core acts mentioned above. A separate Allocation Act would be enacted, incorporating the allocative parts of the RMA and Fisheries Act (but not the Crown Minerals Act, which would remain separate).

To counteract the fragmentary effect of these reforms (ie the creation of several additional statutes), a number of existing statutes would be integrated into them. Relevant provisions of legislation concerning the exclusive economic zone, climate change, heritage, pest management, environmental reporting, waste minimisation, conservation land, protection of flora and fauna, and protection of fisheries would be contained in one or more of the six core statutes described above, depending on the kind of role being performed. The

plans produced under these acts would therefore be more integrated and wider ranging than at present. More specific frameworks such as hazardous substances and new organisms, civil defence, and construction would remain separate. So too would the Marine and Coastal Area (Takutai Moana) Act. The existing Environment Act would be renamed the Environmental Governance Act, and subsume provisions that establish permanent institutions like the Environment Court, the EPA, and a new Resource Management Commission.

There would be significant institutional and funding reform. There would be no local government reorganisation *per se*, but responsibility for setting bottom lines under the Environmental Protection Act would fall to an Environmental Protection Authority with strengthened mandate and greater resources. Transport services would continue to be provided as at present, but the delivery of water and waste-water services would become the responsibility of regional level, arm's-length Crown entities. That would require bespoke legislation – a Water Services Act – which would also need to be aligned through the spatial planning process mentioned above. An independent Resource Management Commission would also be established, which would provide independent advice to government and hold it to account in relation to environmental bottom lines, and subsume the Parliamentary Commissioner for the Environment and proposed Climate Commission. Local government funding would come primarily from a regional goods and services tax (GST), and at a national level the tax system would be gradually reconfigured on the basis of an environmental footprint tax.

What would happen to existing legislation in Model 3 is shown in Figure 5 below.



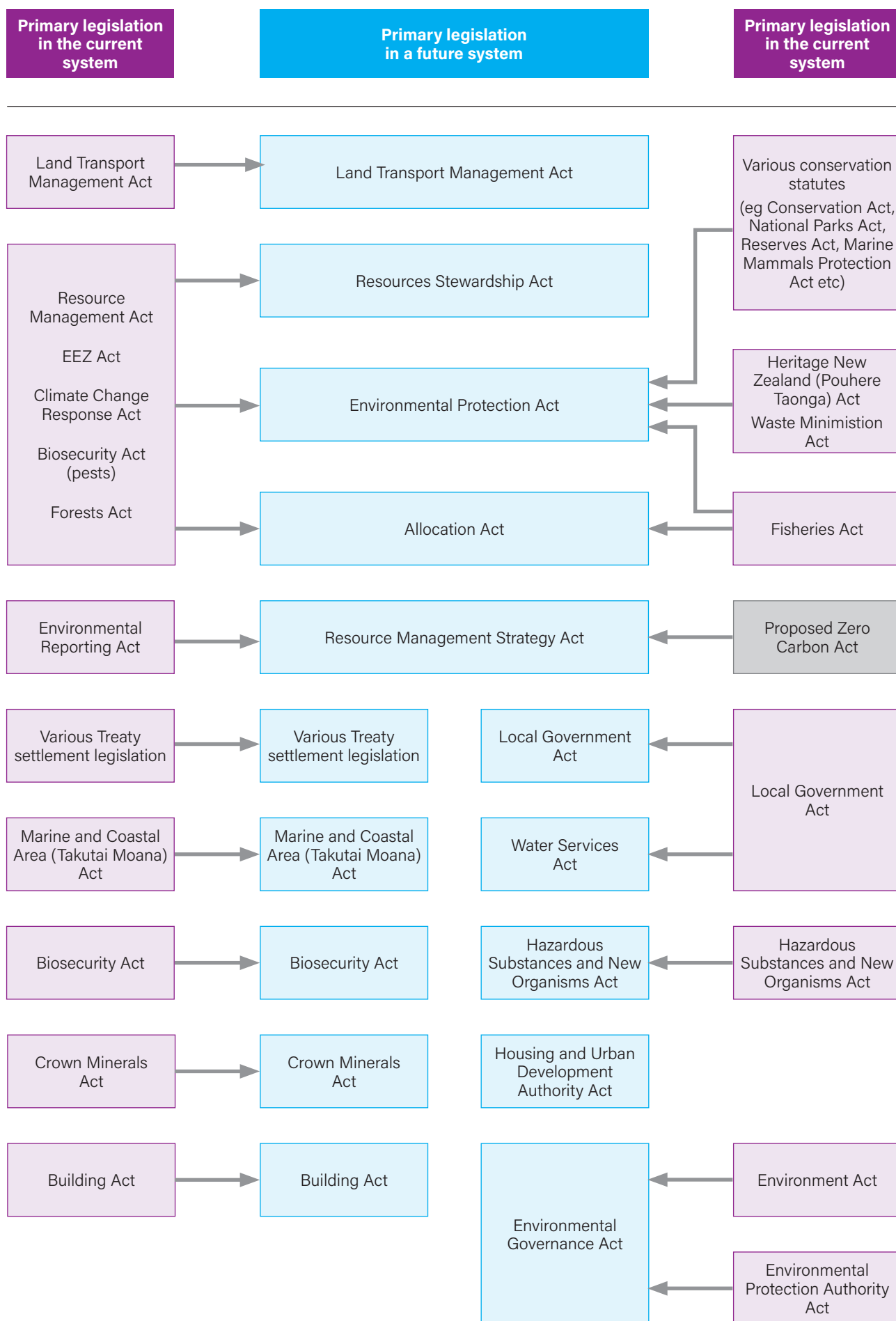


Figure 5: What would happen to existing legislation in model 3

Relationship between the Phase 1 models and Phase 2 analysis

The three models described above were constructed by combining a number of possible features and ideas discussed in the Phase 1 report. However, they were not chosen above other possible models using any particular criteria (other than that we were, perhaps, hopeful that most people would see at least elements of their own perspectives reflected somewhere within them). The models were designed to traverse a range of reasonable solutions that were likely to come from different quarters, alongside some ideas of our own. None was preferred or recommended.

While they are useful examples to keep in the back of one's mind, the three models of Phase 1 are by no means the starting point for Phase 2. The task ahead is not simply to decide which of those models to adopt or reject. Hundreds of elements can be combined in thousands of ways, to produce a huge variety of models that will be equally valid to those three presented. Some may find it useful to start with the models that have been sketched out, and replace or add elements (until, perhaps, they are no longer recognisable as the original).

However, Phase 2 returns more firmly to first principles. It embraces the idea that a preferred model should be actively constructed from its constituent building blocks (a statute here, an institution there) according to transparent criteria, rather than using criteria after the fact to test one or more models that have already been constructed. Criteria are being used to make the choices that are in front of us, not to test choices already made.

That said, we do not start from a blank slate. We already have an array of building blocks from which we can choose: the more granular options for reform presented in the report, according to themes (eg public participation, legislative design, principles, and so forth). For example, some specific options include:¹⁸

- Insert climate change mitigation as a matter of national importance in s 6 of the RMA

- Split the RMA into statutes dealing with the built and natural environments
- Require central government to create a single "Government Policy Statement/Environmental Standard" under the RMA, imposing bottom lines across all domains
- Remove appeal rights to the Environment Court for RMA plans
- Enact a Spatial Planning Act that has legal effect in relation to the RMA, Local Government Act, and Land Transport Management Act
- Amend Part 2 of the RMA to make it clear it requires the setting of bottom lines, not just that higher level instruments (eg national policy statements) must be given effect to in lower level instruments (eg regional plans)
- Make greater use of economic instruments
- Charge for the use of common pool natural resources
- Create a common set of allocative principles by which common pool resources are allocated
- Require an independent EPA to set environmental bottom lines (ie remove function from regional councils)
- Remove responsibility for delivering drinking water and wastewater services and infrastructure from councils to arms-length regional or national water utilities
- Integrate various pieces of conservation legislation into a single act
- Amend Part 2 of the RMA to reflect both protective and development focused outcomes

At a broader level, options were summarised and compiled into table form in an appendix to the synthesis report (and which is reproduced below). We emphasise that the options shown below have much more nuance (and sub-options) than can be shown in a short table, and that other options not captured here may also be possible. When applying criteria to develop a model we will need to engage in that detail, but the point for now is simply to give a sense of the kinds of choices we face.



Worldviews and ethics

Sub-theme	Option 1	Option 2	Option 3	Option 4
Worldview	An ecocentric outlook; AND/OR	A broad anthropocentric outlook; AND/OR	An economic outlook; AND/OR	A Te Ao Māori outlook
Direction of travel	Retain the current mix of worldviews (ie economic, anthropocentric, ecocentric and Te Ao Māori); OR	Retain a mix of worldviews, but shift the balance in one direction or another; OR	Radically change the ethic that underpins our resource management system as a whole	
Economic worldview	Retain the current place of economics in the system; OR	Strengthen an economic worldview; OR	Place greater emphasis on the free market and private choice	
Ecocentrism	Retain references to nature's intrinsic value in the system; OR	Remove intrinsic value in favour of monetary valuation of relative human interests OR	Embed rights and responsibilities for nature in the system	
Te Ao Māori	Retain references to the Māori worldview (eg kaitiakitanga) alongside other kinds of worldview; OR	Focus on strengthening Treaty of Waitangi obligations; OR	Embed Māori concepts like tikanga as foundational concepts (eg instead of sustainability)	



Órere Point

Principles

Sub-theme	Option 1	Option 2	Option 3
Mix of principles	Retain the principles we have in the current system; OR	Add to the principles we currently have; OR	Fundamentally replace the principles we have
Umbrella principle	Retain sustainability as the main driving principle; OR	Add to or amend our umbrella principle(s) eg to embrace things like resilience, the public interest, sustainable development; OR	Change our umbrella principle(s) in a more fundamental way (eg replacing with a Māori or ecocentric conception)
Inter-generational equity	Retain the status quo (some reference but little clarification); OR	Specify that future generations' needs are subject to the basic needs of current generations; OR	Place equal or greater value on the needs of future generations of both humans and nature
Distributional equity and environmental justice	Do not use the resource management system to address social and economic issues; OR	Ensure the system addresses issues of social and economic development; OR	Ensure the system addresses human social and economic development issues, as well as ecological justice for nature
Māori principles	Retain the status quo (some reference to Māori principles); OR	Strengthen the recognition of Māori values in the resource management system; OR	Use Māori principles as the foundation for management instead of Western concepts
Polluter-/ user-pays	Retain the status quo (partial internalisation of costs); OR	More fully internalise the costs of adverse effects (eg through taxes and charges); OR	Charge for use of public resources irrespective of the adverse effects of use
Subsidiarity	Retain the status quo (mixed, but with uncertainty as to where national and local interests reside); OR	Greater centralisation of some responsibilities; OR	Greater localisation of some responsibilities
Development	Retain a largely market-led and reactive approach to how resources are used; OR	Provide more guidance as to which resource uses are more or less desirable; OR	Be much more active in directing which resource uses occur and where
Conservation	Focus mainly on protecting valuable conservation values on public land; OR	Incentivise environmental enhancement to occur on private land, with associated public funding; OR	Require private persons to pursue environmental enhancement
Precaution	Rely on existing provisions and case law concerning precaution; OR	Strengthen precautionary provisions in legislation (such as the RMA); AND/OR	Reverse the burden of proof, and strengthen the standard of proof, in permitting processes
Efficiency	Efficiency is one matter, but not the only one, to consider among many when making decisions; AND/OR	Make regulatory processes (eg planning and permitting) more efficient; AND/OR	Improve efficiency of resource use (eg by allocating resources)

Rationale for public intervention and roles of the system

Sub-theme	Option 1	Option 2	Option 3
Rationale for intervention	To internalise externalities, provide public goods, and coordinate infrastructure provision; OR	To pursue the “public interest”; OR	Rely on a test like “taonga”
Roles of a future system	Imposing bottom lines; AND/OR	Making trade-offs above/ outside bottom lines; AND/OR	Providing public goods; AND/OR pursuing broader positive outcomes; AND/OR
	Pursuing positive outcomes; AND/OR	Protecting/pursuing Māori interests; AND/OR	Allocation of non-private resources
Approach to bottom lines	Retain the status quo based on <i>EDS v King Salmon</i> ; OR	Clarify that the RMA requires (not just enables) the imposition of bottom lines; AND/OR	Require central government to produce a comprehensive suite of bottom lines across all domains
Approach to trade-offs	The system is agnostic as to the trade-offs that are made above or outside bottom lines; OR	The system has a role to play in making trade-offs above bottom lines; AND/OR	The system has a role to play in making trade-offs where true bottom lines do not exist
Approach to positive outcomes	Rely on public authorities to pursue positive outcomes; AND/OR	Incentivise private persons to pursue positive outcomes; AND/OR	Require private persons to pursue positive outcomes, not just prevent negative ones
Protecting Māori interests	See Principles above and Institutional design below		
Approach to dispute resolution	Treat all resource management disputes under legislation focused on the public interest like the RMA; OR	Separate recognition of public and private disputes within statutes like the RMA; OR	Separate legislation for resolving public interest and private disputes
Approach to allocation of non-private resources	Use a first in time approach for allocation; OR	Adopt a more structured approach to allocation based on economic considerations (eg auctioning, tradeable permits); OR	Introduce principles for allocation (eg equity, cultural use, efficiency, public interest)



Legislative design

Sub-theme	Option 1	Option 2	Option 3
General approach	Status quo; OR	Greater fragmentation of legislation; OR	Greater integration of legislation; OR
Relationships between system's statutes	Spatial or subject separation (no overlap – eg RMA vs minerals); OR	Hierarchy – specify that some statutes override others (eg urban development legislation overriding purpose of RMA); OR	Mutual reinforcement (eg greater focus on sustainability in land transport legislation)
Splitting up the RMA	Do not split the RMA up; OR	Split up into “planning” and “environment” legislation; OR	Split up into “urban” and “non-urban” legislation; OR
	Create a soft separation within the RMA (eg different principles for planning and environment); OR	Split up into “bottom lines” and “balancing” legislation; OR	Split up the RMA into multiple sectoral, OR domain-based, OR location-specific statutes
Adding to the RMA	Clarify that the RMA is about positive planning, not just about managing adverse effects (eg adding to s 6 matters to reflect urban development benefits); AND/OR	Keep the infrastructure planning and funding components of other statutes separate from RMA (or successors, such as a Planning Act), while improving cross-references; OR	Integrate the infrastructure planning and funding components of the Local Government Act and Land Transport Management Act into the RMA (or successors, like a Planning Act, or a separate Infrastructure Act)
Allocation legislation	Retain sector-specific allocation statutes (eg minerals, fisheries) alongside domain-based allocation under the RMA (eg water, coastal space); OR	Integrate allocative statutes into a separate act for all domains and sectors (eg water, minerals, fisheries, etc); OR	Integrate all allocative statutes (eg minerals, fisheries) into the RMA
Outcomes-based statutes	Retain separate legislation (eg RMA, EEZ Act, Waste Minimisation Act, Biosecurity Act); OR	Combine some statutes (eg RMA and EEZ Act); OR	Integrate multiple statutes into the RMA (or successors)
Domain-based statutes	Retain status quo (eg separate statutes for climate, marine mammals, wildlife etc); OR	Integrate some domain-based frameworks into the RMA (eg climate); OR	Integrate multiple domain-based frameworks into the RMA
Location-based statutes	Retain existing statutes and add new location-based statutes (eg urban development legislation, Kermadecs legislation); OR	Integrate some existing location-based statutes into the RMA; AND/OR	Integrate conservation-focused statutes into a single Protected Areas Act (eg national parks, marine reserves, reserves, etc)
Sectoral statutes	Retain separate sectoral statutes (eg for forestry, fisheries, minerals); OR	Integrate sectoral statutes into outcomes-based legislation (eg RMA or successor, and an Allocation Act)	
Treaty settlement legislation	Retain separate Treaty settlement legislation; OR	Integrate relevant parts of specific settlement statutes into more general statutes like the RMA, alongside original settlement legislation; OR	Integrate settlement legislation into more general statutes
Overarching legislation	Retain separate statutes with no overarching legislation; OR	Add a strategic, integrative statute that influences lower statutes like the RMA, Local Government Act, and others; AND/OR	Protect the content of an overarching statute as a “constitutional” document (eg through entrenchment)

Institutional design

Sub-theme	Option 1	Option 2	Option 3
Direction of travel	Retain current institutional arrangements; OR	Add new institutions and/or redistribute functions between existing ones; OR	Fundamentally change our institutions (eg local government)
Setting bottom lines	Retain the status quo; OR	Greater use of independent institutions (eg EPA and Resource Management Commission); AND/OR	Greater use of central institutions; AND/OR
	Greater use of domain-based institutions (eg a dedicated water or drinking water regulator)		
Making trade-offs	Retain the status quo; OR	Greater use of independent institutions as advisors or decision-makers when making trade-offs (eg Planning Commission or Independent Hearings Panels); OR	Greater use of accountable institutions to make value-based decisions (eg reduce the role of the Environment Court)
Providing public goods	Retain the status quo; OR	Greater use of independent institutions (eg council-controlled organisations, state-owned enterprises); AND/OR	Greater regionalisation or centralisation (eg regional level Crown entities, local government reorganisation, shared services); OR
	Shifting functions to existing organisations (eg from national to regional level transport planning)		
Protecting and promoting Māori interests	Strengthen the directions/ mandates of existing institutions to protect Māori interests; AND/OR	Creation of more "partnership" institutions (eg co-governance and co-management); AND/OR	Transfer of powers to Māori institutions
Resolving disputes	Retain the status quo (private disputes resolved by institutions concerned primarily with the public interest); OR	Separation between institutions concerned with public interest (eg councils) and only private interest (eg disputes tribunal)	
Allocating non-private resources	Retain the status quo (differs by domain), with RMA allocative decisions taken by councils; OR	Greater localisation through collaborative processes; OR	Greater centralisation and/ or independence in allocating resources (eg by EPA or commission using common principles or market tools)

Public participation

Sub-theme	Option 1	Option 2	Option 3
General direction of travel	Retain the status quo (or rationalisation of multiple participatory processes); OR	Strengthen participatory rights; OR	Weaken participatory rights
Point of engagement under the RMA	Retain the status quo (participation at planning and permitting stages); OR	Participation occurs more at permitting stage, reduce involvement at planning stage; OR	Participation occurs more at planning stage, reduce involvement at permitting stage
Extent of participation	Retain current rights of submission and appeal (and add notification appeal rights); OR	Provide appeal and submission rights, but curtail the ability to appeal (eg the Auckland Unitary Plan process); OR	Remove appeal rights but allow wider rights to be notified and submit
Topic	Retain the status quo; OR	Strengthen participation (eg appeal rights) for some topics (eg climate change policy, fisheries restrictions); OR	Remove participation for some topics (eg submission and appeal rights for issues of amenity)
Purpose of participation	Retain public participation as a way to provide information and a check and balance on developers; OR	Rely on the auditing role of an independent institution to provide a check and balance on developers; AND/OR	Rely on an institution like the EPA to provide independent information
Supporting participation	Ensure robust funding and resourcing for meaningful public participation; OR	Actively incentivise participation through novel engagement mechanisms; OR	Create and resource institutions that represent aspects of the public interest (eg future generations) or nature
Extent of rights	Facilitate participation at the stage where values-based decisions are being made (eg policies and strategies); OR	Facilitate participation at the stage where decisions have more immediate impact on people (eg consents); OR	Restrict participation to situations in which people are directly affected
Role	Restrict participation when applying bottom lines; AND/OR	Allow participation when balancing various forms of wellbeing; AND/OR	Restrict participation when allocating resources
Appeal rights	Allow appeals only for local and regional level decisions; OR	Allow appeals for national level decisions	
Process	Limit the number of participatory processes in the system; AND/OR	Allow a general process that can be tailored to different circumstances; OR	Prescribe the process by which participation occurs



Tools

Sub-theme	Options		
Strategic tools	Create an overarching Resource Management Strategy with legal influence over decision-making under other statutes; AND/OR	Amend statutory purpose statements to focus on the need for change, not just management; AND/OR	Make greater use of targets and budgets where appropriate; AND/OR
	Create mechanisms that guide investment decisions by public authorities (including implementing a budget focused on multiple aspects of wellbeing); AND/OR	Implement spatial planning so that it is mandatory, national and regional, outcomes-focused, and has legal influence over other statutory decision-making processes	
Creation of legal rights for environmental outcomes	Create property rights in the commons to encourage responsible environmental management; OR	Create human rights to a healthy environment; OR	Create rights (and associated human responsibilities) for aspects of the natural world; OR
Legal rights and allocation	Use permitting processes as the default mechanism by which rights to use resources are allocated and reallocated (first in time); OR	Establish or mandate the use of more structured and competitive regulatory mechanisms for allocation (and reallocation), such as collaborative processes or comparative consent applications; OR	Establish a common (or domain-specific) set of principles to inform allocation (and reallocation) decisions; OR
	Use economic tools to allocate and reallocate rights to resources (eg auctioning, tendering, a market for tradeable rights); AND/OR	Safeguard particular sectors, groups or activities by proactively allocating a share of resource to them (such as Māori)	
Regulatory restrictions	Retain current mix of hard limits (eg prohibited activities and prescriptive regulation) and discretion (eg consenting decisions informed by general policies); OR	Make greater use of firm regulatory tools like prohibited activities, rāhui, and water conservation orders; AND/OR	Make use of regulatory restrictions that bite earlier to manage the risk of harm rather than respond to it (such as product stewardship schemes)
Regulatory duties	Strengthen duties on public authorities to monitor and report on the state of the environment; AND/OR	Strengthen the ability of the system to impose proactive duties on private persons where triggered by adverse effects (eg offsetting); AND/OR	Strengthen the ability of the system to impose proactive duties on private persons even where unrelated to adverse effects
Approach to planning	Retain the current mix between effects-based and activity-based planning; OR	Greater use of effects-based planning and reliance on discretionary permitting processes; OR	Greater use of activity-based planning and reliance on specific planning restrictions
Planning process	Retain the status quo; OR	Embrace greater agility in making and changing plans; OR	Embrace greater agility only for some roles (eg trade-offs but not the weakening of bottom lines)
Compliance and enforcement	Retain the status quo (councils remain responsible for enforcement); OR	Transfer some functions to a central government enforcement agency (ministry or EPA) to act alongside councils; OR	Centralise enforcement functions in a government agency (such as a ministry or EPA)

Sub-theme	Options		
Funding for regulatory and enforcement services	Retain the status quo (cost recovery from permit holders, general funds for planning); AND/OR	Provide a better ability to recover costs of enforcing permitted activity standards; AND/OR	Greater central government financial assistance for councils to discharge regulatory responsibilities
Funding public goods	Retain the status quo (multiple funding sources, with councils reliant on rates), OR achieve economies of scale through shared services or reorganisation; AND/OR	Make more use of user-charging tools (eg tolling, volumetric charging of water), and/or hypothecation of funds; OR	Fundamentally change the way in which local government is funded (eg a portion of GST or income tax)
Influencing private behaviour	Rely primarily on regulatory tools to dictate behaviour; OR	Make greater use of economic instruments to influence behaviour (eg charges/taxes, subsidies, tradeable permits) and ensure a return to the public (charging for non-private resources); AND/OR	Make greater use of psychological insights to influence behaviour (eg nudges)
Harmonising tools	Adopt a Resource Management Strategy to align tools created under separate frameworks; AND/OR	Embrace attribute-weighted tendering to allocate resources as a way to achieve synergies; AND/OR	Fundamentally overhaul the basis of the tax system to align private incentives with the public interest in environmental wellbeing (eg through an environmental footprint tax); AND/OR
	Implement a layer of strategic spatial planning that has legal influence over other statutory frameworks concerned with land use and infrastructure; OR	Integrate planning processes under multiple statutes to produce one (or a limited range) of interlinked plans; AND/OR	Implement a “front-of-house” permitting system to provide applicants with a single process and point of contact for obtaining relevant authorisations, or better link permitting processes under different frameworks
Evaluation	Require all public interventions to be evaluated based on robust monitoring; AND/OR	Set triggers that oblige some kind of policy response to inadequate outcomes; AND/OR	Mandate the kind of policy response, including timeframes for completion



5. THE NATURE OF CRITERIA

Introduction

Above, we have outlined some of the possible features we could combine to form the bones of a new overall model. By “features” we mean the system’s building blocks, such as legislation, norms, institutions, economic instruments, participatory mechanisms, and so forth. Features can be general or specific.

A system-wide view requires us not only to choose between alternative features, but also to take care that those that are chosen fit together well.¹⁹ Some will be complementary or mutually reinforcing, others might prove to be uneasy bedfellows.

There is an almost infinite variety of ways to combine features. Many different overall models are therefore possible, and many of those are bound to be viable. But we do not have the luxury of implementing more than one. So how, as a country, do we choose which model is the best one?

Particular groups or interests may give their own answers to this question, and that is a legitimate response. For example, it is natural for the local government sector to advocate for features that preserve and enhance localism. It is logical for business interests to embrace a principle of economic efficiency. Māori will bring with them a determination to preserve their cultural and spiritual connections with the environment and enhance their role in decision-making. And environmental groups will focus primarily on the need to preserve and enhance the natural world. All these views (and others) should be carefully considered. Synergies should also be pursued; a conversation is needed not just to recognise where trade-offs should (and shouldn’t) be made, but also to discover where win-win situations could exist if we did things differently.

However, that does not answer the question. It is impossible to avoid the conclusion that hard choices will need to be made in many places. There are many things upon which New Zealanders will not agree.

The importance of criteria

We think that a reform exercise like this requires system-wide criteria to determine which features are best. Choices should not be combined in an ad hoc way according to personal preference, gut reaction or who shouts the loudest.²⁰ Looking at common criteria focuses everyone’s initial energy on the primary question of *why* we are making reforms, not *what* they should be. They make the reasoning behind specific choices more transparent by tying them to agreed values. They are also important to prevent the reform process becoming one of constant negotiation between interests, which risks incoherence and instability in the final product.²¹ At our April workshops this point – system coherence and alignment towards common goals – was emphasised time and time again.

So what do we mean by criteria? In short, they are a coherent set of qualitative metrics for measuring how desirable different reform options are. Some may wish to think of criteria as the *objectives* of reform – what we are aiming to get out of the exercise.²² In simple terms, criteria give us a general yardstick for assessing which choices about system features are best.

Criteria are a coherent set of qualitative metrics for measuring how desirable different reform options are.

For example, one criterion may be that an option minimises disturbance to the status quo, or prevents the



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loss of valuable case law. Prioritising criteria like that may mean that splitting or fundamentally reworking the RMA is not a good idea. Other people may be more concerned about ensuring flexibility or agility. That may lead to changes in planning and participatory processes (eg restrictions on standing, or rethinking the extent of merits appeals). Specific criteria and how they could be combined are explored further below. However, a few more general points can be made first.

Relationships between criteria

We need to ensure that all relevant criteria are included, and undesirable ones are excluded. However, perhaps more important are the relationships *between* the criteria we select. If we are to have more than one criterion, they need to form a compatible set. There is little point producing a laundry list of divergent aspirational

statements from which any person can pick and choose according to their own tastes or circumstances (see Figure 6 below). To do so may be a good way to satisfy most people, but it means that the difficult choices are likely to simply reappear to be dealt with in more specific, ad hoc circumstances. Prioritisation between outcomes may need to happen; as one commentator has said, we “need to better focus our planning attention on what really matters.”²³ Considering relationships between general criteria can help with that.

For example, it is extremely difficult to apply criteria based on simple statements that “both environmental wellbeing and economic growth need to be maximised”. Viewed in traditional or “business as usual” ways,²⁴ we are rapidly learning that this is simply not possible. Viewed in more transformational ways,²⁵ it may be²⁶ – but our criteria need to reflect what that transformation actually means (eg “growth” as traditionally measured does not



necessarily equate to “wellbeing”, economic or otherwise, and the kinds of tools we use may need to be different to increase all forms of wellbeing). We must go beyond simple political slogans that assume one should not come at the expense of the other.²⁷

- The system should facilitate or encourage economic growth
- The system should allow local communities to make decisions that affect them directly
- The system should drive environmental restoration
- The system should pursue efficient outcomes and maximise economies of scale
- The system should be flexible and adaptable to reflect a changing society and environment
- The system should provide certainty for both regulators and regulated communities

Figure 6: A list of general, aspirational criteria. Lists like these are not enough to guide hard choices, and defer them for consideration in more specific, ad hoc contexts.

While criteria need to be compatible, this does not mean they need to be one eyed. To the extent they are, they simply ignore the very real tensions that exist. For example, we should not reject the value of resource use in favour of environmental protection,²⁸ or vice versa. Seldom can we talk in absolutes. Instead, compatibility between criteria is about recognising reasonably clear and nuanced relationships based on connections, hierarchies and weightings. If a reform option would fulfil one criterion but fall short on another, we need to have a sense of what that means for the acceptability of that option: which criterion is more important, and when? Because so much of the resource management system is about considering the future – what could happen – an important element in relationships between criteria will relate to risk (how likely outcomes are, and how significant they would be if they occurred).

The majority of the criteria we suggest later in this working paper are unlikely to be *inherently* objectionable,²⁹ in the same way that very few people seem to fundamentally disagree with any statement made in the purpose and principles (Part 2) of the RMA. And as with debates over Part 2 of the RMA, disagreements over criteria are more likely to be couched in the relative language of relationships (that one criterion is being inappropriately treated as more important than others)³⁰ or incorrect application (that a particular choice of feature does not flow logically from applying those criteria) (see Figure 7 below).

How to describe the relationships between different criteria will never be an entirely empirical or objective exercise. Much will depend on people’s values and what they think is relatively important, or the context (eg sector or domain) that is in the forefront of their minds. Similarly, how to apply criteria (in order to choose particular features) will be fraught.³¹ The best set of criteria in the world will never spit out a “blueprint” that is easy to apply to every choice.

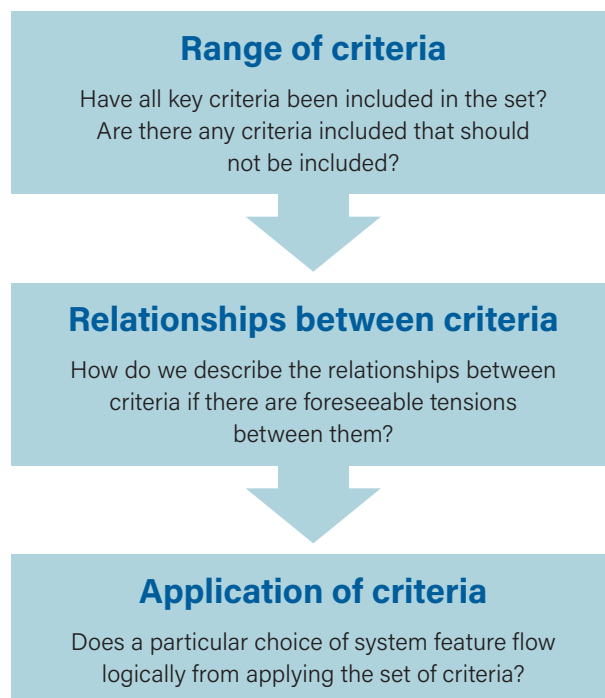


Figure 7: Three points at which key debates are needed in relation to criteria. The second and third points seem likely to generate more disagreement than the first.

If we adopt multiple criteria, we need to ensure that all relevant ones are included. A key question will then be the nature of the relationships between them. While they will reflect different perspectives, criteria must still form a coherent set. This means that many relationships will need to be defined in terms of hierarchy or weight: which is really more important? And where can we achieve mutual reinforcement?

Selecting between different sets of criteria

Alternative sets of criteria could be adopted. That is a fairly obvious statement in light of the discussion above. A person may support a slightly different weighting here or there, or support the inclusion/rejection of entirely different criteria. That will produce significantly or subtly different criteria sets. Even subtle differences can have significant ramifications when they are applied (ie which features are selected).³²

So: if we have many possible sets of criteria, on what basis can we select one of them? We have to be careful here, as the temptation is always to go back further and further (see Figure 8 below). For example, do we need *meta*-criteria to choose between different sets of criteria? Or *meta-meta*-criteria to choose between sets of meta-criteria? Such questions can continue *ad infinitum*, and ultimately get us nowhere except bogged down in theoretical debates. Let us accept reality: we will never go back far enough to discover a single objective “answer” to this question. We must keep our endeavours pragmatic. At their root, many of the criteria we adopt (or at least their weighting and relationships with others) will come down

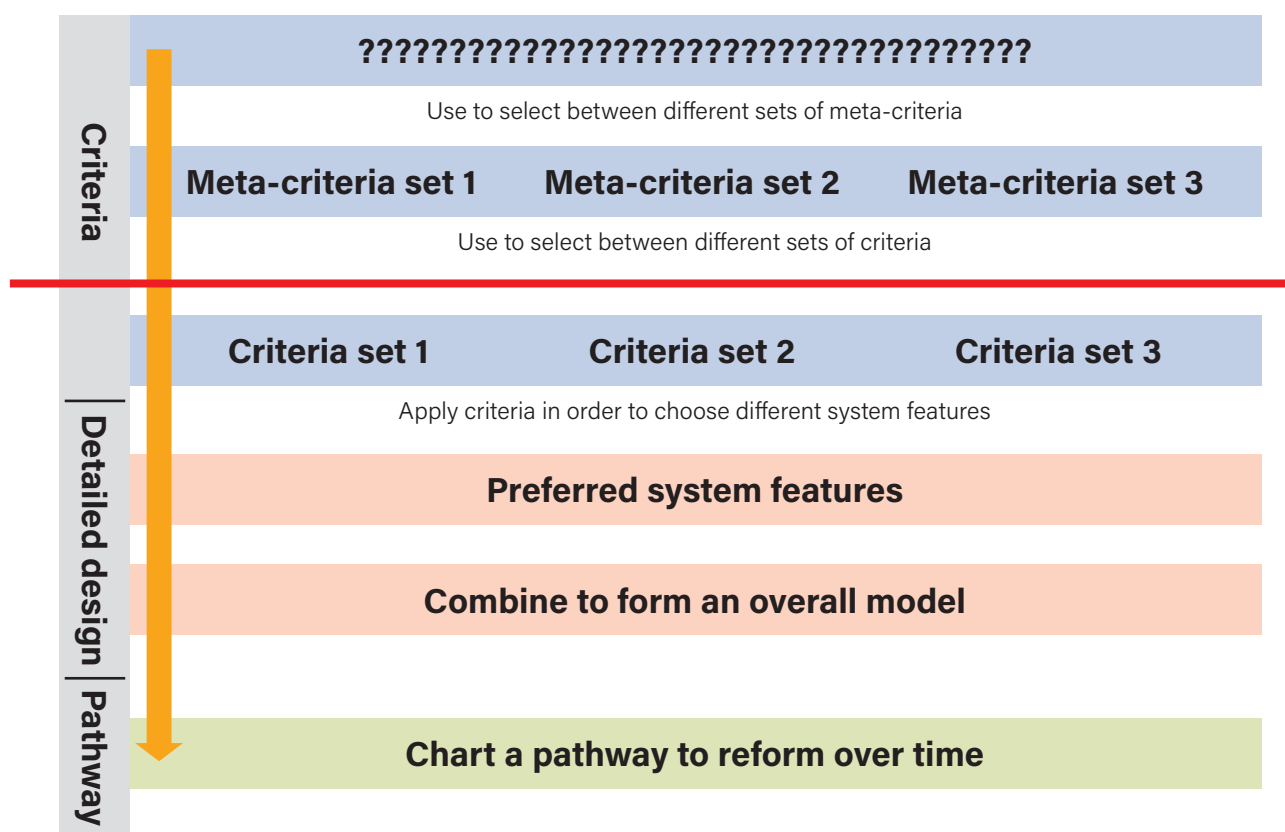


Figure 8: *The difficulties of using criteria. At some point value judgments need to be made as to what criteria are best, rather than seeking ever higher levels of criteria as justification. The red line indicates the threshold above which extensive conceptual debate becomes, in our view, less useful.*

to different points of view or values. We will not shy away from presenting and justifying our own.

Is it therefore futile to pursue a single umbrella criterion by which all choices can be measured? Attempts to do so may simply rephrase key questions and shift arguments elsewhere. That said, there are two possible ways in which an overarching criterion *could* be adopted (see Figure 9 below). The first would be to consider all criteria within a single theoretical or ideological framework (eg utilitarianism, or ecocentrism). That would provide a unifying thread (eg maximising happiness/utility, or respecting the rights of nature) across more specific criteria.

However, that has risks. The reality of New Zealanders' plurality of values (including Māori perspectives) could reduce the practical value of doing so.³³ As some pointed out at our April workshops, there are risks in transforming the reform process into a theoretical exercise rather than an inclusive and democratic conversation based on dialogue and many values.³⁴ It would also beg the question: aside from an arbitrary choice, on what grounds would we adopt a particular theory and reject others?³⁵ Even a worldview or ethic is *itself* best seen as a feature of the system,³⁶ so we need wider criteria to guide that choice (eg whether we should see the world in ecocentric, anthropocentric or economic terms).

The second way would be to link all criteria back to a more flexible, practical umbrella criterion – the shared, long-term values of New Zealanders. This would have benefits – it could be both a conceptual justification (the

system should reflect the values of the people living within it), and a practical one (shared values are likely to be reflected in the political will of a government having power to implement them). It would embrace the messiness and diversity of people's values. In short, choices could be tested against what New Zealanders think.³⁷ It would leave substantial wriggle room for debate over the wording of specific criteria, yet would still provide some kind of anchor for it.

However, this approach also has downsides. Should the expressed values of New Zealanders (or a majority of them) at an arbitrary point in time really be the guiding star for long-term reform?³⁸ How strongly held are those values, when it comes to the crunch (making hard trade-offs)?³⁹ Would it result in a race to the middle, an excessively conservative approach to reform, or one that favours the current generation over future ones? Or an approach that is less than coherent? And – perhaps most significantly – is it even possible to identify, let alone measure, "New Zealand" values?⁴⁰

Ultimately, we think we are left with a need for plural criteria. In selecting or developing a preferred set, we require a robust, inclusive and guided conversation, not an arbitrary choice or reliance on one of many theories. The most important thing is that criteria are discussed widely up front and applied consistently across the system, not debated on a case by case basis in policy silos.

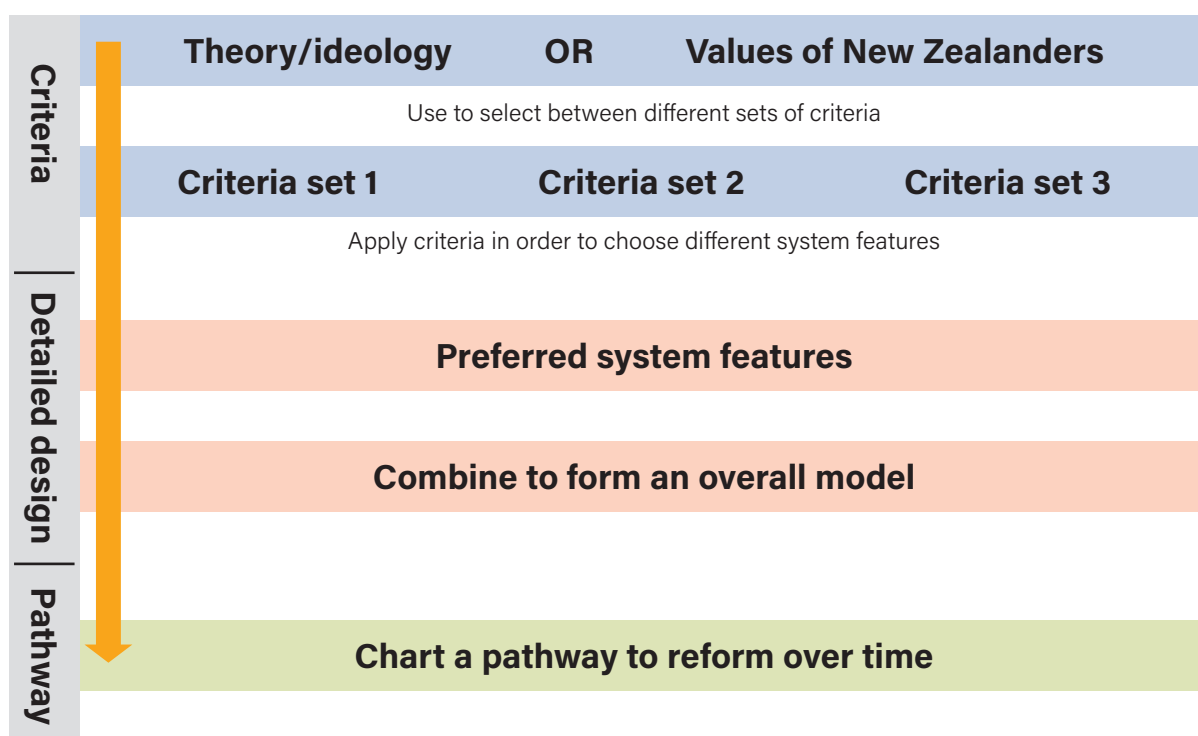


Figure 9: Choosing between different sets of criteria. Particular theories/ideologies, or the shared values of New Zealanders, could be used to justify the selection of particular criteria for reform, but both approaches have drawbacks.

Criteria are useful to focus our initial energies on the why of reform rather than the what (particular solutions), but at some point value judgments have to be made about the weight we give to different criteria and the relationships between them. There is unlikely to be a single “criterion” against which choices can be measured.

Criteria for system reform also have to be specific enough to be meaningful. They need to assist in distinguishing between, and measuring, the desirability of different features at a fairly granular level (eg the wording of the purposes/principles of key legislative frameworks). They cannot just be aspirational statements about what a future system should achieve (eg “sustainability” or “well-being”). Criteria do not have to be so specific that they close down legitimate debate in particular contexts (they are guides, not answers), and they need to be broad enough to apply across many different types of decisions (eg whether to create a new institution, or whether to embrace a particular kind of tool). But if they do not at least guide us in choosing between concrete options then they are not serving their purpose. In particular (as noted earlier), relationships *between* criteria need to be sufficiently precise to be useful, even if that may prove controversial.

Criteria need to be expressed with enough specificity to help us make difficult choices between competing options at a relatively granular level, while being general enough to apply to different types of choices across the whole system.

Overlap between “criteria” and “features” of the system

A final note needs to be made here about the relationship between the “criteria” being discussed here and the “features” of the system discussed in the Phase 1 report. In that report, we outlined a number of possible norms, like ethics (eg ecocentrism) and principles (eg subsidiarity),⁴¹ which could be adopted in a future system. We also presented a number of principles focused specifically on questions of legislative design,⁴² and made some recommendations about the roles a future system will need to perform (eg a more robust approach to environmental bottom lines).⁴³

All of these are features of the system – building blocks – that we need to choose between. Criteria are needed to help us make those choices. But these features can, in themselves, become kinds of criteria – in the sense that, once they are adopted, lower level choices need to be measured against them. When we come to consider what institutions we need in a future system, for example, we would ask: which ones would best reflect/implement the ethics and principles we have previously chosen to adopt?⁴⁴ Indeed, this logic was the reason that the analysis in Phase 1 progressed from high level norms, to functions, to structures, to tools: the answers to previous questions colour how we measure the desirability of subsequent choices.⁴⁵ Phase 1 has therefore produced a cascade of important criteria already – if we choose to adopt them.

Many of the system features already described in the Phase 1 report can also act as criteria. This is because once some features are adopted (eg particular ethics or principles), subsequent choices (eg the tools used) need to be measured against them.

So what is missing when we talk about “criteria” in this paper? In our view, we require two additional things (see Figure 11). First, we need a higher level set of *substantive criteria* to get that cascade started. In particular, criteria need to help us decide *which* mix of ethics and principles we wish to see in a future system (more ecocentrism? Greater recognition of Te Ao Māori?), which will then flow down to colour more granular questions. These substantive criteria are not intended to replicate what has already been discussed in Phase 1 (ethics, worldviews, principles etc), but rather to give a means of selecting between those options that have been presented. Secondly, we need pragmatic criteria that reflect more practical considerations about the process of reform.

Substantive criteria

Substantive criteria are most usefully described in terms of the *outcomes* we want the system to deliver. They can be seen as a statement of the system’s objectives. Again, debates here are more likely to be relative (which outcomes are *more* desirable than others, and to what extent) rather than absolute (whether or not an outcome is desirable per se). That involves conversations about values. While they are often characterised as “principles”, many matters in Part 2 of the RMA itself are better described as substantive outcomes,⁴⁶ and we could – for example – continue to embrace some variant of those.

It is also worth considering what kinds of things these “outcomes” can and cannot include (see Figure 10 below). To some, outcomes may need to be fairly general (eg that the life-supporting capacity of ecosystems be maintained and enhanced). The task is then to *apply* these criteria: in other words, to what extent would particular features take us towards those outcomes?

Here, the system’s features are seen as tools for achieving wider goals.⁴⁷ They are just a means to an end. For example, we can ask: would greater ecocentrism within our laws result in better environmental outcomes?⁴⁸ Would a national climate change adaptation plan achieve an outcome of community or economic resilience? What would be achieved by splitting up the RMA?⁴⁹ Here, debates revolve around *evidence* rather than *values*.

It is hard to provide a definitive answer to many of these kinds of questions, as they involve speculation about counter-factuals (“what if the RMA had not been enacted?”)⁵⁰ or imperfect comparisons (“other jurisdictions split up planning and environmental legislation”). Calls for “evidence-based” reform may sound obvious, but the reality is that it is often easier to show the existence of a problem (eg poor environmental indicators) than it is to prove the desirability of a particular solution (eg splitting up the RMA). We need to be honest about that. Justification and evidence are crucial,⁵¹ but if we are convinced that the present model is not working, we need not demand absolute perfection from a potential replacement. As some pointed out at our April workshops, we will never make decisions or see improvements if we wait for perfect knowledge.

To others, “outcomes” based criteria may be a lot more specific. Some may even be morally or ideologically committed to a particular feature of the system as an outcome in its own right, not just as a tool to take us towards broader goals. For example, a person may support localism, ecocentrism, or expansive public participation rights as ends in themselves, not just as means to achieve wider outcomes (eg species conservation or informed decision-making). Because these are often legitimate personal or ideological positions, differences can be very hard to resolve. For example, some may seek to minimise regulatory style interventions because of a strong belief in personal freedom.⁵²

In practice, it can be difficult to identify whether debates are about direct preferences for particular features, or about evidence (whether a particular feature would best achieve broader outcomes). A set of values held by a person (eg a strong belief in the inherent value of public participation) is likely to be accompanied by a stance that those values will be most effective at achieving other outcomes (eg community well-being).⁵³ That will commonly be why such values are held by a person in the first place.

In some cases, it is fairly obvious that the achievement of broader outcomes relies on a particular kind of system feature (eg we cannot hope to achieve environmental outcomes without some form of effective monitoring).⁵⁴ Evidence will be clear, or require no more than a liberal dose of common sense. In other cases, it will be less obvious as to whether a feature will lead directly to a desired outcome (eg whether we should keep the RMA intact, split it, or start again).

However, it is worth constantly testing the distinction between value-based preferences and evidence-based



Figure 10: Two types of substantive criteria – outcome-based and feature-specific. Some may see particular features of the system as means to achieve broader outcomes (top row). Others may see particular features as valuable ends in their own right (bottom row).

arguments. Both are valid, but they are different in character. In particular, a value-based commitment to a specific feature (especially an historical one) may sometimes need to come second to evidence that a different option would produce better overall outcomes.⁵⁵

We require a coherent set of substantive criteria to help us choose between different system features. These criteria should be couched in terms of desirable outcomes, with relationships between different outcomes described clearly in case of conflict. Some may think of “outcomes” as general end points (eg maximum wellbeing) that can be achieved in many different ways. Others may see specific system features (eg localism, ecocentrism) as desirable outcomes (and therefore important criteria) in their own right.

Pragmatic criteria

Above, we have discussed the need for a higher-level set of substantive criteria focused on the outcomes we want the system to achieve. But we also require a second kind of criteria: those that cover more pragmatic ground. Pragmatic criteria could include things like (among others) political will, social acceptability, resourcing, and the degree of disruption and uncertainty reform could cause. They reflect not what we want, but rather a desire to guard against the things that could go wrong in getting there. Choices cannot be made from an ivory tower, and the reality is that we are not starting reform from a blank slate or in an environment where anything is possible.

We therefore need to be aware of potential tensions not just between different substantive criteria (desirable outcomes that can pull in different directions), but also between substantive and pragmatic criteria. In other words, the ambition reflected in the outcomes we would *like* to see may not marry up with our practical ability to deliver change, and we need to be honest about how far we try to go. There is nothing *wrong* with recognising practical limitations to reform. In fact, the risk of an overly ambitious approach is that *nothing* ends up getting done, or that we overlook the very real changes that can be made using existing tools better under the frameworks we already have. This was a theme that emerged strongly at our April workshops – over several decades we have failed to use tools like national policy statements, national environmental standards and product stewardship schemes to their full extent (or even understand how they are intended to work).⁵⁶ However, at the same time, we need to remember that a programme of change can become more palatable if it happens over time, and there may be limits to what existing arrangements can achieve.⁵⁷

Substantive criteria (the outcomes we want) need to be tempered by pragmatic criteria (whether we could get there in practice). The relationship between these kinds of criteria are particularly important.

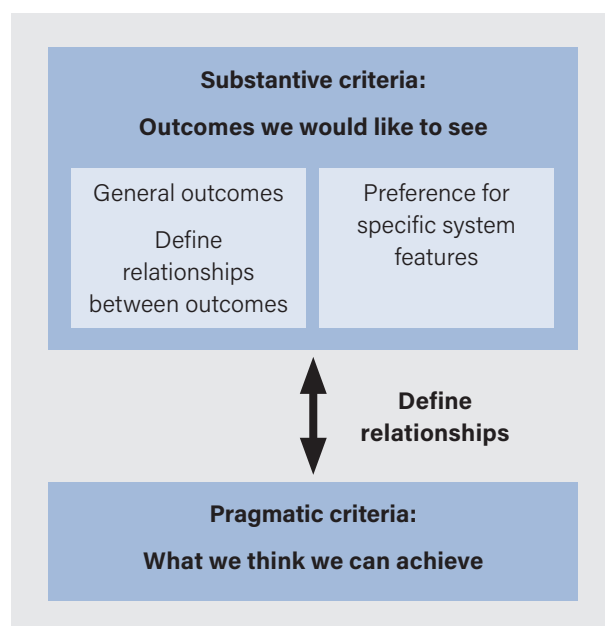


Figure 11: Substantive and pragmatic criteria. To select system features, we require two kinds of criteria – substantive ones (expressed in terms of desirable outcomes, general or specific) and pragmatic ones (whether options would be achievable in practice).

Question for discussion: are there other important categories of criteria, or ways of categorising criteria?

In summary, how we are approaching criteria is represented in Figure 12 below.



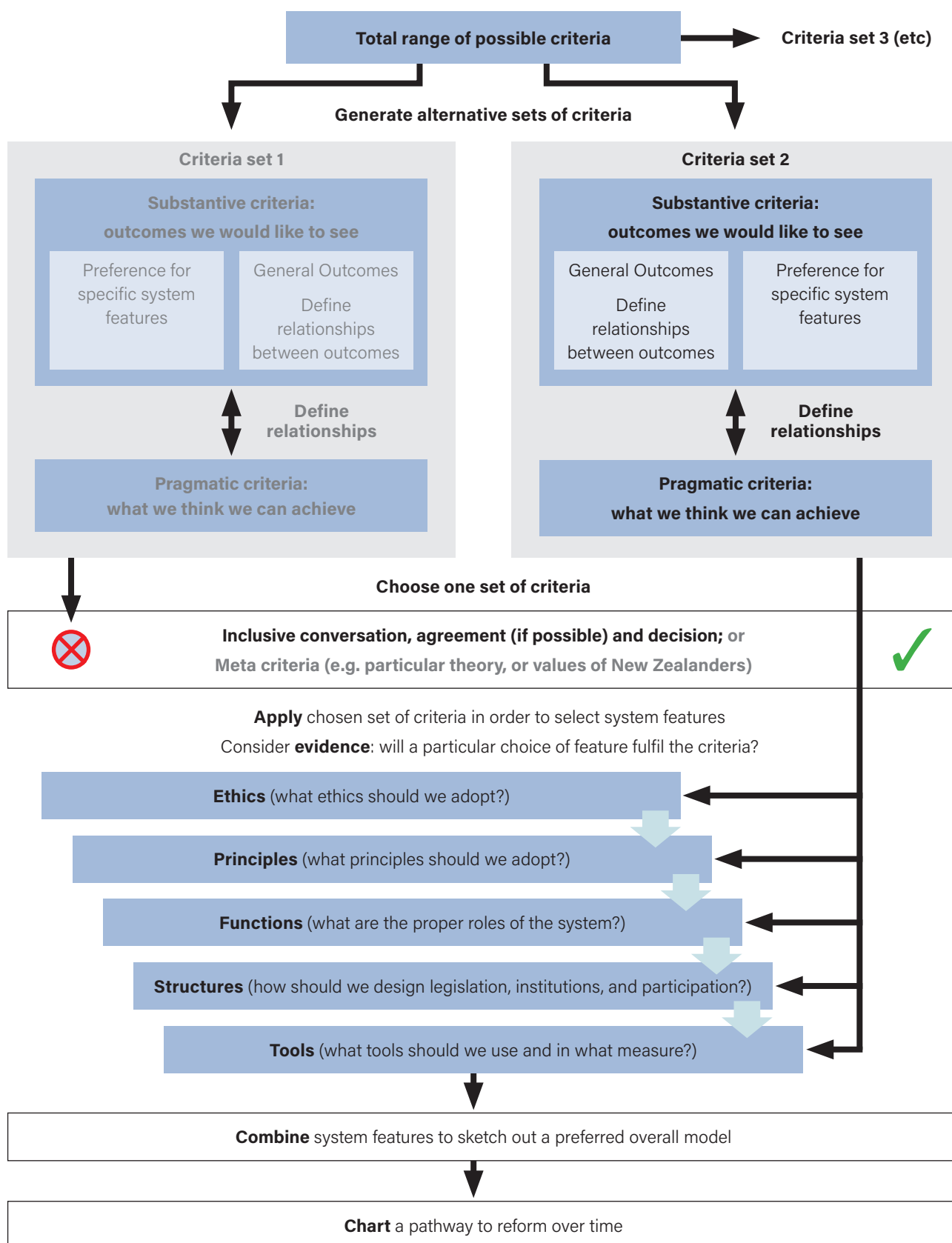


Figure 12: An outline of our approach to criteria discussed in this chapter. The first step is to outline the range of possible criteria by which we could select the best features for a future system. Secondly, different combinations of these criteria can be produced. These could contain entirely different criteria (both in terms of the substantive outcomes sought and more pragmatic considerations about what will be possible), and/or differ according to the relationships between criteria (ie which ones are more important). These are value-based questions. Thirdly, we need a way of selecting a preferred set of criteria (for the purposes of this illustration, set 2 has been chosen). Fourthly, we need to apply this set of criteria in order to select system features. This involves considering evidence (the extent to which a choice would fulfil the criteria) rather than values. Once higher level features are selected (eg ethics and principles), these also become relevant criteria that need to be considered in lower-level choices (eg tools).

6. POSSIBLE CRITERIA FOR REFORM

In the previous chapter, we discussed criteria for reform largely in the abstract: what they are, and how we think they can usefully work. We covered two key categories:

1. Substantive criteria: what outcomes we would like to see produced by a future system. This category includes two sub-categories:
 - a. statements of desirable general *outcomes*
 - b. value-based preferences for particular *features*
2. Pragmatic criteria: what we think we could realistically achieve through reform

The next step is to consider the range of criteria that *could* be used, before we consider how they could be combined in different ways (by accepting some, rejecting others, or by defining relationships between them differently). An initial list of possible criteria is presented in this chapter (in no particular order).

We do not attempt to list value-based preferences for particular features (category 1.b above) here. This is because the list is potentially endless (for every specific system feature, there may be a person who treats it as sacrosanct), and because almost of these will be arguable in terms of the broader outcomes they achieve. Some system features have also been covered in Chapter 4 of this paper, and described throughout the Phase 1 synthesis report.

We categorise general substantive outcomes (category 1.a above) further depending on the “kind” of outcome sought:

- Outcomes relating to the protection of resources/the environment
- Outcomes relating to the utilisation of resources
- Outcomes relating to system processes
- Cross-cutting outcomes (those that apply to all of the above)

This categorisation is only for ease of presentation (to avoid a random scattering of criteria), and we accept it is somewhat artificial.⁵⁸ Much more important will be how we describe relationships between individual criteria, not between artificial groupings of them. As such, we do not define what these categories mean specifically, and people may prefer to categorise criteria differently.⁵⁹

Some of the criteria below will be mutually reinforcing, some will be compatible (as long as relationships are clarified), and some may be mutually exclusive. There may also be overlap between some criteria, and some may represent seemingly subtle (but nevertheless important) differences in wording.⁶⁰

For each criterion, we provide a brief description. For those where a link is clear and useful, we also provide some examples of a system feature that might be selected if we were to apply it.⁶¹ We emphasise that these are by way of illustration only. In reality, system features can only be selected by applying *all* criteria in a coherent set (complete with defined relationships between criteria), and by tendering evidence that a particular feature *would* fulfil the criteria. Applying just a single criterion can be very misleading.



Fitzroy Harbour

Substantive criteria: outcomes relating to the protection of resources/the environment

Many people will wish to see the system produce outcomes that can be described as protecting resources or the environment from use (or from uses that produce undesirable effects).⁶² This is not just limited to the “natural” environment – it also encompasses protection of environments generated or shaped by humans (eg cities, gardens etc). However, people may differ as to the extent to which protection is desirable, and the reasons *why* protection is desirable. For example, at workshops we held in April, we heard from some that protection is not just about maintaining what the natural world can offer us; it is also about recognising that humans are not as special as we might think, and that other forms of life are equally valuable. For example, we do not undertake a cost-benefit analysis to determine if any given homicide or theft is “worth it” in any given case, so why do that where the existence or other key values of non-humans are at stake?⁶³ Others pointed out that climate change is the ultimate threat, but the system as a whole is not well positioned or aligned to mitigate it. There was acceptance that the system above all needs to maintain the biophysical conditions necessary for life. Several potential criteria loosely concerning “protection” are presented below.

The choice safeguards the quality and availability over time of natural resources on which humans (present and future) rely for survival

- This criterion recognises that humans rely on components of the natural environment for survival, and that the ability of future generations to provide for their fundamental needs is as important as that of current generations.
- It encompasses the ability of multiple domains, and the ecosystems of which they are interconnected parts, to provide basic services necessary for life (freshwater, soil, air, the seas, climate, etc). There must both be enough of them (quantity), and they must be suitable for the purposes for which they are needed (quality). It also includes the direct management of more specific “resources” in a way that sustains their ability to meet human needs (eg fish stocks, crop production).
- The criterion essentially is about protection in order to achieve sustainable utilisation over time.
- This criterion could result in a strict, regulatory expression of a national strategic spatial plan identifying and protecting areas of significant food production, or an elevation of climate change mitigation into section 6 of the RMA.

The choice safeguards the quality and availability over time of natural resources on which humans (present and future) rely for collective wellbeing

- This criterion recognises that natural resources provide the basis for human wellbeing above basic survival needs. Wellbeing can come from direct consumption or other forms of experience (eg immersion in nature, existence value). This encompasses concepts like landscape and amenity as well as potentially higher standards for domains also necessary for survival (eg water quality for swimming).

The choice enhances the quality and availability over time of natural resources on which humans (present and future) rely for collective wellbeing

- This criterion recognises that, currently, some natural resources (eg freshwater) are not in a state that optimises people’s wellbeing, and that active improvement is needed. This could be by enabling the natural environment to recover by reducing pressure on it, or by actively intervening to enhance it.
- However, there may be tensions here. In particular, is it only net (overall) gain that is important, so some domains (or locations) can be degraded as long as others are enhanced? We may not wish to increase the availability of some resources (eg petroleum), if overall wellbeing (including that of future generations) is not served well from the trade-offs that result. Enhancing the availability of water through water storage projects, or mitigating climate change by planting millions of pine trees, are other areas in which enhancement can come at a cost. We need to consider the extent to which enhancement of a resource is desirable in relation to safeguarding all resources on which we rely for wellbeing.

The choice protects and respects the intrinsic value of living aspects of the environment

- This criterion embraces the idea that some aspects of the living world have intrinsic value. This still reflects the value that humans give to particular kinds of life, but it is a moral position rather than one based on any accounting of interchangeable units of human wellbeing. This raises questions such as what kinds of life (eg particular species, or categories like “indigenous”) should be seen as having intrinsic value, on what grounds (eg threatened, iconic, of spiritual or cultural value), and what attributes (eg protection from cruelty, right to exist, right to thrive etc).

The choice protects and respects the intrinsic value of non-living aspects of the natural environment

- This criterion reflects the same idea as above, but extends it to non-living aspects of the natural

environment. It recognises that inanimate features (eg iconic natural landscapes, wild rivers etc) have intrinsic value aside from any wellbeing that humans receive from them. Again, this raises the question: on what grounds do we recognise intrinsic value (Rarity? Beauty? Ability to support life having intrinsic value?)

The choice preserves human heritage

- This criterion recognises that we may wish to protect not just the natural environment, but also significant aspects of environments that humans have created. A significant component of this is protection based on the age and/or historical or cultural significance of a site. It may also include wellbeing associated with built environments more generally (eg protection of viewshafts, urban amenity).

The choice represents a fair allocation of rights between people and the natural world

- This criterion puts a "fairness" lens across those criteria above concerning the intrinsic value of living and non-living aspects of the environment. In other words, where the interests of humans and the interests of nature conflict, we can resolve it by considering what is fair/equitable.

The choice achieves/enhances biophysical resilience to disruptive change

- This criterion recognises that the capacity of natural systems to assimilate change without tipping into radically altered states is important.



Mackenzie Basin

Substantive criteria: outcomes relating to utilisation of resources

People will also expect the system to facilitate the use, not just protection, of resources upon which people rely for wellbeing. This is not to suggest that the protection of the environment is less important in generating wellbeing than the use of resources. Often, the two go hand in hand (we protect so we can use, and continue to use, resources in one way or another).⁶⁴ The separate category here simply reflects that, above and beyond what we need to protect, the system may need to consider *how* and *why* and *by whom* resources are used. What outcomes are we trying to achieve by allowing resources to be used?

The choice promotes efficiency and cost-effectiveness in resource use

- This criterion recognises the importance of using our natural and physical resources efficiently. It is about directing them to their highest value use, allowing efficient changes in use, and minimising waste. Key questions here are how long a view we take (some outcomes may come far in the future), and how we measure value (efficient use is about the value we get for a certain cost, not cost-reduction per se).
- This criterion could result in greater use of tradeable rights for some resources, and a focus on starting climate change adaptation measures sooner rather than later

The choice promotes the economic wellbeing of New Zealanders

- This criterion recognises that economic wellbeing is significant to wellbeing more broadly. Indicators like GDP, affordability of housing and living, employment, and income are important. The key question will be how to measure the relative importance of "economic" wellbeing compared to other indicators of wellbeing (eg social, cultural or environmental).
- This criterion could result in support (financial or regulatory) for economically significant industries or activities, such as those that would be trade-exposed under a regime pricing carbon emissions

The choice promotes the social wellbeing of New Zealanders

- This criterion recognises that social wellbeing is significant to wellbeing more broadly. As with economic wellbeing, the key question will be how to measure its relative importance compared to other indicators of wellbeing, and whether these categories even make sense as separate things.
- This criterion could result in a more proactive approach to urban planning under the RMA, such as specific

recognition of the benefits of urban development and design, the provision of affordable housing, or food security, in the Act's purpose and principles.

The choice enables people to provide for their own social and economic well-being

- This criterion recognises that people know best how to provide for their own social and economic wellbeing, and should not be told how to achieve it.
- This criterion could result in a system that focused on internalising externalities (preventing harm) and providing public goods, rather than actively seeking social and economic improvements through public interventions (eg minimising crime through urban planning, seeking health outcomes through transport planning)

The choice results in social and economic resilience to disruptive change

- This criterion reflects the idea that public intervention in the resource management system can enhance people's capacity to respond to or absorb changes in the environment or society, and lessen their negative impact. It has implications for what things we plan for, not just how we plan.⁶⁵
- This could lead to a system that is more proactive about providing alternatives to activities having adverse effects (eg away from fossil fuel use), takes a firmer, more proactive approach to climate change adaptation (eg coastal retreat), or is more directive about land use change.

The choice represents a fair allocation of rights and responsibilities between people

- This criterion recognises that fairness is an important consideration when allocating rights and responsibilities between different people or groups of people. Rights could include new rights, a reallocation of existing rights, or a deallocation of rights in different measures. Fairness between public and private interests is also important (eg access to waterways). The idea of fairness subsumes many sub-factors when applying it to specific contexts, and as some pointed out at our workshops, it is a very flexible criterion when it comes to application.
- This criterion could lead to a system in which there were guiding principles (eg in the RMA) for allocating freshwater to different groups or interests.

Substantive criteria: outcomes relating to process

Processes under the resource management system can produce outcomes that are not related to protection or the use of resources per se. In some ways, they may be

described as outcomes that are incidental or arise from the ways in which decisions are made or how people operate rather than what comes out the end of a process.

The choice makes the system accessible to users

- This criterion recognises the importance of all people being able to understand and use the system. It includes the idea that the system should reduce complexity and clutter as far as possible, and that cost should not prove an undue barrier.
- This criterion could result in a system that provided an integrated, front of house permitting service, or a degree of standardisation in plans.

The choice results in economies of scale

- This criterion recognises that efficiencies can be achieved by pursuing economies of scale, particularly in institutional arrangements.
- It could result in a system that integrated water service providers at a wider scale (eg regional or multi-regional entities).

The choice provides certainty to users

- This criterion reflects the importance of people knowing what they can and cannot do under the law, without the need for extensive interpretation or clarification. Investment certainty for project proponents is an important part of this, but so too is certainty for regulators, Māori, and the public.
- This criterion could result in a system that was more prescriptive, rule based, and activity-based, rather than using discretionary effects-based consenting.



The choice provides flexibility and adaptability

- This criterion recognises that aspects of the system need to flex and adapt as the environment, society and available information changes. Change also needs to happen in a timely way, particularly where the need is urgent. Some have advocated for more "adaptive governance" to deal with this.
- This criterion could result in a faster planning process under the RMA.

The choice allows people to have a say in decision-making

- This criterion reflects the importance of letting people be involved in decisions that affect them, and enabling them to express their views and provide information. Involvement can, however, take many different forms, which will need to be considered with reference to other criteria.
- It could result in the retention of wide submission and appeal rights for plans under the RMA.

The choice promotes transparency

- This criterion recognises the importance of open and transparent government, and for people to know what is happening both in terms of human activities and the state of the environment.
- It could result in a system that notified all planning and consenting decisions without necessarily granting rights of submission or appeal.

The choice ensures an efficient management system

- This criterion recognises the importance not just of efficiency in how we use resources, but also in the process by which decisions are made and in how institutions operate and are designed.
- It could (in some circumstances) result in the increased use of economic instruments rather than regulatory tools, or a rationalisation of multi-step decision-making processes.

The choice maximises knowledge and facilitates its transmission

- This criterion recognises that decisions are only as good as the information that underpins them and that information needs to be discovered, tested, and shared.
- It could result in a system that had a central repository of knowledge generated from multiple sources, including decisions by councils and courts.

Substantive criteria: outcomes that are cross-cutting

Some outcomes do not fit comfortably within the (admittedly, fairly artificial) categories described above. They form criteria that apply irrespective of whether we are considering protection, resource use, or process. They offer a different – often broader – lens for thinking about outcomes holistically. In particular, the Māori perspective is important here. At our April workshops, we heard, for example, that we cannot distinguish protective outcomes sought by Māori from the process that leads to them (eg the way in which evidence, including mātauranga, is heard and treated).

The choice would solve or address current problems

- It is important that a future system addresses the resource management problems we are currently facing. Various kinds of complaints have come from many quarters for a number of years. Some problems are now so acute they have been described as crises. It makes sense to pay special attention to aspects of the system that we already know are not working well. We outlined a number of these in the Phase 1 synthesis report (Chapter 3), but did not seek to solve them or attribute blame or responsibility for them.
- We need to consider what exactly makes something a "problem". In essence, the term is shorthand for an outcome we would like to see but which is not currently being produced. Some problems are clear (there is a social consensus). Issues with safe drinking water supply is an example. Others are not so obvious (eg restrictions on public participation). Is an outcome *actually* undesirable? According to *whom*? And what if achieving one outcome comes at the cost of another? "Solving" one problem in an interconnected system can cause another to rear its head (eg tensions between preserving productive soils and building more houses).
- Other criteria we adopt (and relationships between them) will ultimately determine if, and to what extent, something is a "problem". However, this criterion

provides another useful lens to apply, because it focuses attention on things that are currently wrong, that people feel strongly about, and that will need to be addressed urgently.

The choice would allow us to address future challenges in a timely way

- This criterion is the corollary of the "problem" based one above. Not only must reform enable us to address undesirable outcomes that are already manifest, but also allow us to address or navigate challenges that have not yet been felt. Some of these are bound to be predictable (their character, if not their extent). Whether they become "problems" will also depend on the weight we give to other criteria. Other forms of change may not be predictable, but we can build adaptive capacity into the system to allow it to respond in a timely way as better information comes to light.

The choice would reflect New Zealanders' values

- As described earlier, there may be concerns about treating New Zealanders' values as an overriding or umbrella criterion. We may need reform that changes values, not reform that is guided by existing values. Yet it is still an important thing to consider, to the extent we can identify general New Zealand values. Choices that do not sit well with values that are at the heart of New Zealand identity are unlikely to be acceptable or durable.

The choice reflects/implements the principles of the Treaty of Waitangi

- This criterion recognises that the principles of the Treaty underpin the relationship between Māori and the Crown, and resource management is an important field where that plays out. The principles are much wider than just individual Treaty settlements or the narrower notion of redress for past wrongs. Because the Treaty is a living document, its principles can evolve, and there can still be substantial debate about how we apply them.



The Needles

The choice reflects or implements tikanga

- This criterion is wider than the implementation of Treaty principles, although there is some overlap. It reflects that tikanga (and other, related Māori concepts like mātauranga and kaitiakitanga) provide valuable ways of thinking about the environment and resource management irrespective of the relationship between Māori and the Crown.

The choice maximises overall "wellbeing "

- This criterion recognises that it may be artificial to distinguish between different "kinds" of wellbeing (eg social, economic, environmental). Key to this criterion is measurement - how to determine the value of different outcomes to overall wellbeing. Also important will be the extent to which different outcomes are really interchangeable or tradeable as common units of wellbeing (for example, in the context of environmental bottom lines).
- This criterion could lead to a system of protection based on natural capital valuation in monetary terms, or offsetting.

The choice allows New Zealand to meet its international obligations

- This criterion recognises that any reform must continue to implement New Zealand's international obligations. Where those play out over time, as in the case of climate change, we need effective ongoing mechanisms for getting there.

The choice safeguards personal freedoms or property rights

- This criterion is cross cutting because property rights and freedoms can be curtailed by measures that protect the environment, provide for the utilisation of resources, and set out processes. The key question here will be what such personal freedoms and property rights actually are, and the basis on which they can be curtailed.

The choice integrates well with other choices

- This criterion is fairly self-explanatory. An overall system needs to be internally coherent. While carefully defined relationships between criteria will help with this, we need to ensure that every building block of the system fits well into the whole.
- This could lead to a system where there is a clearer relationship between the RMA, Local Government Act and Land Transport Management Act (or some legislative restructuring to achieve that), or a more consistent embedding of climate change mitigation principles across legislation.

The choice is future-focused and sensitive to risk and uncertainty

- This criterion recognises that most decision making in the resource management system relies on predictions about the future. We need to think about whether we know (or are capable of knowing) the risks, whether choices are proportionate to risk, and how far ahead the system is designed to look.
- This criterion could lead to the establishment of a Futures Commission, or the implementation of the precautionary principle.

Pragmatic criteria

Pragmatic criteria recognise that reform does not start from a blank slate. The balance of substantive outcomes we would like to see (to the extent we can agree) may need to be tempered by our ability or desire to enact reforms to get us there. For example, Martin Williams has suggested that "we should hold fast to the stability which pt 2 of the RMA currently provides" and that the RMA should retain the now well-understood hierarchy in Part 2.⁶⁶ At our April workshops, we heard from some that goals need to be achievable to get people on board – they may give up if it all seems (or is) too overwhelming. Pragmatic criteria have an important temporal element – a package of reforms may be more achievable if we plan for them to occur over reasonable timeframes.

The choice is politically palatable or would have broad/cross-party support

- This criterion recognises both the reality of our MMP system, where cross-party support may be necessary to implement reforms involving legislative change. It also recognises the importance of political palatability and bipartisan support more generally, to ensure it has a good chance of implementation.
- This criterion could result in shorter-term elements of first principles reform being focused on what can be achieved through existing means, or surgical legislative changes or additions, rather than radical overhaul of legislation and institutions.

The choice is durable and future-proofed

- This criterion recognises that wide support (political and social) may be needed to ensure changes are durable and will not be undone in the future as governments change.
- This could result in reforms that are concerned with broad, framework level changes within which there continues to be room for different value positions to be expressed.

The choice is workable in practice

- This criterion recognises that system features must be able to be implemented, and not just be words on paper. It includes the need for sufficient funding, resourcing, and ongoing motivation to make reforms operate on the ground.

The choice does not upset important case law or render it redundant

- This criterion reflects the concern that extensive legislative reforms may upset the certainty provided by judicial decisions that have built up over many years, many of which are positive.
- It could result in surgical short-term amendments that do not disturb the wording of particular provisions on which desirable case law hangs.

The choice does not upset existing institutional arrangements

- This criterion recognises that institutional reform can be very difficult, and an overhaul of existing institutions will meet substantial opposition and may render an entire reform package unworkable.
- This could suggest a system in which institutions are not removed, replaced, or restructured, but rather added to or changed in their functions gradually over time. That may be particularly true of local government.

The choice minimises social and economic disruption

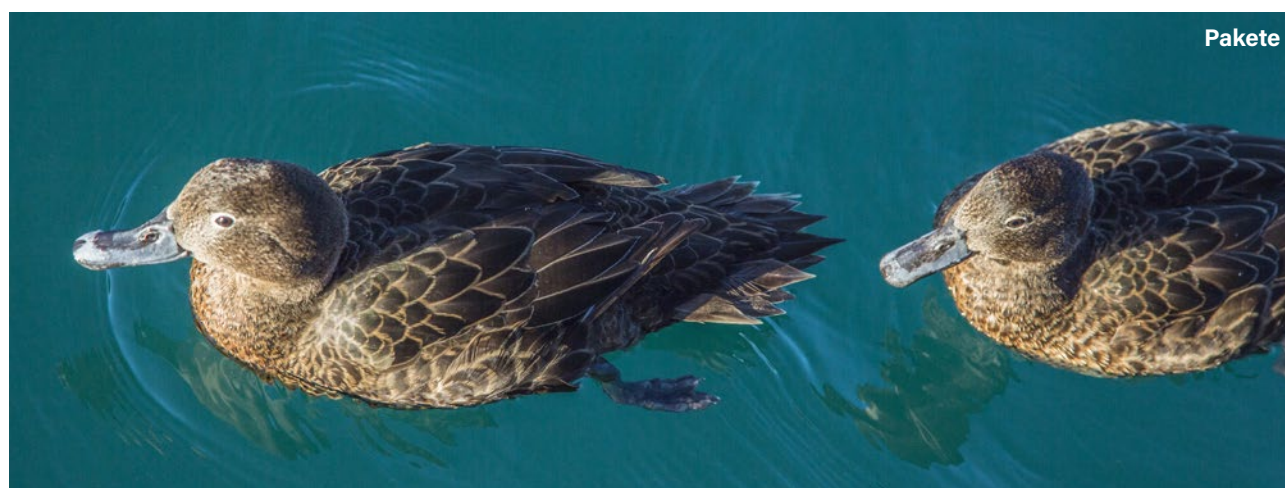
- This criterion recognises that reform can create uncertainty and disruption not just to the validity of existing case law, but to how people and firms behave. It points to the need to consider gradual change in a logical order, or to curtail the extent of change.

The choice provides legal stability

- This criterion reflects the value of stability in the legal system more widely, not just the retention of case law. People get used to operating under particular legislation, and related knowledge and expertise have built up over time.
- This could lead to the retention of the normative core of legislation like the RMA, particularly section 5 and parts of sections 6 and 7. It could lead to the more extensive or better use of existing tools (eg national policy statements, national environmental standards, product stewardship schemes, charges) before looking at fundamentally altering the frameworks under which the tools are used.

Questions for discussion:

- Which criteria presented above do you support, or oppose? Why?
- What system features would such criteria lead to in a future system?
- What other criteria are possible, or desirable, that are not on this list?
- Are there any other significant categories, or alternative ways of categorising, criteria that would be useful?
- Are there any particular *features* of the system that are so sacrosanct they should be expressed as criteria directly?
- What (if any) are the “New Zealand values” that a future system should reflect? How do (or can) we determine what they are?
- Is it useful to differentiate between and address different forms of wellbeing, or should we simply seek to maximise *overall* wellbeing?
- What are the key “problems” and future challenges that a system will need to address (you may wish to consider those discussed in the Phase 1 report, chapter 3)? *Why* do you consider them to be “problems”?



Pakete

7. THREE POSSIBLE SETS OF CRITERIA: CONSIDERING RELATIONSHIPS

The next step is to consider how criteria could be combined to form different, coherent sets. That requires us to consider three questions. These were posed to participants at a series of workshops in April 2019.

1. What criteria should be included in each set?
2. What criteria should be rejected outright?
3. How do we describe the relationships between criteria that are included?

Of particular importance will be (3). Descriptions of relationships appear in many general phrases concerning the resource management system. For example, some may point out that “the economy is a wholly owned subsidiary of the environment”.⁶⁷ One commentator has pointed out that “to maintain prosperity at current levels with a growing population we need substantial economic growth”, yet also that “most New Zealanders consider economic growth should not occur at the cost of environmental damage”.⁶⁸ Yet another has pointed out that “decreases in one capital stock [eg natural capital] do not necessarily represent a decrease in intergenerational wellbeing especially if it leads to improvements in other capitals.”⁶⁹ These statements are all about broad relationships between different substantive outcomes we want.

In considering such questions, there is an ever present temptation to conclude generally that *we need to pursue both* or that *we need a balance*. Such generalisations are what we can take out of much of the literature concerning sustainability, sustainable management and sustainable development.⁷⁰

However, we need to ask: is achieving “both” actually realistic in any given case?⁷¹ And to the extent it is not, what should the result be? We also need to describe *where* a balance lies, not just that a balance is necessary. For example, one commentator has suggested that the difficult balance between certainty and flexibility in the system can be addressed by maintaining the system’s stable normative core (eg the purpose and principles of the RMA), surrounded by a more adaptive regime that contemplates change.⁷²

When describing relationships between criteria, we need to recognise that simply recognising the need for balance or pursuing multiple outcomes at the same time will not be enough.

There are important relationships between almost all of the criteria we have described above. Some of the key ones are presented in Figure 13 below.



Criteria A	Criteria B	Nature of relationship
The choice safeguards the quality and availability over time of natural resources on which humans (present and future) rely for survival	The choice safeguards the quality and availability over time of natural resources on which humans (present and future) rely for collective wellbeing	These criteria present alternative ways of thinking about <i>why</i> the system safeguards the quality and availability of resources: to ensure the basic survival of people, or to secure their wellbeing beyond survival (the “good life”). Human wellbeing is a much wider motivation for managing resources than supporting human life, and the former generally encompasses the latter. At workshops, some pointed out that survival is setting our sights far too low. However, there are still some important nuances here (for example, enhancing the wellbeing of <i>some</i> groups – or even <i>overall</i> wellbeing – may threaten the survival of others), particularly future generations.⁷³ How we define and measure “collective” wellbeing will therefore be important.
The choice safeguards the quality and availability over time of natural resources on which humans (present and future) rely for collective wellbeing	The choice enhances the quality and availability over time of natural resources on which humans (present and future) rely for collective wellbeing	This relationship requires us to ask: should we just protect natural resources <i>from</i> use, and prevent further degradation, or should we actively seek to <i>enhance</i> them? Is the current (or predicted) state of our natural environment really good enough to support human wellbeing, or do we need to intervene actively to make it “better” at doing so? At our April workshops, some pointed out the importance of avoiding a race to the bottom, but others saw risks that enhancement results in excessive interference in natural processes (eg overly manicured approaches). Again, this tension hides nuances. One is that different resources may require different approaches. For example, <i>safeguarding</i> the quality of one resource (eg indigenous habitats) may sometimes require us not to <i>enhance</i> the quantity of another (eg water storage).⁷⁴ For some things (eg minerals) we cannot enhance their availability. Again, much will depend on how we define and measure the collective “wellbeing” that different resources provide.
The choice safeguards/ enhances the quality and availability over time of natural resources on which humans (present and future) rely on for survival and collective wellbeing	The choice protects and respects the intrinsic value of living aspects of the environment	This relationship requires us to ask: do we only protect or enhance the natural world in order to ensure <i>human</i> survival and wellbeing? Do plants and animals⁷⁵ have moral rights, other than the usefulness they have for people?⁷⁶ Is it even possible to identify true intrinsic value, or where it intersects with human interests?⁷⁷ And is the ultimate goal of public policy to “improve the lives of people now and into the future”?⁷⁸ This relationship (what intrinsic value actually encompasses, and when it overrides human wellbeing) could be defined by reference to another criterion: the fair allocation of rights between humans and the natural world. Other than a right of a species to exist (ie to avoid extinction),⁷⁹ what is “fair” is extremely difficult to define when talking about non-human actors. At workshops, some expressed unease with the concept of intrinsic value.
The choice protects and respects the intrinsic value of living aspects of the environment	The choice protects and respects the intrinsic value of non-living aspects of the natural environment	These criteria present us with a choice. If we accept that non-human life has some intrinsic value (even if its rights are relative to humans’ wellbeing), we need to determine whether intrinsic value can extend to non-living things. Should a longstanding, rare rock formation have a “right” to exist just as a rare plant does?

Criteria A	Criteria B	Nature of relationship
The choice reflects/ implements the principles of the Treaty of Waitangi	The choice reflects or implements tikanga	These criteria are about the extent to which the system should reflect Māori perspectives. Because the principles of the Treaty are not set in stone, there is scope for debate as to how they would be applied in a new system. However, the system could go further than just reflecting the Treaty itself, and implement tikanga Māori and related concepts as desirable ends in their own right. At workshops, there was some concern that the Treaty framework has simply seen Māori concepts squashed into a Western framework, and that a broader framework would allow Māori to exercise tikanga through co-governance or power-sharing. There is another key relationship here – between tikanga and the protection and enhancement of the environment for human wellbeing. There can be arguments about the extent to which these are mutually reinforcing or in tension, particularly when compared to Western values.⁸⁰
The choice reflects or implements the Treaty of Waitangi/tikanga	The choice would reflect New Zealanders' values	There can be tensions between Māori and other perspectives. Values do not always align. This can be particularly the case where a criterion goes beyond framing as a "Treaty" issue (which has a long legal and political framing) and becomes a question of norms underlying the whole system. There can, however, also be considerable alignment and common ground (eg in the concept of te mana o te wai in the National Policy Statement for Freshwater Management). It is difficult to define this relationship because it is hard to identify a single "New Zealand" set of values.
The choice promotes the economic wellbeing of New Zealanders	The choice safeguards/ enhances the quality and availability over time of natural resources on which humans (present and future) rely on for survival and collective wellbeing	The relationship between these criteria reflects, to some extent, much of the dialogue around the "protective" and "development" parts of sustainability. There are different ways to look at the relationship. For example, we can consider the economy as a subset or offshoot of the natural environment, and constrain the envelope within which the "economy" operates (the economy is subject to the environment). We could recognise that the two need to be balanced according to the most pressing need. Alternatively, we can redefine how we measure "economic" wellbeing (or even start to consider wellbeing as an inseparable whole), in which case these two criteria become much less distinct.
The choice maximises overall "wellbeing"	The choice safeguards/ enhances the quality and availability over time of natural resources on which humans (present and future) rely on for survival and collective wellbeing	The relationship between these criteria can be very significant. Essentially, it is asking us to consider the extent to which there is a valid distinction between different "types" of wellbeing. In particular, we can ask: is the natural environment (eg productive soils) just one contributor to overall wellbeing, and therefore able to be traded off if other elements (eg urban growth and housing provision) would enhance <i>net</i> wellbeing more? If so, over what timeframes? If all contributors to wellbeing are to be put in the same pot, how we measure and value their contributions becomes extremely important. This has an important relationship with other criteria: for example, safeguarding the intrinsic value of the natural world (vs human wellbeing) and the fair distribution of rights (across generations).

Criteria A	Criteria B	Nature of relationship
The choice maximises overall "wellbeing"	The choice promotes/ enables the social and economic wellbeing of New Zealanders	This relationship is similar to the one above: should we adopt a single conception of "wellbeing" and treat its components as interchangeable, or separate out its different components and treat some as inviolable or priceless? At our April workshops, we heard both perspectives.
The choice promotes efficiency and cost-effectiveness in resource use	The choice represents a fair allocation of rights between people	Fairness and efficiency are both important, but they can come into conflict. Efficiency is about gaining a desirable outcome at least cost, which may be quite different to a "fair" outcome (although people will differ as to what that word means). However, the relationship could be conceived of differently; if fairness is built into the outcomes we want, then we can then simply seek the most efficient way to achieve them. For example, it may be most efficient to prioritise other spending over three waters infrastructure in the short term, but not when we consider the cost that would fall on future generations. An efficient outcome may also sometimes be an unfair one due to historical contributions or context,⁸¹ and may sometimes penalise those who don't have the money to pay.
The choice enables people to provide for their own social and economic well-being	The choice promotes the economic/social wellbeing of New Zealanders	These criteria require us to consider whether we want the system to actively pursue people's social and economic wellbeing, or whether it should set environmental limits and let people provide for their own wellbeing above them. It presents us with a choice about what the system is for. At workshops, some expressed unease about a system with unconstrained ability to step in to decide what people's wellbeing is. However, the relationship can be more nuanced, depending on the context. In some cases, we may not want the system to tell people – individuals – how to live their lives if they are not harming others (eg discouraging the planting of monoculture crops).⁸² In others, it may be important to do so (eg building in areas vulnerable to climate change, using versatile soils for housing, protecting heritage, or considering the durability of infrastructure on which future generations will rely) where the public/ collective interest is at stake. Some at workshops mentioned the idea of a "rural policy", akin to what some European countries have.
The choice achieves social and economic resilience to disruptive change	The choice enables people to provide for their own social and economic well-being	This relationship is similar to the one described above. Social and economic resilience can strengthen social and economic wellbeing, and the question is the extent to which we want the system to drive resilience or let people determine their own appetite for risk.
The choice safeguards/ enhances the quality and availability over time of natural resources on which humans (present and future) rely on for survival and collective wellbeing	The choice represents a fair allocation of rights and responsibilities between people	The relationship here has two key dimensions. The first is that people can be allocated new rights only within an envelope of environmental limits. The second requires us to ask whether rights to do something, once granted, should be able to be removed or changed (and if so, when and in what relative measure). ⁸³

Criteria A	Criteria B	Nature of relationship
The choice promotes/ enables the social and economic wellbeing of New Zealanders	The choice represents a fair allocation of rights and responsibilities between people	The relationship here is similar to the one directly above, but requires us to ask: should rights be able to be changed because an alternative use would better provide for the country's social and economic wellbeing? ⁸⁴ And should rights and responsibilities be allocated according to what is fair, or according to what would maximise overall societal wellbeing? The two may not always be the same. ⁸⁵
The choice achieves social and economic resilience to disruptive change	The choice achieves biophysical resilience to disruptive change	These criteria are largely mutually reinforcing. Communities and the economy are more likely to be resilient to shocks if the natural systems that underpin them remain stable and functional.
The choice safeguards/ enhances the quality and availability over time of natural resources on which humans (present and future) rely on for survival and collective wellbeing, and respects the intrinsic value of living components of the natural world	The choice achieves biophysical resilience to disruptive change	Again, these criteria are largely mutually reinforcing. Resilient ecosystems are ones that can absorb shocks without tipping into radically different states or disappearing altogether, and are more likely to safeguard valuable resources within them.
The choice provides certainty to users	The choice provides flexibility and adaptability The choice would allow us to address future challenges in a timely way The choice is future-focused and sensitive to risk and uncertainty	There is a significant tension between the need for certainty and flexibility. A balance is needed, but it needs to be defined. This is in two senses: the ability of the system to flex over time, and its ability to recognise local divergence within a coherent national framework. At our April workshops, we heard that some areas (eg for urban development or aquaculture) may require a different balance of principles, even if an overarching set of criteria remains the same. Resource users also need certainty as to what they can and cannot do, but society needs the flexibility to address harm or risk as circumstances change. A key question is what is contained within primary legislation and subordinate regulation.
The choice allows people to have a say in decision-making	The choice ensures an efficient process	There is a tension between process efficiency and public participation. The latter involves processes that can be expensive and time-consuming. At workshops, some expressed a view that the current system is too collaborative and this threatens both efficiency and agility.⁸⁶ Others pointed out it is not collaborative enough, in that front ending debates amongst stakeholders and the community can be more efficient and produce better outcomes than a top down approach.⁸⁷ Again, there is a balance to be struck here, which needs to be defined. One option is for people to be able to participate to the extent they are affected. Another is for people's <i>interests</i> to be represented. A key element is the forum in <i>which</i> they are entitled to have a say.⁸⁸
The choice maximises knowledge and facilitates its transmission	The choice ensures an efficient process	There is a potential tension between a system that drives the obtaining and transmission of information and an efficient process, because the former can be expensive. ⁸⁹ However, the two can also be mutually reinforcing, as greater availability of knowledge in advance of decision-making can prevent the re-litigation of issues.

Criteria A	Criteria B	Nature of relationship
The choice promotes transparency	The choice allows people to have a say in decision-making	There is a significant difference between people actively participating in decision-making processes (including through co-governance and collaborative processes) and the passive absorbing of information. These criteria require us to consider: in what circumstances and to what extent should people have a right to have a say? One approach is for people to be informed <i>and</i> involved only to the extent that they are directly affected. Another is for people to be informed of <i>all</i> public decisions, and to be involved to the extent there is a public interest. At workshops, some pointed out that arrangements could vary according to the type of environment (or values) in question; for example, it may be less important for people to influence matters that threaten biophysical bottom lines, as that is a matter for science and expert input rather than democratic debate. Others thought that would be risky, as it places a lot of trust in decision-makers.
The choice achieves economies of scale	The choice safeguards/enhances the quality and availability over time of natural resources on which humans (present and future) rely on for survival and collective wellbeing	A drive to achieve economies of scale is largely about making the system more efficient. A more efficient use of resources can make the system more effective at achieving environmental outcomes, but can also pose risks. Either way, achieving economies of scale should be a secondary consideration to what choices would be most effective at achieving outcomes.
The choice results in economies of scale	The choice promotes/enables the social, economic and cultural wellbeing of New Zealanders	As described above, pursuing economies of scale can allow for the more efficient management of resources, but it also has risks. These are not just environmental; for example, social wellbeing may sometimes require tailored, local solutions and community buy in.
The choice makes the system accessible to users	The choice provides certainty to users	This relationship requires us to consider the tension between making the system as simple as possible, while not losing the certainty provided by precise and predictable provisions. The reality is that the resource management system will always be relatively complex, and there are risks in oversimplifying. ⁹⁰
The choice makes the system accessible to users	The choice maximises knowledge and facilitates its transmission	These are largely reinforcing, although care needs to be taken that knowledge and information are presented and disseminated in ways that are accessible to all users, not just experts.
The choice would solve or address current problems	The choice would allow us to address future challenges in a timely way	There is a potential tension here between addressing problems we already know exist and are urgent, and addressing those that are less certain or are speculative. One approach would be to prioritise problems identified as urgent, ⁹¹ and for the system to be designed to respond rapidly to future challenges rather than to necessarily pre-empt them right now. ⁹²
The choice would reflect New Zealanders' values	The choice safeguards/enhances the quality and availability over time of natural resources on which humans (present and future) rely on for survival and collective wellbeing	As described earlier in this paper, there is a potential tension between the present values of New Zealanders (if those can be identified with any certainty) and other criteria (such as environmental outcomes). Short-term priorities can conflict with longer-term necessities. ⁹³

Criteria A	Criteria B	Nature of relationship
The choice allows New Zealand to meet its international obligations	The choice represents a fair allocation of rights between people	There is an important relationship between New Zealand's international obligations, social and economic wellbeing, and a fair allocation of rights. In particular, wellbeing needs to be optimised and rights need to be allocated within the envelope of targets and budgets set under New Zealand's climate change obligations.
The choice safeguards personal freedoms or property rights	The choice safeguards/enhances the quality and availability over time of natural resources on which humans (present and future) rely on for survival and collective wellbeing	There is a tension between people's individual rights and freedoms and the restrictions that are needed for the wellbeing of society as a whole. Private property rights and freedoms will not always be subordinate, but where basic human survival and wellbeing are at stake (especially where common pool resources are involved) then environmental wellbeing must generally be preeminent.
The choice safeguards personal freedoms or property rights	The choice represents a fair allocation of rights between people	There is also a tension between property rights and a fair allocation of rights between people. This is because the free market does not always generate outcomes that are "fair". ⁹⁴ That debate is particularly prominent where rights to use common pool resources are at stake, or where rights have already been allocated due to chance, historical patterns of use (grandparenting), or the exclusion of Māori. In some cases it may not have been fair to grant rights in a particular manner, but may also now be unfair to take them away. The relationship here can be described in terms of a transition over time, or even compensation.

Figure 13: Some key relationships between criteria

Most substantive criteria interact with each other in some way. The most significant relationships are ones where there is conflict or tension, although some can be mutually reinforcing.

In addition to the relationships described in Figure 13 above (concerning specific substantive criteria),⁹⁵ it is important to consider the relationship between the categories of substantive and pragmatic criteria. For example: is it too risky to dispense with statutory wording that underpins the approach to environmental bottom lines in case law like *EDS v King Salmon*,⁹⁶ even if legislative change could potentially provide for improvements to environmental outcomes? At workshops, some thought yes, while some thought no. Is it risky to try to achieve too much and end up achieving nothing because of political sensitivities and resourcing constraints? If there is not enough social consensus about issues at the moment, is it worth pushing for something that may not happen? At workshops, some pointed out that minimising disruption through system reform is not a great thing to be aiming for, because we actually face *greater* disruption (eg through environmental decline, climate change and social changes) if reforms lack ambition.

That said, it is not overly useful to describe the relationships between every substantive criterion and every pragmatic one, and we will not attempt to do so. In nature those

relationships are similar, and it is the bigger picture that is more important: to what extent should we temper the outcomes we would like to see with those that we think are actually achievable through the reform process?

If there are alternative system features that would be equally effective at achieving the balance of substantive outcomes we want, then it makes sense to choose those that would best reflect pragmatic criteria. For example, we might choose to change pt 2 of the RMA, or create more national policy statements, rather than create an entirely separate statute or split the Act, if those measures would achieve the same outcomes. The difficult question arises where more transformational measures would *better* achieve desirable outcomes, yet we may lack the practical ability to get there. Several points can be made here.

First, recommended reforms will need to be sensitive to political context (although not necessarily driven by it), and what is achievable will ebb and flow based on that. In the world of politics, things can change very fast. Secondly, we should push our ambition as far as it can go within practical parameters, and not let those be an excuse for complacency. The need for some change is urgent. Thirdly, the temporal aspect of reform is crucial when thinking about pragmatism. As we have emphasised several times, pragmatic concerns may be less significant if viewed over reasonable periods of time.⁹⁷ Some elements of reform could be implemented within a couple

of years, while others may take up to a decade. They may not demand a hard “yes” or “no” answer to a system feature: they may instead require a “yes, but later.”⁹⁸ We can even talk about alternative pathways within a single model (if X happens, then Y would be a reform response, but if A happens then B will be required). That does not necessarily require immediate legislation, but it does require a plan for change. In stage 3 of this work we will be considering how a preferred model can be rolled out in stages and based on triggers for new phases of reform.

Finally, at workshops some pointed out that the basic framework of the system cannot keep changing constantly, or be treated as a political football. This could be treated as a caution *against* reform (it would cause disruption),⁹⁹ but equally as a call *for* reform (to reduce the risk of the constant tinkering that has plagued the system over the last two decades).¹⁰⁰

If there are alternative system features that would be equally effective at achieving the balance of substantive outcomes we want, then it makes sense to choose those that would also best reflect pragmatic criteria. Where there is a tension between what we want and what we think we can achieve, we should not use the latter as an excuse to do less than we can. Reforms can happen over reasonable timeframes.

Three possible sets of criteria

Different overall ways of thinking about relationships between criteria have been formulated over the years. A prominent one is the “planetary boundaries” concept, whereby all human activity is seen within the framework of nine hard biophysical limits (eg climate change, land system change, biodiversity loss etc).¹⁰¹ Similarly, Kate Raworth’s “doughnut economy” model recognises an

environmental “ceiling” and a social “floor” within which an acceptable balance can be struck.¹⁰² An alternative is the United Nations Sustainable Development Goals framework (embedded in the 2030 Agenda for Sustainable Development) in which 17 goals and 169 targets are said to be “integrated and indivisible and balance the three dimensions of sustainable development: the economic, social and environmental”.¹⁰³ Māori perspectives are highly integrated, and generally do not see a clear distinction between environment, economy, society, culture and spirituality.

Another option is the Treasury’s Living Standards Framework, which looks at the interconnected relationships between four “capitals” (natural, human, social, and financial/physical) that sustain 12 domains of wellbeing (eg environment, social connection, cultural identity etc).¹⁰⁴ This will be particularly valuable to consider as we apply criteria, as will the Māori notion of the “four pou”¹⁰⁵ (Te Oranga,¹⁰⁶ Te Taiao,¹⁰⁷ Te Rarawatanga,¹⁰⁸ and Te Ōhanga,¹⁰⁹ embodying inclusivity, equity and balance). Some natural capital accounting approaches see natural and non-natural capital as interchangeable items, where hierarchical relationships between types of outcome (eg social, economic, environmental) are not needed as long as initial valuation occurs properly.¹¹⁰ Others see them as linked, but divisible and hierarchical (eg natural capital cannot be exchanged for increases in other forms of capital).

Below, we present three possible sets of criteria we could adopt, with differences based largely on the nature of relationships within them.¹¹¹ We describe them respectively as “progressive”, “transformational” and “market led”. These may not look *radically* different from each other, as we are conscious that we do not wish to set up straw men.¹¹² The point is to make realistic sets of criteria that, overall, reflect different concerns – not to make every single criterion different. When applied, seemingly subtle



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differences could produce quite different looking system features. We are seeking feedback on these options, and will not settle on a preferred set until the next stage of the work – where we will apply it to construct a preferred model in detail.

Many criteria sets are possible, but three broad ones strike us as viable and useful to compare: a progressive set, a transformational set, and a market-led set.

Criteria set 1: Progressive

Set 1 can generally be described as a progressive approach. It is ambitious for change but conscious of the need for restraint and caution in some areas. Human survival and the basic conditions for quality of life are recognised as paramount when managing natural resources, while recognising that indigenous species have intrinsic value and moral rights to exist and thrive (eg not be threatened with extinction). Those rights are subject only to the need for human survival. Broader human wellbeing is also recognised as rooted in our protection of natural resources, which (subject to the basic survival and quality of life of all people – including future generations) should not only be safeguarded but also *improved* to maximise overall human wellbeing. All these need to be done in a precautionary manner. In making all choices, the Crown's obligations under the Treaty of Waitangi are to be discharged, and this envisages a progressive approach to Treaty obligations based on a greater (although not absolute) recognition of Māori rights to exercise tikanga.

Fairness is important in set 1; subject to the matters described above, rights and responsibilities need to be allocated in a way that is equitable across generations and across different groups within the current generation. Efficiency in resource use is important, but comes

second to fairness. Similarly, efficiency in the system (eg institutional arrangements) and processes is important, but subservient to the need to achieve other substantive outcomes (including transparency, and for people to be involved where directly affected or where there is a public interest). Set 1 also recognises that our choices should promote people's social, cultural and economic wellbeing more broadly (ie not just wellbeing that comes from protecting biophysical bottom lines). However, this also respects people's freedoms, as intervention to actively *promote* rather than *enable* wellbeing is limited to where a public interest can be identified (including where social and economic resilience needs to be enhanced). Set 1 reflects the need for agility and adaptability (in order to safeguard human survival and wellbeing, and intrinsic values) but also the need for certainty and predictability, property rights and statutory rights. Accessibility is seen as important, but not at the expense of certainty. In other words, the system should not be "dumbed down" or "stripped back" if to do so would require later reforms or case law to clarify what it actually means.

Criteria set 1 accepts that reform cannot happen without political will, and that all measures must be politically *possible*. They must also be workable, not just theoretically justifiable. However, set 1 does not see the retention of case law or disruption to the status quo as influencing a choice unless all other things are equal.

Below, we provide the criteria set itself. **Bold text** indicates a description of key relationships between criteria. A **brown background** indicates substantive criteria. A **grey background** indicates pragmatic criteria.

This is followed by a diagram (Figure 14) that shows, visually, some of the key relationships between criteria within set 1. It may be useful to consider this figure, and its more detailed explanation in Figure 15, alongside the actual description of the criteria below.



Criteria set 1: Progressive	
1.	The choice safeguards and enhances the quality and availability ¹¹³ of aspects of the natural world on which all humans (including present and future, and of all socio-economic circumstances) rely for their survival and basic quality of life (Te Taiao);
2.	Subject to (1) , the choice recognises a responsibility to protect the intrinsic moral right of indigenous species to exist and thrive in New Zealand; ¹¹⁴
3.	Subject to (1) and (2) , ¹¹⁵ the choice safeguards and enhances the quality and availability over time of aspects of the natural world on which humans (present and future, and of all socio-economic circumstances) rely for overall collective wellbeing (Te Taiao); ¹¹⁶
4.	Reinforcing the biophysical protections in (1)-(3) , the choice results in biophysical resilience to disruptive change;
5.	Within the constraints of the biophysical protections in (1)-(3) , ¹¹⁷ the choice represents a fair allocation of rights and responsibilities between people (including present and future, and of all socio-economic circumstances);
6.	Subject to the biophysical protections in (1)-(3) , the choice promotes the social wellbeing (Te Oranga), economic wellbeing (Te Ōhanga) and cultural wellbeing (Te Rarawatanga) of New Zealanders where it is in the public interest; ¹¹⁸
7.	Reinforcing the promotion of wellbeing in (6) and biophysical resilience in (4) , the choice results in social and economic resilience to disruptive change where the change would impact on the public interest;
8.	Subject to the public interest restrictions in (1)-(7) , the choice provides people the freedom to provide for their own social, economic and cultural wellbeing;
9.	Subject to biophysical protections and fairness in (1)-(5) and in considering the promotion of wider human wellbeing and resilience in (6) and (7) , the choice promotes efficiency and cost-effectiveness in resource use;
10.	In considering all substantive criteria (1)-(20) , the choice implements the Crown's obligations under the Treaty of Waitangi and reflects the principles of the Treaty, including greater recognition of Māori rights to exercise tikanga, and upholding Treaty settlements;
11.	In considering the biophysical protections in (1)-(4) , the choice implements an anticipatory and precautionary approach to risk and uncertainty associated with actions that threaten survival, intrinsic values, and collective wellbeing in the future; ¹¹⁹

12.	Subject to the public interest restrictions in (1)-(7), Treaty and precautionary obligations in (10)-(11), and process concerns in (15)-(18), and reinforcing the importance of freedom and efficiency in (8)-(9) , the choice ensures an efficient management system (including decision-making processes); ¹²⁰
13.	To achieve the biophysical protections in (1)-(4) and broader human wellbeing in (6)-(7), and taking into account fairness in (5) and subject to Treaty obligations in (10) , ¹²¹ the choice provides sufficient flexibility and adaptability and allows us to address existing problems and future challenges in a timely way;
14.	Subject to the flexibility in (13) , the choice maximises regulatory certainty to users and permit holders, and respects existing property and statutory rights; ¹²²
15.	The choice promotes transparency in public decision-making;
16.	Subject to the flexibility in (13) and Treaty obligations in (10) , the choice allows and encourages people to have a say to the extent there is a public interest (unless their interests are already represented) or their interests are directly affected; ¹²³
17.	To the extent it reflects fairness in (5) and reinforces either Treaty obligations in (10), efficiency in (12) or transparency in (15) , the choice maximises knowledge and facilitates its transmission;
18.	Subject to the need for certainty in (14) , the choice makes the system accessible to users;
19.	Reinforcing, but also subject to the biophysical protections in (1)-(3) , ¹²⁴ the choice solves or addresses current problems according to their urgency;
20.	Reinforcing the biophysical protections in (1)-(3) , the choice allows New Zealand to meet its international obligations; ¹²⁵
21.	All substantive criteria (1)-(20) are subject to the need for choices to be within the realms of political possibility and workable in practice;
22.	In considering workability and political achievability in (21) , take into account the feasibility of staggering or ramping up reforms over reasonable timeframes, keeping in mind the urgency of issues and the likelihood of social change; ¹²⁶
23.	Prefer choices that minimise disturbance to the status quo, retain existing case law, and support legal stability only if they are equally or more effective at achieving all substantive criteria in (1)-(20) than alternatives.

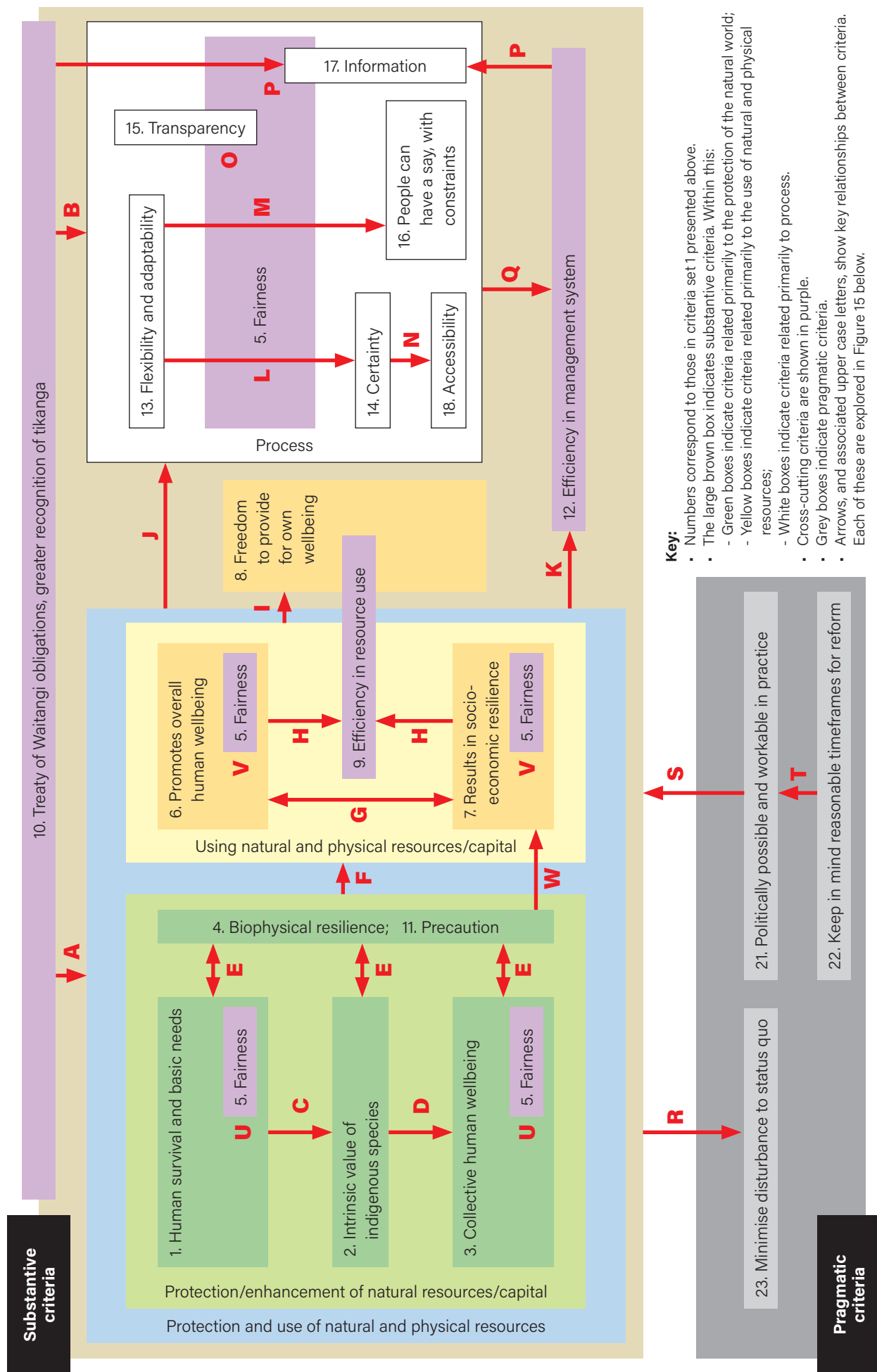


Figure 14: Relationships between criteria in criteria set 1.

A	All substantive criteria are subject to the need to implement the Crown's obligations under the Treaty of Waitangi, including reflecting Treaty principles, as well as greater recognition of tikanga. However, while this is a hierarchical relationship, it should be emphasised that the nature of Treaty obligations and principles themselves are not absolute, and are constantly evolving. More specifically, actual Treaty settlements will need to be upheld in any reform.
B	As in (A) above, Treaty obligations and a greater recognition of tikanga are to be reflected in the <i>processes</i> of the system. In particular, the need for flexibility is subject to the need to uphold specific Treaty settlement rights.
C	The human responsibility to protect the intrinsic moral rights/value of indigenous species is subject to the need to manage resources in a way that allows for the survival and basic quality of life for all New Zealanders. It is to be hoped that the state of the environment would never become so bad as to invoke this hierarchical relationship, and we do not see these things as being in tension at present.
D	Protecting the natural world (natural capital, natural resources) on which humans rely for wellbeing <i>above a basic quality of life</i> is subject to the intrinsic rights/values of indigenous species.
E	If the ecosystems/biosphere on which humans and indigenous species rely for survival and wellbeing are resilient to disruptive change, the latter reinforces and supports the former. Precaution is related to resilience, because it recognises that sometimes we do not know how far human use can push ecosystems/resources before they reach tipping points.
F	Promoting the social, cultural and economic wellbeing of people more broadly (ie everything in the yellow box) is subject to protecting the natural world/natural capital to the extent needed to achieve human survival/basic needs, recognise the intrinsic value of indigenous species, and secure overall human wellbeing (ie everything in the green box).
G	Securing people's social, economic and cultural wellbeing over time is supported by increasing the resilience of people and communities to disruptive change.
H	Using resources in the most efficient way possible is desirable, but is subject to the need for fairness (in allocating both rights and responsibilities) and subject to what would promote overall social, economic and cultural wellbeing and resilience. In some cases, the most efficient resource use may support those things, but in other cases it may not. Similarly, in some cases, enabling people to provide for their own wellbeing may produce efficient outcomes, but not always (indicated by the overlap between boxes 8 and 9).
I	People are to have the freedom to manage resources to provide for their own wellbeing, as they are often best placed to decide such questions. However, that is subject to the need to defend biophysical bottom lines (ie everything in the green box) as well as to secure overall human wellbeing more broadly where there is a public interest (eg urban planning, infrastructure, green spaces etc) (ie everything in the yellow box).
J	Processes are ultimately designed to achieve the system's substantive outcomes (ie those in the blue box), but can do so in different ways. Specific process outcomes are important. In particular, flexibility and adaptability are needed to ensure that biophysical protections can be implemented in a timely way where needed (to achieve those things in the green box), but also to achieve change where there is an element of public interest in securing social, economic and cultural wellbeing (ie those things in the yellow box). Some of these are urgent and should not be delayed. Flexibility is subject to Treaty obligations (see (B) above).
K	Efficiency and cost-effectiveness in the design of the system, including in its processes (ie more than just the efficient use of resources) is subject to the need to achieve its other substantive outcomes (ie those matters in the blue box).
L	Subject to the need for the system to be flexible enough to achieve its substantive outcomes in a timely way (ie address problems and future challenges), it must provide as much certainty and security to people (eg property and statutory rights holders) as possible. Fairness is important to consider here, not necessarily to determine whether change should happen (although that may well be fair in some contexts), but to determine what should happen in response to change (eg compensation).
M	There is a need for public participation not to come at the expense of timely outcomes where needed urgently to achieve matters contained in (1)-(3) and (6)-(7) (those in the green and yellow boxes). However, broader "efficiency" is subject to other outcomes we wish to see from giving people a voice (fairness and where a public interest is at stake). Furthermore, constraints on involvement do not apply where needed to implement Treaty obligations (see (B)).
N	It is important that the system is as accessible and easy to use as possible, but that is subject to the need for the system to provide sufficient certainty and predictability concerning legal rights and processes. This recognises that the system is inherently complex and needs to address many interrelated matters. An overly simplified system may simply require later amendments or extensive interpretation through case law in order to provide clarity.

O	Fairness demands that decision-making be as transparent as possible, although fairness may also influence where the costs of that transparency fall.
P	The system should strive to use and transmit the best information and knowledge possible (including Mātauranga Māori), and the ways in which information is obtained and shared can make decision making more efficient (reinforcing (12)) and transparent (reinforcing (15)). However, information can be costly and imperfect, and the system's approach to it must reflect what is fair (5).
Q	Efficient and cost-effective processes are important, but subject to other process outcomes we wish to achieve (ie those matters in the white box).
R	It is desirable to minimise disturbances to the status quo, but only to the extent that doing so would be as effective or more effective as other measures in reflecting substantive criteria.
S	All other criteria are subject to the need for a choice to be workable in practice and at least within the realm of political possibility.
T	What is considered within the realm of political possibility and workable in practice should be determined in light of what is possible over reasonable timeframes, and the extent to which the urgency of problems may drive sharp changes in social and therefore political will. More measures may become possible when viewed in this light.
U	Achieving fairness is important when considering, in the context of what natural resources need to be protected and enhanced, what "human" survival and wellbeing is. In particular, fairness constrains our ability to reduce one person or group's wellbeing in favour of another's wellbeing, or to look only at the overall wellbeing of the country without thinking about different communities and generations.
V	Overall human wellbeing cannot be increased without regard to how the relative wellbeing of groups and people within society are affected by resource management decision-making. Fairness, rather than absolute equality, needs to be achieved.
W	The resilience of ecosystems/the biosphere supports the social and economic resilience of people and communities that rely on them existing in a stable state.

Figure 15: Explanation of key relationships between criteria in set 1, identified in Figure 14.



Criteria set 2: Transformational

Set 2 can be described loosely as a transformational approach. It is a more fundamental recasting of the system to one where human interests are not paramount, and for that reason looks quite different to sets 1 and 3 in some key aspects.¹²⁷ Even human survival and basic quality of life are seen to be subservient to the intrinsic values and rights of aspects of the natural environment – such as the survival of indigenous species, the functioning of ecosystems, and the protection of wilderness areas and significant natural landscapes and features. This is coupled with a recognition that political palatability is not the be all and end all – sometimes criteria need to drive changes in social and political will and produce a paradigm shift, rather than be tailored to the existing appetite for change. That said, there would be a need to define exactly what intrinsic values encompassed, so set 2 retains significant scope and could look fairly radical or fairly conservative.¹²⁸ At some point, for some resources, or in some locations basic human needs would still need to override intrinsic values and rights of the natural world.¹²⁹ We need to live in harmony with nature, but that does not mean we live in a museum or national park.

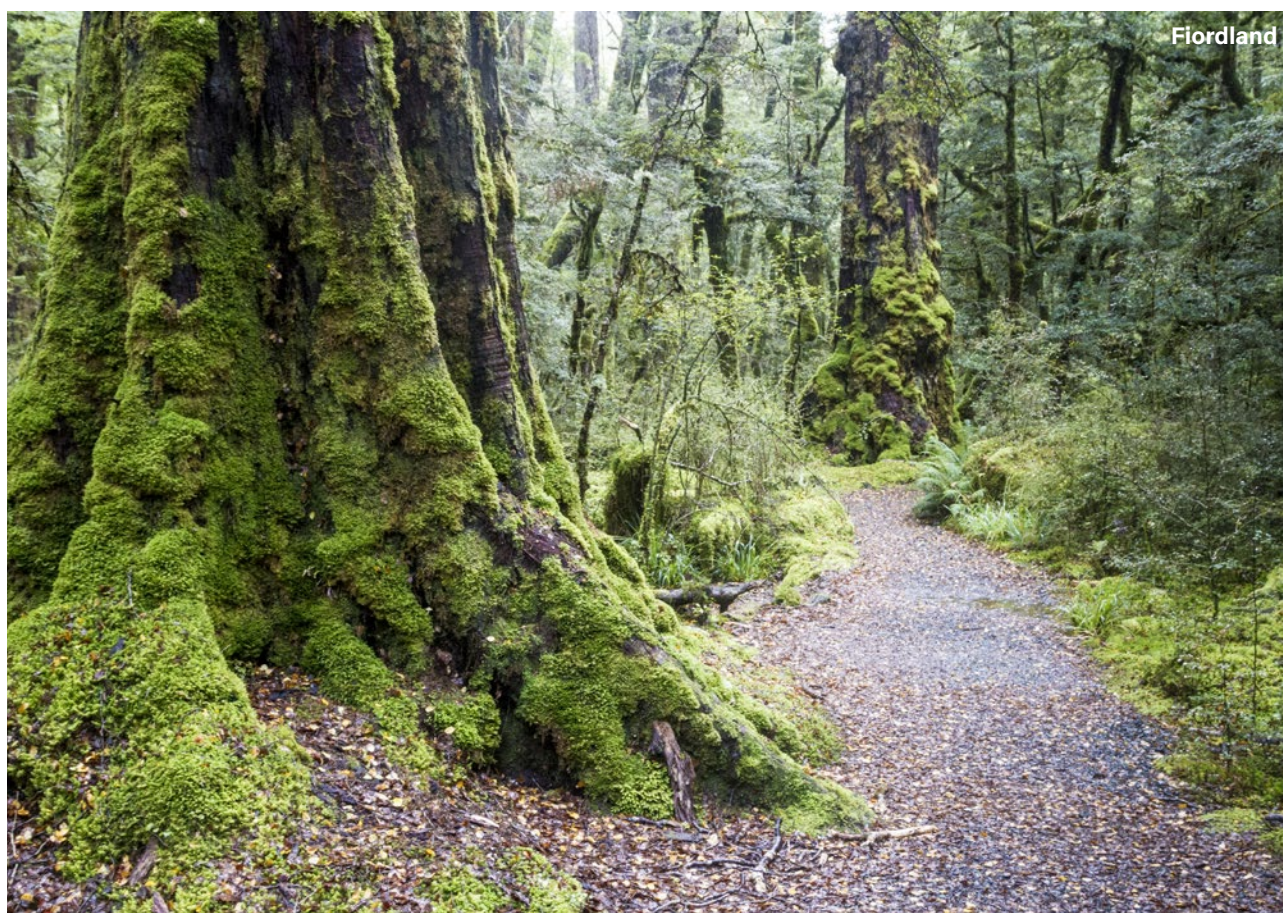
All choices in set 2 would need to implement the Crown's obligations under the Treaty of Waitangi,¹³⁰ with the significant exception of where human survival and basic quality of life, and intrinsic values of the natural world, were at stake. However, these things will generally align and often (eg in the case of recognising intrinsic values) inform each other. Furthermore, fairness between people is important in

allocating rights and responsibilities, but only within a wider envelope of intrinsic values, human survival, and collective wellbeing. Here, fairness also takes on an additional dimension: fairness between humans and the natural world.

In contrast to set 1, there is a wider opportunity for the system to actively promote people's social, economic and cultural wellbeing – not just where the public interest is at stake. It potentially opens the door to a greater range of positive (although not unlimited) planning for social and economic outcomes, beyond protecting the environment and enabling people to provide for their own wellbeing. Efficiency in resource use and process is still seen as important, but – again – subject to the wider outcomes like the protection of intrinsic value. As in set 1, the desire for accessibility in the system bows to the need for certainty and predictability. Practical considerations like the retention of case law or minimising social and economic disruption are accorded less relative influence.

Below, we provide the criteria set itself. **Bold text** indicates a description of key relationships between criteria. **Red text** indicates where there are key points of difference between set 1 and set 2. A **brown background** indicates substantive criteria, while a **grey background** indicates pragmatic criteria.

This is followed by a diagram (Figure 16) that shows, visually, some of the key relationships between criteria within set 2. It may be useful to consider this figure, and its explanation in Figure 17, alongside the actual description of the criteria below.



Criteria set 2: Transformational	
1.	The choice recognises the intrinsic moral rights of indigenous species to exist and thrive, and the intrinsic values of ecosystems, wilderness and significant natural landscapes and features; ¹³¹
2.	Subject to (1), ¹³² but recognising the inherent connection with it, the choice safeguards and enhances the quality and availability over time of components of the natural world on which all humans (including present and future, and of all socio-economic positions) rely for their survival and basic quality of life (Te Taiao);
3.	Subject to, and often reinforcing (1) and (2), the choice safeguards and enhances the quality and availability over time of components of the natural world on which humans (present and future) rely for overall collective wellbeing (Te Taiao); ¹³³
4.	Reinforcing the biophysical protections in (1)-(3), the choice achieves biophysical resilience to disruptive change;
5.	Within the constraints of the biophysical protections in (1)-(3), ¹³⁴ the choice represents a fair allocation of rights and responsibilities between people (including present and future, and of all socio-economic positions);
6.	Subject to the restrictions in (1)-(5), the choice actively promotes the social wellbeing (Te Oranga), economic wellbeing (Te Ōhanga) and cultural wellbeing (Te Rarawatanga) of New Zealanders; ¹³⁵
7.	Reinforcing the promotion of wellbeing (6) and biophysical resilience in (4), the choice results in social and economic resilience to disruptive change; ¹³⁶
8.	Subject to the restrictions in (1)-(7), the choice provides people the freedom to provide for their own social, economic and cultural wellbeing; ¹³⁷
9.	Subject to the biophysical restrictions in (1)-(4) and fairness in (5), and in considering broader wellbeing and resilience in (6) and (7), the choice promotes efficiency and cost-effectiveness in resource use;
10.	In considering all substantive criteria (1)-(21), but subject to the biophysical restrictions in (1)-(2), ¹³⁸ the choice implements the Crown's obligations under the Treaty of Waitangi and reflects the principles of the Treaty;
11.	In considering the restrictions in (1)-(5), the choice reflects an anticipatory and risk-averse ¹³⁹ precautionary approach to uncertainty associated with actions that threaten survival, intrinsic values, and collective wellbeing in the future;

12.	Subject to the restrictions in (1)-(7), Treaty obligations and precaution in (10)-(11), and public participation in (17), and reinforcing freedom and efficiency in (8)-(9), the choice supports an efficient management system;
13.	To achieve the biophysical protections in (1)-(3), ¹⁴⁰ subject to Treaty obligations in (10) and taking into account fairness in (5), the choice provides sufficient flexibility and adaptability and allows us to address existing problems and future challenges in a timely way;
14.	To support Treaty rights in (10) and overall human wellbeing in (6)-(8), ¹⁴¹ but subject to the flexibility needed for biophysical protections in (13), the choice maximises certainty to users and permit holders and respects existing property and statutory rights;
15.	Subject to the need to maximise certainty in (14) and fairness in (5), the choice provides sufficient flexibility and adaptability and allows us to address future challenges in overall human wellbeing in (6)-(7) a timely way; ¹⁴²
16.	The choice promotes transparency in public decision-making;
17.	The choice allows and encourages people to have a say to the extent there is a public interest ¹⁴³ or their interests are directly affected;
18.	To the extent it reflects fairness in (5) and reinforces Treaty obligations in (10), efficiency in (12) or transparency in (16), the choice maximises knowledge and facilitates its transmission;
19.	Subject to the need for certainty in (14), the choice makes the system accessible to users;
20.	Reinforcing, but also subject to ¹⁴⁴ the biophysical protections in (1)-(3), the choice solves or addresses current problems according to their urgency;
21.	Reinforcing (1)-(3), the choice allows New Zealand to meet its international obligations.
22.	Criteria (1)-(21) are subject to the need for choices to be workable in practice; ¹⁴⁵
23.	For all criteria, consider but give relatively low weight to the desirability of retaining existing case law or minimising disruption to the status quo, but also recognise the ability to soften the impact of changes by implementing them over reasonable timeframes. ¹⁴⁶

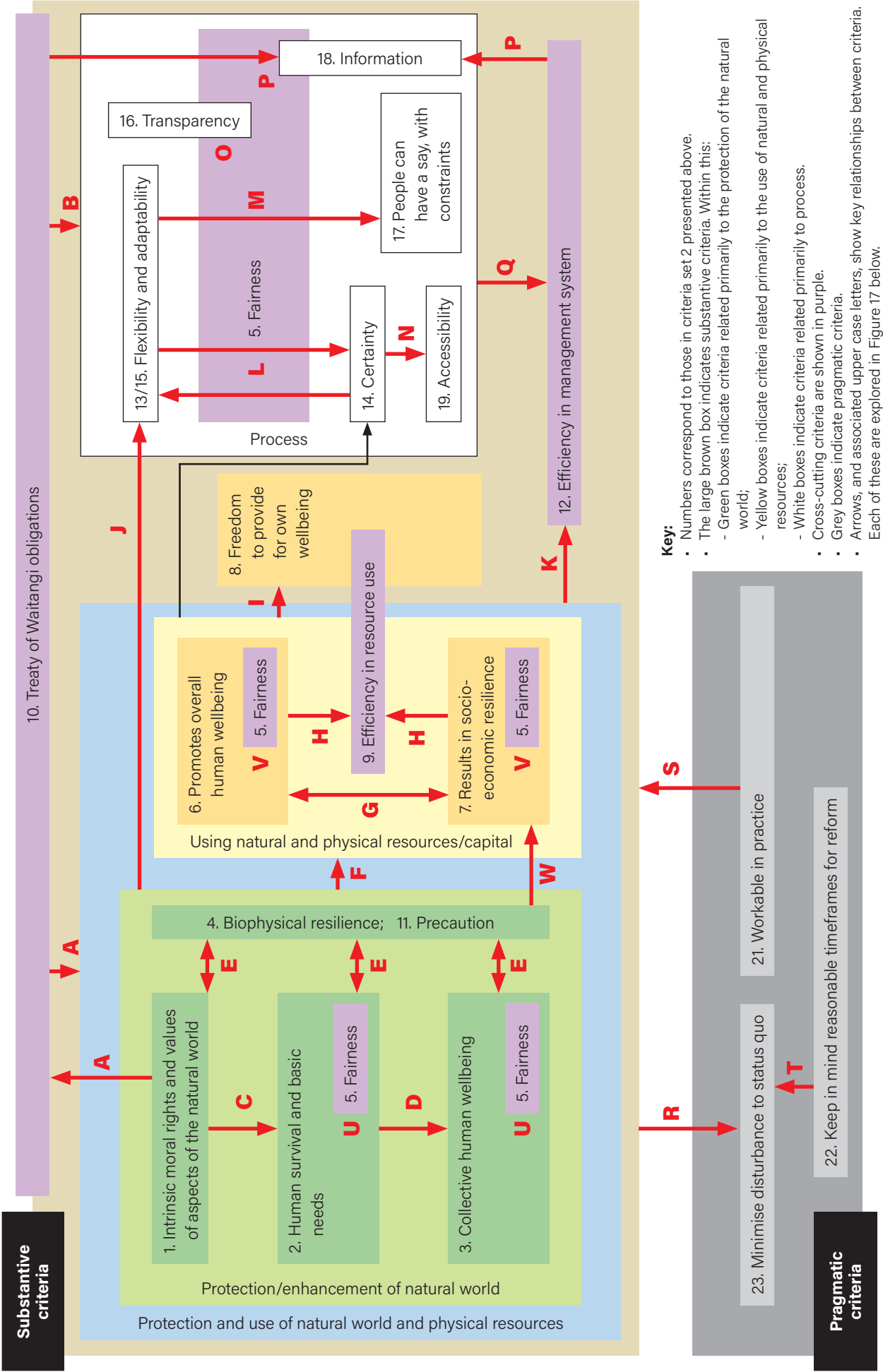


Figure 16: Relationships between criteria in criteria set 2.

A	Substantive criteria are subject to the need to implement the Crown's obligations under the Treaty of Waitangi, including reflecting Treaty principles. However, while this is a hierarchical relationship, it should be emphasised that the nature of Treaty obligations and principles themselves are not absolute and are constantly evolving. Treaty settlement legislation will need to be upheld in any reform. The only exceptions to this hierarchy are criteria (1) and (2), relating to biophysical protections necessary to ensure basic quality of life and protect the intrinsic values of the natural world. In most cases, however, these would be informed by and would seem likely to align fairly well with Treaty rights and obligations, and a Māori perspective.
B	As in (A) above, Treaty obligations are to be reflected in <i>processes</i> of the system. In particular, the need for flexibility is subject to the need to uphold Treaty settlement rights.
C	The human responsibility to protect the intrinsic rights/value of aspects of the natural world (indigenous species, ecosystems, wilderness, significant natural landscapes and features) overrides the need to manage resources in a way that allows for the survival and basic quality of life for humans. It is to be hoped that the state of the environment would never become so bad as to invoke this hierarchical relationship, and we do not see these things as being in tension at present. There would also be a need to pinpoint exactly what the intrinsic values of these things are, and these might differ (eg in different areas, for different species, or in different contexts).
D	Protecting the natural world (natural capital, natural resources) on which humans rely for wellbeing is subject to the survival and basic quality of life of all.
E	If the ecosystems/biosphere on which humans and indigenous species rely for survival and wellbeing are resilient to disruptive change, the latter reinforces and supports the former. Precaution, a future-focused perspective, and risk aversion are related to resilience, because it recognises that sometimes we do not know how far human use can push ecosystems/resources before they reach tipping points.
F	Promoting the social, cultural and economic wellbeing of people more broadly (ie everything in the yellow box) is subject to protecting the natural world to the extent needed to achieve human survival/basic needs, recognising the intrinsic values of the natural world, and securing overall human wellbeing (ie everything in the green box).
G	Securing social, economic and cultural wellbeing over time is enhanced by increasing the resilience of people and communities to disruptive change.
H	Using resources in the most efficient way possible is desirable, but is subject to the need for fairness (in allocating both rights and responsibilities) and what would promote overall social, economic and cultural wellbeing and resilience. In some cases, the most efficient resource use may support those things, but in other cases it may not. Similarly, in some cases, enabling people to provide for their own wellbeing may produce efficient outcomes, but not always (indicated by the overlap between boxes 8 and 9).
I	People are to have the freedom to manage resources to provide for their own wellbeing, as they are often best placed to decide such questions. However, that is subject to the need to defend biophysical bottom lines (ie everything in the green box) as well as to secure overall human wellbeing more broadly (eg urban planning, infrastructure, green spaces etc) (ie everything in the yellow box).
J	Processes are ultimately designed to achieve the system's substantive outcomes (ie those in the blue box), but can do so in different ways. Specific kinds of process outcomes are also important. In particular, flexibility and adaptability are needed to ensure that biophysical protections can be implemented in a timely way where needed (to achieve those things in the green box). Such flexibility would respect Treaty obligations (see (B) above). In contrast, certainty is considered here to be more important when considering how we manage natural and physical resources above those biophysical bottom lines (those things in the yellow boxes). Flexibility and certainty in both of these contexts have important relationships between them (see (L) below).
K	Efficiency and cost-effectiveness in the design of the system (more than just the efficient use of <i>resources</i>) is subject to the need to achieve its other substantive outcomes (ie all those matters in the blue box). Efficiency simply means the lowest cost way of achieving those outcomes, not finding ways to get around those outcomes in the interests of cost-reduction.
L	Subject to the need for the system to be flexible enough to achieve its biophysical bottom lines in a timely way (ie address problems and future challenges relating to those matters in the green boxes), it must provide as much certainty and security to people (eg property and statutory rights holders) as possible. On the other hand, flexibility is still desirable even where certainty is considered more important (ie for human wellbeing above biophysical bottom lines – those matters in the yellow boxes). Where the balance lies between flexibility and certainty in each of these cases is to be influenced by what is fair. Fairness is important to consider, not necessarily to determine whether change should or should not happen (although that may be fair in some contexts), but to determine what should happen in response to change (eg compensation).

M	There is a need for public participation not to come at the expense of timely outcomes where needed urgently to achieve matters contained in (1)-(3) and (6)-(7) (those in the green and yellow boxes). However, broader “efficiency” is subject to other outcomes we wish to see from giving people a voice (where they are affected and where a public interest is at stake). Furthermore, constraints do not apply where needed to implement Treaty obligations (see (B)).
N	It is important that the system is as accessible and easy to use as possible, but that is subject to the need for the system to provide sufficient certainty and predictability concerning legal rights and processes. This recognises that the system is inherently complex and needs to address many interrelated matters.
O	Fairness demands that decision-making be as transparent as possible, although fairness may also influence where the costs of that transparency fall.
P	The system should strive to use and transmit the best information possible (including Mātaraunga Māori), and the ways in which information is obtained and shared can make decision making more efficient (reinforcing (12)) and transparent (reinforcing (16)). However, information can be costly and imperfect, and the system’s approach to its collection and dissemination must reflect what is fair (hence the overlap with (5)).
Q	Efficient and cost-effective processes are important, but subject to other process outcomes we wish to achieve (ie those matters in the white box).
R	Minimising disturbance to the status quo is seen as something to be given expressly low weight.
S	All other criteria are subject to the need for a choice to be workable in practice, but political palatability is not a relevant consideration. Instead, political will should be driven <i>by</i> the substantive outcomes we wish to achieve.
T	While minimising disturbance to the status quo is to be given low weight, it should still be <i>considered</i> (especially in thinking about which reforms are urgent and which can wait, rather than doing all things at once).
U	Achieving fairness is important when considering, in the context of what natural resources need to be protected and enhanced, what “human” survival and wellbeing is. In particular, fairness constrains our ability to reduce one person or group’s wellbeing in favour of another’s wellbeing, or to look only at the overall wellbeing of the country without thinking about different communities and generations.
V	Overall human wellbeing cannot be increased without regard to how the relative wellbeing of groups and people within society are affected by resource management decision-making. Fairness, rather than absolute equality, needs to be pursued.
W	The resilience of ecosystems/the biosphere supports the social and economic resilience of people and communities that rely on them existing in a stable state.

Figure 17: Explanation of key relationships between criteria in set 2, identified in Figure 16.



Criteria set 3: Market led

As a generalisation, set 3 is a more market-oriented set of criteria. It drives for clarity, efficiency and freedom alongside the need to restrict the use of natural resources for the common good. It also strongly recognises the risks of, and practical roadblocks to, fundamental reform.

Set 3 recognises the need to set environmental limits for human survival and wellbeing, but stops short of expecting the system to promote the *enhancement* of resources. It stops people doing things (and allows for natural regeneration), but is less active in *making* people do things. It is also different to sets 1 and 2 in that it does not emphasise the equality of current and future generations, or different groups within society. Essentially, distributional effects (measures that affect different people or groups differently) are seen as something to be addressed outside the resource management system (eg through the welfare system). Efficiency is seen as extremely important, and dominant to (although not entirely replacing) fairness. The Crown's Treaty of Waitangi obligations are an exception to that, where distributional effects and fairness are to be dealt with directly.

Significantly, intrinsic values are seen here as a concept that is not particularly useful. Instead, set 3 embraces the idea of overall human wellbeing, where people are free to value non-consumptive resource uses (eg walking in a national park, valuing the existence of indigenous fauna etc), but

where different expressions of wellbeing (social, cultural, economic, environmental) remain largely interchangeable if valued properly.¹⁴⁷ People are enabled to provide for their own wellbeing, rather than the system actively intervening to promote it (except in cases of clear market failure). Proportionality in risk management is emphasised rather than a precautionary or risk-averse approach per se. The importance of certainty for rights holders is recognised, and an efficient process bows to public participation to the extent people are directly affected.

Set 3 is cautious about large scale reform. Pragmatic criteria strongly influence substantive criteria, in that choices are only acceptable to the extent they are politically *likely*, have a broad base of social acceptance, and a clear pathway for funding/resourcing. Significant weight is given to legal, social and economic continuity.

Below, we provide the criteria set itself. **Bold text** indicates a description of key relationships between criteria. **Red text** indicates where there are key points of difference between set 3 and sets 1 or 2. A **brown background** indicates substantive criteria, while a **grey background** indicates pragmatic criteria.

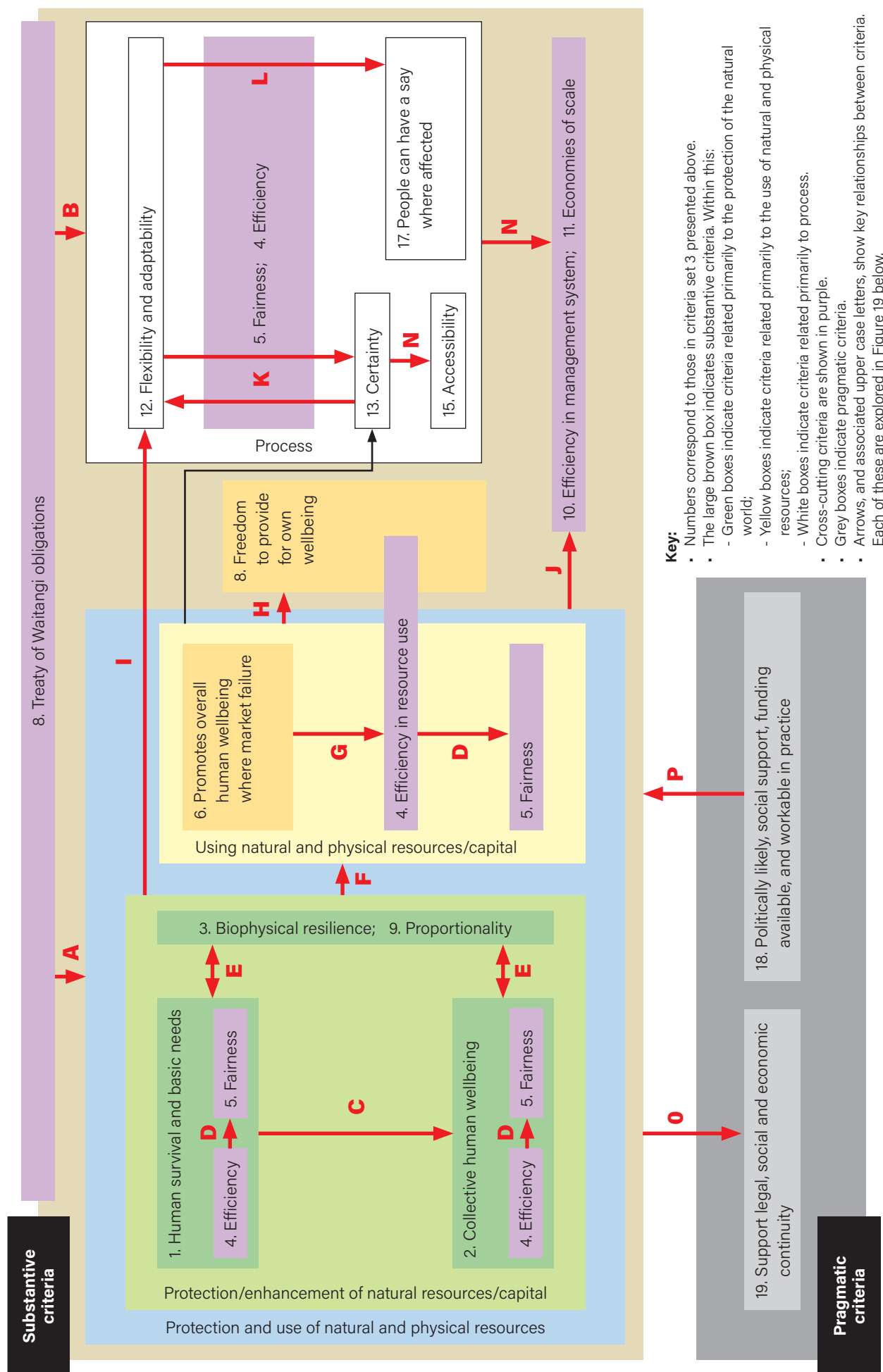
This is followed by a diagram (Figure 18) that shows, visually, some of the key relationships between criteria within set 3. It may be useful to consider this figure, and its explanation in Figure 19, alongside the actual description of the criteria below.



Criteria set 3: Market led

1. The choice safeguards the quality and availability over time of natural resources/capital on which all humans rely on for their survival and basic quality of life;¹⁴⁸
2. **Subject to (1)**, the choice safeguards the quality and availability over time of **natural resources/capital** on which humans rely for overall collective wellbeing (Te Taiao);¹⁴⁹
3. **Reinforcing the biophysical protections in (1)-(2)**, the choice results in biophysical resilience to disruptive change;
4. **Within the constraints of the biophysical protections in (1)-(2)**, the choice represents the most efficient allocation of rights between people **and the internalisation of externalities**;¹⁵⁰
5. **Subject to efficiency in (4)**, the choice represents a fair allocation of rights and responsibilities between people;
6. The choice promotes and provides for people's social and economic wellbeing and resilience **to the extent that there is a market failure**;¹⁵¹
7. **Subject to the biophysical protections in (1)-(2), and reinforcing the limits on social or economic planning in (6)**, the choice enables people to provide for their own social wellbeing (Te Oranga), economic wellbeing (Te Ōhanga) and cultural wellbeing (Te Rarawatanga) and resilience;
8. **In considering all substantive criteria in (1)-(17)**, the choice implements the Crown's obligations under the Treaty of Waitangi and reflects the principles of the Treaty;¹⁵²
9. **In considering all outcomes in (1)-(6)**,¹⁵³ the choice reflects an **adaptive and proportionate** approach to risk and uncertainty associated with actions that threaten survival and collective wellbeing in the future;¹⁵⁴
10. **Subject to the biophysical protections in (1)-(2) and (8)-(9), and reinforcing outcomes in (4)-(7)**, the choice reflects an efficient management system;¹⁵⁵
11. **Reinforcing efficiency in (10)**, but with the same conditions, the choice achieves economies of scale;¹⁵⁶
12. **To achieve the biophysical protections in (1)-(2), and taking into account efficiency in (4), Treaty obligations in (8), and fairness in (5)**,¹⁵⁷ the choice provides sufficient flexibility and adaptability and allows us to address existing problems and future challenges in a timely way;
13. **To achieve human wellbeing in (7) and Treaty obligations in (8), but subject to the flexibility needed in (12)**, the choice provides certainty to users and permit holders and safeguards existing property and statutory rights;¹⁵⁸

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- A tall, intricately carved wooden totem pole (Raupatu) stands against a bright blue sky with scattered white clouds. The pole is covered in detailed Maori carvings. Near the top, there's a large, fierce face with wide, staring eyes and a wide, open mouth. Below this, a large lizard or reptile is carved into the wood. Further down, there are more faces and intricate patterns. At the base of the pole, the word "Raupatu" is carved in a bold, stylized font. Below that, smaller text reads "Carved by A. Taranaki" and "2007". The pole is set in an open area with green bushes and a paved path in the background.



A	All substantive criteria are subject to the need to implement the Crown's obligations under the Treaty of Waitangi, including reflecting Treaty principles. However, while this is a hierarchical relationship, it should be emphasised that the nature of Treaty obligations and principles themselves are not absolute and are constantly evolving. Treaty settlement legislation will need to be upheld in any reform.
B	As in (A) above, Treaty obligations are to be reflected in <i>processes</i> of the system. In particular, the need for flexibility is subject to the need to uphold Treaty settlement rights.
C	Collective human survival and basic quality of life takes precedence over broader human wellbeing. This reflects that a basic quality of life for all should not be threatened by increases in net wellbeing that are distributed unevenly across different groups or generations. There is no mention of intrinsic rights or values, recognising that in the resource management system it is ultimately people who assign value to aspects of the living world. While they may do so for different reasons (eg existence value), it is conceptually challenging to recognise "intrinsic" value separate from human values.
D	Fairness is a secondary consideration to efficiency when determining how rights and responsibilities to protect the natural world are allocated between people. Within equally efficient outcomes, fairness can be optimised. However, efficiency is subject to Treaty obligations under (A) and (B), and the hierarchy described in (C).
E	If the ecosystems/biosphere on which humans rely for survival and wellbeing are resilient to disruptive change, the latter reinforces and supports the former. A proportionate approach to risk management is related to resilience, because it recognises that while sometimes we do not know how far human use can push ecosystems/resources before they reach tipping points, it also tailors responses to the level of knowledge we do have and our collective appetite for risk in light of potential benefits.
F	Promoting the social, cultural and economic wellbeing of people more broadly (ie everything in the yellow box) is subject to protecting the natural world/natural capital to ensure human survival and overall collective wellbeing (environmental bottom lines).
G	In the case of market failure, the efficient use of resources is subject to what would promote overall social, economic and cultural wellbeing. In some cases, the most efficient resource use may support overall wellbeing, but in other cases it may not.
H	People are to be allowed to provide for their own social, economic and cultural wellbeing, subject to biophysical bottom lines being met, and subject to where intervention is needed to promote overall wellbeing by addressing market failures. This freedom (including the free operation of the market) can support the efficient use of resources (hence the overlap between (4) and (7)).
I	Flexibility and adaptability are needed to ensure that biophysical protections can be implemented in a timely way where needed (to achieve those things in the green box). Such flexibility would respect Treaty obligations (see (B) above). In contrast, certainty is considered here to be more important when considering how we manage natural and physical resources above those biophysical bottom lines (those things in the yellow boxes). Flexibility and certainty in these contexts therefore have different starting points, but have important relationships between them (see (K) below).
J	Efficiency and cost-effectiveness in the design of the system (more than just the efficient use of <i>resources</i>) is subject to the need to achieve its other substantive outcomes (ie all those matters in the blue box). Efficiency simply means the lowest cost way of achieving those outcomes, not finding ways to get around those outcomes in the interests of cost-reduction. However, the substantive outcomes in the blue box are narrower in set 3 than in others, so efficiency plays a relatively greater role.
K	Subject to the need for the system to be flexible enough to achieve its biophysical bottom lines in a timely way (ie address problems and future challenges relating to those matters in the green boxes – see (I) above), it must provide as much certainty and security to people (eg property and statutory rights holders) as possible. On the other hand, where certainty is considered more important (ie for human wellbeing above biophysical bottom lines, contained in the yellow boxes – see (I) above), the system should provide as much flexibility as possible. Where the balance lies between flexibility and certainty in each of these cases is to be influenced primarily by what is efficient, but also by what is fair.
L	There is a need for public participation not to come at the expense of flexibility in achieving timely outcomes where needed urgently to achieve biophysical bottom lines (those in the green boxes). Constraints are also needed to reflect the need for an efficient system, but for the system to be fair, involvement is needed where people are directly affected. However, constraints on involvement in decision-making do not apply where needed to implement Treaty obligations (see (B)).

M	It is important that the system is as accessible and easy to use as possible, but that is subject to the need for the system to provide sufficient certainty and predictability concerning legal rights and processes. This recognises that the system is inherently complex and needs to address many interrelated matters.
N	Efficient and cost-effective processes are important, but subject to other process outcomes we wish to achieve (ie those matters in the white box). However, those outcomes are narrower than in other criteria sets, so efficiency plays a relatively stronger role.
O	The desirability of legal, social and economic continuity is to be given significant weight when determining what reforms look like. This may not always be determinative, but may temper the extent to which or the pace with which reforms are pursued.
P	All other criteria are subject to the practical need for reforms to be politically likely, have broad social support, have a clear source of funding, and be workable in practice.

Figure 19: Explanation of key relationships between criteria in set 3, identified in Figure 18.

Implicit in each set of criteria described above is a desire to find solutions that fulfil *every* criterion; hierarchies and weightings should only be invoked where conflicts are unavoidable. In other words, our choices should pursue win-win situations where at all possible. For example, features that encourage greater efficiency in resource use (eg education around energy consumption) may provide a way to ensure human survival and quality of life (enough power in winter) while also respecting intrinsic values (eg removing the need for new large-scale hydro-electric infrastructure in significant waterways). That is much more desirable than waiting to resolve tensions after they emerge. Similarly, at our April workshops we heard that criteria are not just to be mobilised to address symptoms (eg problems associated with urban expansion¹⁶² or landfills), but also root causes (eg population increase, incentives for economic growth, and the generation of waste). Some tensions need never arise if we act prudently.

Overall, there are significant differences between criteria sets 1, 2 and 3, although their short labels (progressive, transformational, and market-led) by no means encapsulate all their characteristics. Key differences between the three sets concern both the relationships

between substantive criteria within them (which outcomes are more important), as well as relationships between pragmatic and substantive criteria (how much we should curb our enthusiasm for reform in light of what is realistic).

Finally, no criterion directly advocates for specific system features (eg centralised or localised institutions, particular principles like sustainable management, keeping or dispensing with the RMA etc).¹⁶³ Instead, they consider only the general outcomes that are desirable, and expect desirable system features to emerge when they are *applied* (ie when considering which features would best achieve those outcomes). That is the task for the next stage of work.

Questions for discussion:

- In what other ways could we combine criteria to form coherent sets?
- What other relationships between criteria are important?
- In what other ways could we describe the relationship between criteria?



8. CONCLUDING COMMENTS

This working paper forms something of a bridge between Phases 1 and 2 of the project. We are shifting mindsets: from providing options for what a future system could look like, to looking at what a preferred model should look like. In the paper we have outlined the three stages Phase 2 will have: (1) criteria for reform; (2) detailed design of a preferred model; and (3) charting a pathway to implementing that model from what we have now. We have also briefly canvassed the key messages, options and models from Phase 1.

The first step in Phase 2 is to think about criteria: the grounds on which we will make the many choices in front of us as a nation. Why should we choose one feature, or one model, over others? How do we build up a coherent set of building blocks to construct a future system? That has been the substantive focus of this paper. Formulating a common set of criteria to apply across the whole system helps us keep on track. It provides an anchor for discussion – instead of simply debating whether a choice is good or bad, we can explore the extent to which it will achieve the right mix of agreed outcomes. It sketches out the broad boundaries of what an acceptable system would look like, and invites us to have a robust, evidence-based conversation to fill in the details.

To that end, in this paper we have provided some discussion about the nature of criteria, some possible categories (pragmatic, substantive etc), and a selection of specific criteria we could use. It is important to remember that what we see as our practical ability to make reforms is as important as the outcomes we would like to see in an ideal world, but also that this is not an excuse to do less than we are able.

We have also highlighted some key relationships between criteria that require definition (eg hierarchies, weightings, mutual reinforcement etc), and provided three alternative sets of criteria. These differ primarily according to how those relationships are described. As we said earlier in the paper, we are not hopeful that there exists some “meta-criterion” by which we can choose between these three sets. Much will come down to what people feel is most important. We encourage discussion, debate, and feedback. We have open minds as to which is best, or if they require alteration.

If the paper feels like a backwards step of sorts in the context of the whole project, that is understandable and deliberate. We have moved on from producing three tangible models for whole of system reform at the conclusion of Phase 1, and the level of detail we provided there looks quite different to the general questions about criteria we are asking now. As some participants at workshops pointed out, criteria may feel uncomfortably subjective. But we are unapologetic about that. It is prudent to take a pause in the headlong rush towards detailed reform; to take the chance to stop and ask not just what reforms we want, but why. We should not miss the forest for the trees. Coherence across the whole system is essential, so we need to get criteria right at the outset.

That said, we reemphasise that this is a working paper. As we progress Phase 2 over 2019, and engage and receive feedback, there will be continued opportunity to mould or revisit work already done. There will be an ongoing and reciprocal interplay between criteria, detailed design, and pathway planning until the final report.



APPENDIX

The resource management system defined for the purposes of the project, reproduced from the Phase 1 report

"New Zealand"	The resource management system operates within the geographical constraints of New Zealand , which includes (with relevant limitations) areas where New Zealand has sovereignty or sovereign rights.
"Resource"	A resource can be broadly defined as a natural and physical resource. (To the extent that seeing the environment in terms of "resources" is objectionable, the system can be recast as the "environmental" management system.) Resources and environment include: ▪ Both natural resources/environment (broadly, things that would exist if humans did not)¹⁶⁴ and built resources/environment (eg buildings, infrastructure) ▪ Both private resources (eg land, buildings, infrastructure) and public resources (eg air, water,¹⁶⁵ infrastructure) ▪ Urban, rural, conservation and marine resources (across all New Zealand's geographical areas)
"Management"	Resource management includes the following public¹⁶⁶ interventions in relation to the resources described above: ▪ Regulation: requiring or restricting human action (you must/must not) ▪ Behavioural incentives: influencing human action (you should) ▪ Resourcing/funding: enabling human action (you can) In order to generate the following kinds of action: ▪ Limiting or preventing the use of resources to manage adverse impacts (environmental protection – whether resources are used, and how) ▪ Influencing the use of resources for environmental, social and economic benefit (economic and social planning, and environmental enhancement – how and why resources are used) ▪ Shaping the spatial distribution of resource use, protection and enhancement (spatial planning – what happens where) ▪ Shaping the temporal distribution of resource use, protection and enhancement (strategic planning – when things happen) ▪ Distributing resources to different parties or communities of interest (allocation – who gets what)
"System"	The system conceived of here is the framework of norms, functions, structures and tools within which all of these interventions interact. This framework forms the structure of the report.

ENDNOTES

- 1 For example, in many places the current system recognises intrinsic value.
- 2 And associated human responsibilities.
- 3 These themselves are often expressed in evolving and relative terms (eg the continued ability of the Crown to govern for the benefit of all New Zealanders), so it is not as absolute or dominant a criterion as it may sound.
- 4 This does not at all suggest that extinction of a species is acceptable, but rather that it is thought about through the lens of human wellbeing (it harms human wellbeing for that to happen).
- 5 See the recently published *Environment Aotearoa 2019* report, produced by the Ministry for the Environment and StatsNZ.
- 6 D Parker "Two step RMA reform to start by fixing the previous government's blunders", Beehive.govt.nz <www.beehive.govt.nz>.
- 7 M Steeman "A coalition of powerful business groups urges a complete overhaul of the resource management system", <www.stuff.co.nz>, 19 November 2018.
- 8 For example, the "Founders debate" at the 2017 Resource Management Law Association (RMLA) conference, the system-focused theme of the 2014 and 2018 RMLA conferences, "blue-skies" work by Local Government New Zealand, work by the Productivity Commission on the urban planning system, and work by Infrastructure New Zealand on integrated planning, governance and delivery.
- 9 See www.eds.org.nz/our-work/rm-reform-project/
- 10 See www.eds.org.nz/our-work/rm-reform-project/
- 11 But is unlikely to produce a single draft bill. This is for several reasons. For example, the breadth of the system is so wide as to mean reform might not be capable of a single omnibus bill. It is also likely to require a staged approach over several years or (for some things) longer, which does not lend itself to a single intervention.
- 12 See Chapter 15 of that report.
- 13 Which may be embedded into thematic chapters, or which may have their own chapter or sub-chapter focuses.
- 14 Compare Local Government New Zealand A 'blue skies' discussion about New Zealand's resource management system (2015) from 39.
- 15 Freshwater quality is a prime example, which was a major point of debate in the leadup to the most recent general election.
- 16 M Williams "Resource Management System – Reform or Transform" (April 2018) Resource Management Journal 3 at 4. Williams has suggested working within the general approach of the current system, by (for example) elevating some matters like the enhancement of indigenous biodiversity in Part 2 of the RMA.
- 17 Later in this paper, we talk about a category of "pragmatic" criteria and their relationship with "substantive" criteria.
- 18 These are a scattering of options rather than a coherent or exhaustive set. Inclusion in this list does not necessarily indicate support for any one of them.
- 19 Some possibilities were presented in the models contained in Chapter 15 of the Synthesis Report.
- 20 While the government's reforms will inevitably be driven by political considerations, that is not the point of this exercise. That said, as will be seen, political palatability is one important criterion to consider among others.
- 21 Although implementing reform through an MMP system is bound to result in compromises, that can be mitigated somewhat by presenting reforms as the product of an agreed set of criteria. Some have stressed the importance of a "stable frame" of norms in environmental laws as a kind of anchor (see M Williams "Resource Management System – Reform or Transform" (April 2018) Resource Management Journal 3).
- 22 There is an important distinction here: the objectives of the reform exercise may be significantly wider than the objectives of the system produced by the reform exercise. For example (as explored later), one objective of the reform exercise might be to minimise disruption to existing case law, or to ensure a proposal would have cross-party consensus. These are not objectives of the system itself (eg the RMA would not seek to do either of those things). We therefore prefer to use the term "criteria" for reform rather than "objectives" of reform, to avoid confusion with the objectives of the system itself or the objectives of the legislation within it.
- 23 M Williams "Resource Management System – Reform or Transform" (April 2018) Resource Management Journal 3 at 4.
- 24 For example, focusing on GDP rather than holistic measurements of environmental quality or social wellbeing.
- 25 For example, that the economy is a subset of the natural environment, that there is really only one kind of integrated "wellbeing", and that wellbeing needs to be measured in more ways than just GDP, disposable income, or even the wellbeing of current generations.
- 26 Although there are still tensions – for example, while safeguarding the quality of freshwater and reducing waste may improve human social and economic wellbeing in the long term, protecting the intrinsic values of the natural environment would not necessarily do so.
- 27 See Local Government New Zealand A 'blue skies' discussion about New Zealand's resource management system (2015) at 19; R Rose, J Huakau and S Casswell *Economic values: A report from the New Zealand values study* (Massey University, 2005).
- 28 There have been criticisms of the RMA to this effect, in that the Act provides many principles concerning biophysical protections but little in the way of principles recognising the value of resource use and development (including urban planning).
- 29 Although some criteria may be.
- 30 In the context of the RMA, this is often about the word "while", which links the enabling/development part of section 5 with the protective parts of the section.
- 31 For example, it is not easy to determine whether splitting up the RMA would provide better outcomes for sustainability, because we cannot point to a situation in which this has happened.
- 32 As can be seen in case law under the RMA that carefully picks apart the wording of statutory or planning provisions, often with significant consequences.
- 33 The prevalence of "free market" ideology noticeable in the late 1980s in New Zealand still did not produce a system that ignored other important considerations (eg intrinsic value, Māori cultural values etc). Those have always been visible in, for example, the basic fabric of the RMA.
- 34 That is not to say that theoretical approaches are irrelevant – simply that they do not replace a plurality of criteria that need to be considered or applied.
- 35 Which is why such theories are better treated as part a mix of worldviews and ethics that we need to choose *between*, not overall guiding stars to adopt or reject wholesale.
- 36 See Synthesis Report, ch 4.
- 37 A useful account (albeit one of several perspectives) on New Zealand values relating to resource management reform can be found in Local Government New Zealand A 'blue skies' discussion about New Zealand's resource management system (2015), ch 3.
- 38 If we accept that the values of New Zealanders are generally expressed at the polls, can we really say that they have been successful in achieving good environmental management?
- 39 Especially if values are simply expressed through surveys (stated preferences) rather than demonstrated through actual behaviour (revealed preferences).
- 40 Do we require a "majority"? What would that mean for minority views, including Te Ao Māori perspectives?
- 41 Chapter 5.
- 42 Chapter 8.
- 43 Chapter 7.
- 44 For example (in an intentionally simplified example), embracing a relatively ecocentric ethic (a norm) may result in greater use of legal personhood for nature (an intervention). Ecocentrism would be the ruler against which the desirability of such a tool would be measured.
- 45 For example, choosing to broaden what we mean by a purpose of "sustainable management" could have significant implications for what roles the RMA (and the free market) are expected to perform and the tools we use to do them.
- 46 For example, preserving the life-supporting capacity of ecosystems.
- 47 For example, very few people are likely to be committed to the RMA itself as something other than a means to other ends.
- 48 As discussed in the Phase 1 Synthesis Report, ethics and worldviews can be seen as tools for achieving what we want, not just an overarching theory to be subscribed to or rejected.
- 49 Some are sceptical: see M Williams "Resource Management System – Reform or Transform" (April 2018) Resource Management Journal 3 at 3.
- 50 See M Williams "Resource Management System – Reform or Transform" (April 2018) Resource Management Journal 3 at 3.
- 51 The lack of which has been identified as shortcomings of politically-driven ad hoc amendments to the RMA: see S Berry, H Andrews and J Vella "Addressing the shortcomings of the RMA and RMA processes – Where to from here?" (August 2017) Resource Management Journal 9.
- 52 For example, regulatory tools designed to manage retreat from coastal and other areas vulnerable to climate change.
- 53 For example, see Local Government New Zealand A 'blue skies' discussion about New Zealand's resource management system (2015) at 21.
- 54 See Synthesis Report, ch 12.
- 55 Although that will not *always* be the case. Sometimes, selection of a feature may be worth it to reflect strongly held values (for example, a stand against the use of nuclear energy is as much a product of New Zealand identity as it is of an assessment of outcomes).
- 56 In that the interpretation of policies in the New Zealand Coastal Policy Statement (and, by extension, national policy statements more generally) in relation to Part 2 of the RMA was not clarified until the *EDS v King Salmon* decision – over two decades after the Act's creation.
- 57 For example, see the discussion of environmental bottom lines in Chapter 7 of the Phase 1 Synthesis Report.
- 58 There is often no sharp distinction or meaningful categorisation that can be made; for example, a distinction between social and environmental wellbeing often cannot be sustained (given that protecting elements of the natural world has benefits for how people live and feel), biophysical resilience directly leads

- to social and economic resilience (eg addressing drought, floods, primary production for economic prosperity and food security), and we often protect the natural environment in order to maximise its use – such as by managing fish stocks.
- 59 To do so would be extremely difficult given the complex relationships and overlaps between them. That is better addressed when considering relationships between individual criteria.
- 60 For example, the difference between protecting the intrinsic value of living and non-living components of the natural environment may seem subtler than the difference between promoting economic growth and protecting the natural environment.
- 61 For some it may not be useful, or it may be overly speculative.
- 62 As we did in the Phase 1 report, we emphasise that some may find the language of “resources” objectionable and overly exploitative or anthropocentric, and prefer the term “environment”. For simplicity only, we use the term “resources” but recognise that this can be rephrased to reflect different worldviews.
- 63 At workshops, we heard that resource management rules are sometimes seen as points for negotiation, in contrast to provisions in criminal law that are true bottom lines.
- 64 Although not always, depending on how one defines “use”. Some aspects of the environment are protected not to sustain consumption, but because they have existence value (we feel good knowing that some wilderness is out there, even if we never experience it) or intrinsic value (we prevent iconic species from going extinct, even if very few people ever see them, because it would be a morally wrong outcome).
- 65 See M Williams “Resource Management System – Reform or Transform” (April 2018) Resource Management Journal 3 at 4.
- 66 M Williams “Resource Management System – Reform or Transform” (April 2018) Resource Management Journal 3 at 4, 5.
- 67 D Parker, Keynote address, New Zealand Planning Institute Conference, 5 April 2019.
- 68 Local Government New Zealand A ‘blue skies’ discussion about New Zealand’s resource management system (2015) at 19-20.
- 69 <https://treasury.govt.nz/publications/dp/start-conversation-value-new-zealands-natural-capital-html#section-9>
- 70 Such conclusions apply not just to general “development” vs “protection” tensions, but to many other possible criteria that can conflict or interact (eg efficiency, timeliness and public involvement; local and central control; legal stability vs ambition etc).
- 71 Including considering the kinds of measures that would be required to make it realistic.
- 72 M Williams “Resource Management System – Reform or Transform” (April 2018) Resource Management Journal 3 at 4.
- 73 For example, concentrating polluting but economically productive activities in areas of socio-economic deprivation. These criteria therefore also have an important relationship with another: the fair distribution of rights.
- 74 If raising the water level would flood valuable ecosystems.
- 75 We leave aside the other four, more microscopic, kingdoms of life – although their intrinsic value is an interesting question to consider.
- 76 Including emotional utility (eg the feelings of comfort we may get from having a pet, or knowing that natural wilderness exists).
- 77 For example, do animal cruelty laws reflect the intrinsic value of these creatures? That may be “yes”, but arguably it is recognised only where the trade-off in terms of human wellbeing is near non-existent (humans do not benefit if they torture a dog, but they do if they separate calves from their mothers).
- 78 <https://treasury.govt.nz/publications/dp/start-conversation-value-new-zealands-natural-capital-html#section-9>
- 79 Even extinction is not always beyond the concept of fairness, where components of the natural/living world are seen as inherently harmful (eg the eradication of smallpox).
- 80 It is important not to conflate “Western” values with the exploitation of resources or environmental degradation. There is a powerful thread of environmental responsibility within Western thought and practice, just as there is in the Māori tradition.
- 81 For example, how to remove existing “rights” to discharge nitrates into waterways from users within a catchment; how to allocate water take rights to Māori and other users; how to apportion rights to emit greenhouse gases.
- 82 Which may be more vulnerable to pest incursions.
- 83 For example, overriding existing use rights under the RMA, or recognising reverse sensitivity issues.
- 84 This does not mean an arbitrary removal of rights; it may, for example, mean that the system provides for more sophisticated pricing and trading mechanisms to allow them to be transferred. It is also about what uses we prioritise in the event of scarcity (eg drinking water vs irrigation).
- 85 Especially where there are historical circumstances in play (eg an existing use).
- 86 For example, councils having to wait ten years to obtain a seven year consent.
- 87 For example, for climate change adaptation measures.
- 88 For example, in submissions, council hearing, or court appeals.
- 89 For example, in undertaking strategic environmental assessments and assessments of environmental effects, or managing databases of information.
- 90 For example, a simple framework of statutes and plans may require more complex (and ultimately less accessible and predictable) case law to clarify matters.
- 91 See, for example, those identified in Ministry for the Environment and StatsNZ *Environment Aotearoa 2019*.
- 92 For example, a clear and responsive regulatory and policy framework for climate change adaptation.
- 93 For example, the need for affordable housing (land supply) and the protection of versatile soils for food security.
- 94 Again, depending on one’s definition of fairness.
- 95 Many others will be possible, and we have only addressed what we have identified as key ones.
- 96 *Environmental Defence Soc Inc v New Zealand King Salmon Co* [2014] NZSC 38, [2014] 1 NZLR 593.
- 97 For example, the resourcing required for policy and legal support, the social consensus needed for durable reform, the gradual development of case law and legal expertise around new provisions, a staged approach to institutional change, and a predictable plan for business certainty.
- 98 For example, see the government’s response to the Tax Working Group’s proposal on environmental taxes, which for the most part flags these for later consideration: www.beehive.govt.nz/sites/default/files/2019-04/TWG%20Government%20response%20table.pdf
- 99 Including the importance of seeking cross-party consensus, which may reduce the scope or detail of reforms.
- 100 At its most extreme, some called for the extension of parliamentary terms to discourage flip-flopping, or constitutional measures like entrenchment.
- 101 See www.stockholmresilience.org/research/planetary-boundaries/planetary-boundaries/about-the-research/the-nine-planetary-boundaries.html
- 102 K Raworth *Doughnut economics: Seven ways to think like a 21st-century economist* (2018).
- 103 <https://sustainabledevelopment.un.org/post2015/transformingourworld>
- 104 <https://treasury.govt.nz/information-and-services/nz-economy/living-standards/our-living-standards-framework>. This framework is more about recognising and measuring wellbeing in an integrated and holistic way than setting or defining the relationship between different policy objectives (other than achieving intergenerational wellbeing generally, and maintaining/growing all capitals), but it is still useful in informing substantive criteria.
- 105 See www.terarawa.iwi.nz/pou/
- 106 Loosely, social wellbeing.
- 107 Loosely, environmental wellbeing.
- 108 Loosely, cultural wellbeing.
- 109 Loosely, economic wellbeing.
- 110 In which case the question is how natural capital is valued, especially if it is not traded in a market.
- 111 Rather than, generally, the wholesale rejection of criteria.
- 112 For example, we talk about economic and social “wellbeing” through all of them, not about economic “growth”.
- 113 As discussed earlier, there can also be a tension between the “quality” and “availability” of different resources (in that by enhancing one resource’s availability, we can diminish the quality of another resource).
- 114 Including the natural systems on which they rely for these things. A focus on indigenous species (as opposed to introduced species) is deliberately broader than endemic species (those that exist *only* in New Zealand). This is in the basis that intrinsic or moral value is not just about preventing the extinction of a species on a global scale; it is also about preserving New Zealand’s unique natural heritage and respecting a Māori perspective on kaitiakitanga.
- 115 The hierarchy here is significant, because enhancing natural resources for overall human wellbeing (eg forestry, horticulture) can still threaten the survival of indigenous species; furthermore, enhancing natural resources to increase the wellbeing of some may threaten the basic quality of life of others (eg through some forms of offsetting that mean adverse impacts are felt in some places and benefits are felt in others).
- 116 Where wellbeing is measured in an inclusive way (for example, the wellbeing people obtain from connection with nature and wilderness).
- 117 This means fairness is important *within* criteria (1)-(3) (for example, environmental protection that produces human wellbeing means sufficient wellbeing for people of all socio-economic circumstances and generations), but also that fairness is *subject to* the outcomes in criteria (1)-(3) (for example, one cannot breach environmental bottom lines in order to give additional rights to people who are currently deprived of them).
- 118 In many cases that will be consistent with safeguarding and enhancing natural resources/natural capital, because there is a direct link between them. In some cases, it may not (for example, urban expansion into versatile soils), hence the need for hierarchy.
- 119 This may include proactive measures to prevent tensions between different outcomes from arising in the first place (eg over allocation of freshwater can produce issues over fairness, so it is prudent not to over allocate).
- 120 Efficiency should not necessarily be equated with centralisation or a drive for economies of scale.

- 121 For example, if measures are needed to compensate or reduce the impact on people where not to do so would be unfair, or where there is a tension between Treaty obligations and urgent action.
- 122 This is intended to safeguard Treaty settlement rights encompassed by (10), as well as support people's freedom to provide for their social and economic wellbeing (8).
- 123 Reinforcing (5), concerning fairness.
- 124 "Subject to" in the sense that addressing one problem should not exacerbate problems that threaten the outcomes contained in criteria (1)-(3).
- 125 In particular, in the context of climate change mitigation.
- 126 In that more measures may become politically possible if these matters are considered.
- 127 Although many aspects remain the same or similar.
- 128 For example, in many places the current system already recognises intrinsic value.
- 129 And associated human responsibilities.
- 130 These themselves are often expressed in evolving and relative terms (eg the continued ability of the Crown to govern for the benefit of all New Zealanders), so it is not as absolute or dominant a criterion as it may sound.
- 131 This is different from set 1, as the scope of intrinsic values and rights is wider.
- 132 This is different from set 1, as human survival is subject to intrinsic rights/values of the natural world.
- 133 Where wellbeing is measured in an inclusive way, and does not just mean the benefits from consumptive use.
- 134 This means fairness is important *within* criteria (1)-(3) (for example, that environmental protection that produces human wellbeing means enough wellbeing for people of all socio-economic circumstances), but also that fairness is *subject to* the outcomes in (1)-(3) (for example, one cannot breach environmental bottom lines in order to give additional rights to people who are currently deprived of them).
- 135 This is different from set 1, because the promotion of wellbeing is not limited to where there is a public interest.
- 136 This is different from set 1, because pursuing social and economic resilience is not limited to where there is a public interest.
- 137 This is different from set 1, because (1)-(7) are more wide-ranging and therefore (8) is correspondingly narrower.
- 138 While also recognising that there can be significant mutual reinforcement between Treaty obligations in (10) and biophysical protections in (1)-(2), and that Treaty obligations themselves are not expressed in absolute language.
- 139 An expressly risk-averse approach to biophysical protections is different to set 1.
- 140 This is different to set 1, as flexibility here is prioritised where seeking to achieve biophysical bottom lines rather than for broader human wellbeing (eg urban planning). Certainty is seen as relatively more important where biophysical bottom lines are not at stake, although (15) makes clear that flexibility is still important.
- 141 This is different to set 1 (as described above), as certainty is seen as important where biophysical bottom lines are not at stake.
- 142 This is different to set 1; although certainty is seen as paramount where biophysical bottom lines are not at stake, flexibility is still important *subject to* that.
- 143 This is different to set 1, as it provides for broader grounds for participation.
- 144 "Subject to" in the sense that addressing one problem should not exacerbate problems that threaten the outcomes in criteria (1)-(3).
- 145 This is different from set 1, as reform is not seen to be constrained by political palatability, only by whether reform is workable.
- 146 This is subtly different from set 1 in that the desirability of minimising disruption is to be given low weight.
- 147 This does not at all suggest that extinction of a species is acceptable, but rather that it is thought about through the lens of human wellbeing (it harms human wellbeing for that to happen).
- 148 A key difference in set 3 is that it does not recognise intrinsic values or rights specifically.
- 149 This recognises that, above its capacity to support human survival and basic needs, trade-offs can be made between different forms of capital according to which would maximise overall wellbeing.
- 150 A key difference here is that, in set 3, fairness is subservient to efficiency and environmental harm is viewed through the economic lens of externalities.
- 151 A defining feature of set 3 is that social and economic wellbeing is promoted only if there is a market failure, not where there is a broader public interest.
- 152 This does not go further than what is required to meet Treaty obligations (eg it does not encompass a greater recognition of tikanga more broadly than required under Treaty principles).
- 153 It is significant that this excludes (7); this enables people to decide their own level of risk exposure when providing for their own social, economic and cultural wellbeing.
- 154 This criterion is different from other sets, in that it emphasises proportionality and adaptive responses rather than precaution or risk aversion per se.
- 155 The matters to which efficiency are subject are narrower in set 3 than other sets.
- 156 Economies of scale are emphasised specifically as desirable in set 3, but not sets 1 and 2.
- 157 In set 3, flexibility is emphasised only in relation to achieving biophysical bottom lines necessary for human survival and wellbeing (and, in determining the extent of flexibility, Treaty obligations, fairness and efficiency are important to consider). In other contexts (eg for the management of non-natural resources), certainty is treated as more important.
- 158 Including Treaty settlement rights.
- 159 Set 3 takes a more constrained approach to public participation than the other sets.
- 160 "Subject to" in the sense that addressing one problem should not exacerbate problems that threaten the outcomes in criteria (1) and (2).
- 161 In set 3, pragmatic criteria are more important than in other sets. In particular, the political appetite for reform is required to be fairly strong for it to be acceptable, and disruption is to be minimised.
- 162 Like housing unaffordability or the loss of versatile soils.
- 163 Although aspects of set 2 can be loosely described as reflecting an ecocentric ethic.
- 164 For example, ecosystems (including their constituent parts), freshwater, air and atmosphere, land/soil, marine and heat.
- 165 However, acknowledgement is also made of the existence of broad claims by Māori around rights to water.
- 166 Purely private actions are not conceived of as forming part of the "system", although public actions that influence private behaviour are.



EDS is leading a project which is taking a first-principles look at the resource management system in New Zealand. In Phase 2 of this project – A Pathway to Reform – we are proposing a new model for the future. This working paper investigates the criteria that will be needed to select and progress a preferred model.

